2026/11/04

記憶體 調升評等(UG)

華邦電 (2344 TT) 買進(Buy)

2027 年供給更吃緊，多項新產品挹注營運成長

- **AI 伺服器對 NOR Flash 需求大爆發**
- **CUBE 預計將在 2027 年陸續進入小量量產**
- **矽電容產能已售罄，正與另一全球 MLCC 大廠洽談長約**

3Q26 稅後 EPS 為 7.58 元：華邦電 11/03 舉辦法說會，持續受惠於記憶體報價上漲，3Q26 合併營收 823.31 億元(QoQ+37.6%)，合併毛利率由 66.2%增為 70.6%，營業費用季增 34.2%，營利率增為 53.2%，稅前淨利 438.61 億元(QoQ+46.1%)，稅後 EPS 為 7.58 元。記憶體業務 3Q26 營收 742.84 億元(QoQ+43.7%)，產能利用率維持接近滿載，其中 CMS(客製化記憶體)營收約 475.42 億元(QoQ+50%)，Flash 營收 267.42 億元(QoQ+34%)，毛利率由前季 70.3%增為 73.9%，營業淨利率為由 56.9%增為 59.8%。整體而言，財報表現符合預期。

2027 年聚焦 DDR4 及 LPDDR4 產品：在市場及營運展望方面，公司表示高容量 NOR Flash 供給持續吃緊，價格上行趨勢延續至 2027 年。SLC NAND 強勁 Design-in 也支撐價格在 2027 年正向發展。4Q26 合約價仍有進一步上漲空間。AI 伺服器、車用、Edge AI 對記憶體需求強勁下，預期記憶體供需緊俏態勢將延續至 2027 年。公司本身 2027 年將聚焦 DDR4 及 LPDDR4 產品，CUBE 進度如期，預期將在 2027 年進入量產。併購 Infineon 之 NOR Flash 及 F-RAM 事業交易案，在取得各國主管機關核准後，預計 2H27 完成交割。

董事會新通過 731 億元資本支出，用於高雄廠 Module B 建置：2026 年以現金基礎之資本支出維持 395 億元(其中生產設備占 95%，前三季已支出約 234 億元)，高雄廠 Module A 之 DRAM 月產能將由目前 15K 逐步到 2026 年底的 24K，預期 2027~2028 年維持 24K 產能。高雄廠 Module B(潔淨室面積比 Module A 大一倍，最大月產能 50~60K)，將在 12/29 內部動土，2H29 小量量產，2030 年產能全面開出，目前率續已有 LTA 延伸涵蓋產能至 2030 年後。

我們認為公司在 2027 年將受惠於 DDR4/LPDDR4、Flash 產品、CUBE 及矽電容等多元業務帶動營運成長動能，目標價為 200.0 元(2027 年 PERx4.0 倍)，因潛在上漲空間達 37.0%，故投資建議由增加持股調升為買進。**風險因子**：利基型記憶體市場供不應求狀況反轉。

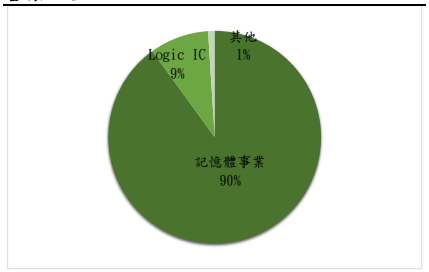
臺灣 ESG 永續指數成分股

潛在漲幅	37.0%
前日收盤價	146.00 元
目標價	200.00 元
前次目標價	204.00 元
前次評等	增加持股

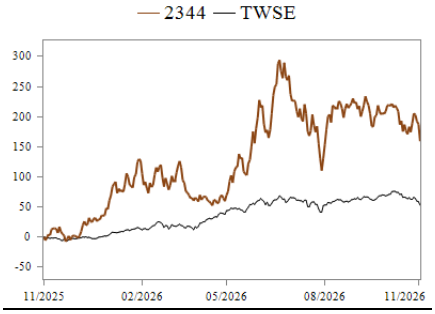
公司基本資訊

目前股本(百萬元)	46,731
市值(億元)	6,570
目前每股淨值(元)	46.04
外資持股比(%)	20.08
董監持股比(%)	29.59

營業比重



個股與大盤走勢(%)



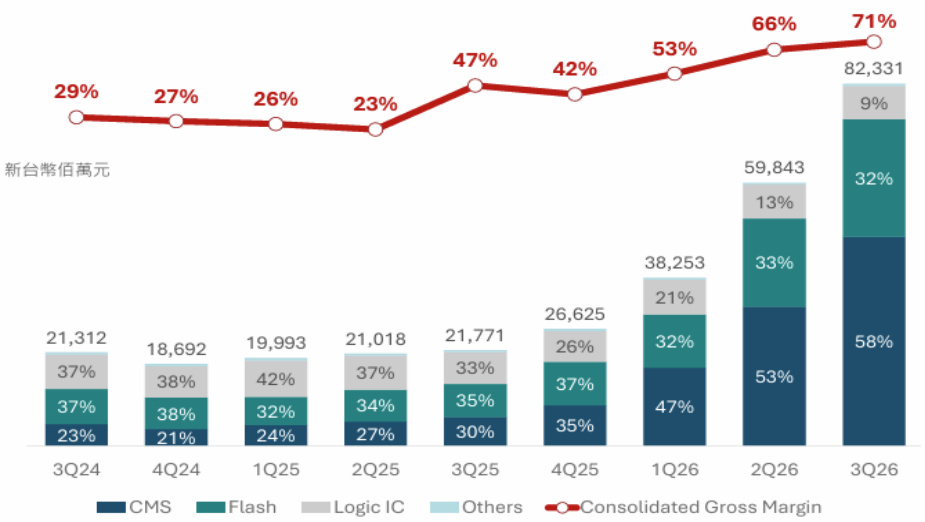
徐千智
Chienchih.hsu@ctbcsis.com
◎研究分析標的公司為本公司關係企業之客戶。

(百萬元)	2022	2023	2024	2025	2026F	2027F
營業收入淨額	94,530	75,006	81,610	89,406	272,339	502,229
營業毛利淨額	43,051	22,396	24,001	31,196	184,732	353,596
營業利益	16,535	-1,630	507	5,534	137,330	293,145
稅後純益	12,927	-1,147	601	3,962	111,465	234,023
公告基本 EPS(元)	3.25	-0.29	0.14	0.88	--	--
調整後 EPS(元)	2.77	-0.25	0.13	0.85	23.85	50.08
營業收入 YoY(%)	-5.06%	-20.65%	8.80%	9.55%	204.61%	84.41%
稅後純益 YoY(%)	-4.91%	--	--	559.22%	2,713.39%	109.95%
本益比	5.78	-104.45	105.16	93.37	6.12	2.92
本淨比	0.79	1.37	0.72	3.43	2.76	1.85
股息(元)	1.00	0.00	0.00	0.50	7.20	15.00
殖利率(%)	3.59%	0.00%	0.00%	0.52%	4.93%	10.27%
ROE(%)	14.64%	-1.23%	0.65%	3.97%	64.42%	78.89%

CMS 在 3Q26 營收占比增為 58%：CMS 業務在 3Q26 受惠於需求強勁及產品組合優化，占整體季營收比重增為 58%(見圖表一)，季增 50%，年增 620%，續創近兩年單季新高，因保留產能給 LTA 客戶，位元出貨量季減高個位數%，ASP 季增近 60%。產品線製程方面，20nm DRAM 為 CMS 主要成長動能，在 3Q26 占 CMS 營收比重 66%，充分反映 DDR4 及 LPDDR4 的強勁出貨。16nm DRAM 已開始小量投片，占 CMS 營收比重達 3%，目前約占高雄廠 15K 中的 2K 月產能，預計 2027 年擴產後，將占 24K 中的 16K 並聚焦生產 DDR4 及 LPDDR4 系列產品，由於製程提升，預期 2027 年位元成長率超過 100%。未來 DDR3 仍會維持以 20nm 製程生產，以支援長期合作客戶需求。

Flash 在 3Q26 營收占比 32%：Flash 業務在 3Q26 占整體營收比重為 32%，季增 34%，年增 255%，主要是高容量 NOR Flash 及 SLC NAND 產品線出貨持續提升，整體位元出貨量持平，ASP 季增 Low-30%。Flash 產品線方面，主流 NOR Flash 製程之 58nm 占比回升至 52%。SLC NAND(46nm、32nm 及 24nm 製程)占比 40%，公司已是全球前三大供應商，隨大廠退出後，未來將成為全球最大 SLC NAND 供應商。

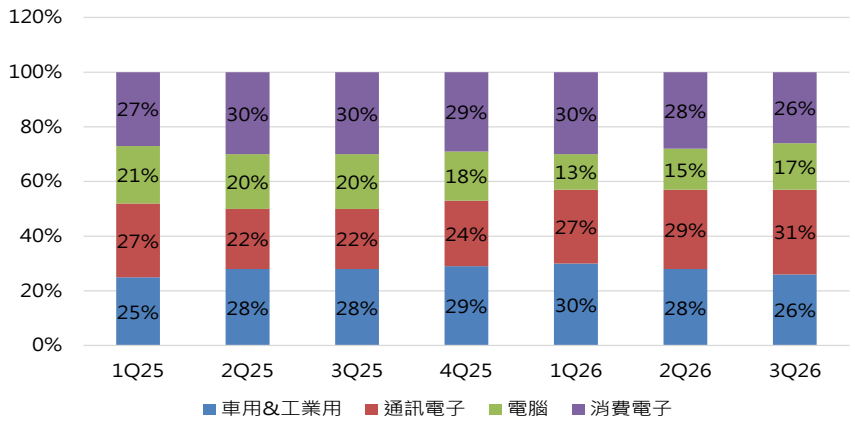
圖表一、合併之產品別營收及毛利率走勢



資料來源：公司，中信投顧整理

記憶體 3Q26 終端以通訊電子應用占比最高：3Q26 記憶體終端應用占比方面(見圖表二)，通訊電子增為 31%(增加 2ppts)，成長來自於傳統網通、網路基礎建設，以及 Server 內之 Switch 與 Network 晶片。PC 增為 17%(增加 2ppts)，主要應用為 NB、PC、PC 周邊、HDD 及 Server，公司表示在最新 NV Rubin 架構的 Server Rack 中，單一 Rack 可能使用超過 600 顆高容量(512Mb)Flash，而公司目前市占率高達 60%~70%。此外，eSSD 需求大幅提升，公司也大量供應 DRAM 給 SSD 業者，間接打入 Server 供應鏈，預期 2027 年營收貢獻將大幅成長。車用及工業用降至 26%(減少 2ppts)，目前除了中國電動車成長強勁外，Hybrid 與傳統油車表現亦佳，公司在車用與工業領域深耕 Legacy DRAM (DDR3/DDR4/LPDDR4)，客戶採用後，產品生命週期長。此外，隨著三大記憶體原廠逐步淡出 DDR4/DDR3 供應，公司將成為 DDR4 及 DDR3 的全球主要供應商。消費性電子降至 26%(減少 2ppts)，目前最大宗應用為 TV，其中高階 TV 及高單價消費性產品需求仍非常不錯。

圖表二、記憶體業務終端應用比重

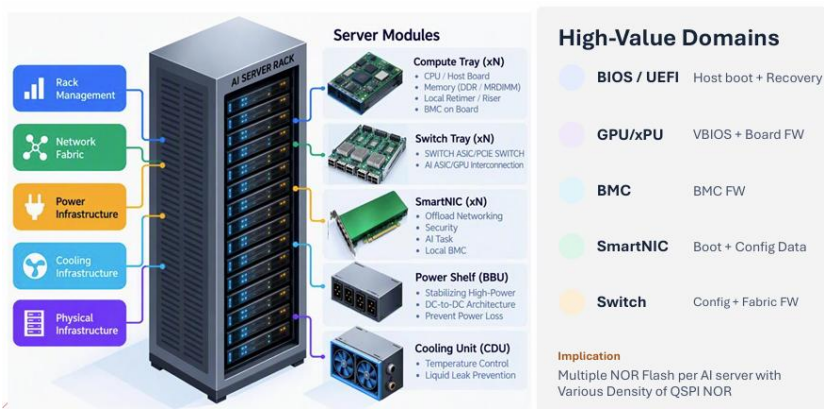


資料來源：公司，中信投顧整理

矽電容產品成為未來新成長動能：在矽電容(Si-Cap)方面，公司製程為堆疊式矽電容，相較於傳統 MLCC 具有更輕薄(10um)及高精準度優勢，可以與先進封裝搭配，產品性價比高，目前公司規格達 5,400 nF/mm²，是業界最高規格，先前投資 40 億元之幾千片產能目前已全數售罄，未來在 Module B 將會保留數條生產線來生產矽電容產品。客戶方面，除原有 MLCC 大廠外，新洽談另一家 MLCC 大廠，初步客戶提出之需求量非常大。矽電容毛利率方面，2,700 nF/mm²產品略低於 DRAM，但 5,400 nF/mm²可以接近 DRAM 毛利率水準。銷售模式主要由 MLCC 供應商或矽電容之 IC 設計廠與公司下單，再出貨至終端客戶要求之半導體廠進行 3D 封裝。

AI 伺服器成為 NOR Flash 新成長動能：公司表示在單一 AI 伺服器機櫃內含 BIOS/UEFI、GPU/xPU、BMC、SmartNIC、Switch 等多個應用中(見圖表三)，每台需要多顆不同容量的 QSPI NOR Flash。公司調查資料顯示，Server 之 NOR Flash 需求在 2027 年將達 2.4 億顆、年增 48%，且 2025~2028 年 CAGR 達 33%。2027 年需求中，≧512Mb 容量約佔占 65%(512Mb 占 43%、1Gb 占 17%、2Gb 占 5%)，規格朝高容量趨勢明確。在公司本身之 Server NOR Flash 位元出貨成長率方面，2025 年達 46%，預估 2026 成長達 112%，2027 年仍可高達 67%。

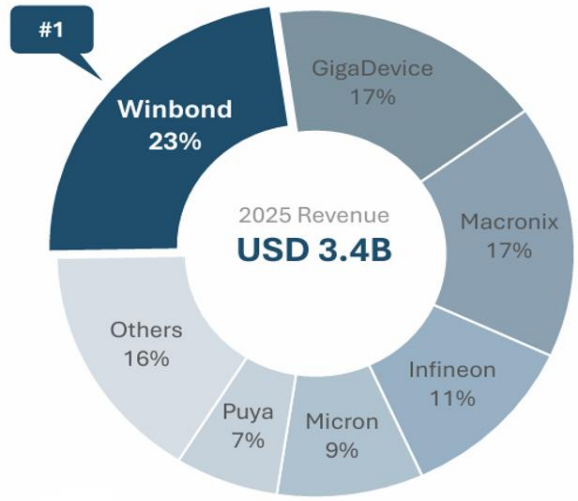
圖表三、NOR Flash 廣泛應用於機櫃



資料來源：公司，中信投顧整理

華邦電在全球 NOR Flash 之市占率將高達 34%：公司在 09/16 宣布與 Infineon Technologies AG 旗下 Infineon Technologies LLC 簽署股份購買協議，以全現金方式收購旗下 NOR Flash 與 F-RAM 事業 100%股權，交易價格 11.2 億美元，此交易仍需美、中、日、歐盟及台灣等多國主管機關核准，預計 2H27 完成交割。交易完成後，公司可取得 NOR Flash 與 F-RAM 產品線，研發人員及恢復「Spansion」品牌。公司表示交割後 Spansion 將獨立運作，並自有銷售及供需體系，客戶需分別與華邦電及 Spansion 簽約。我們認為公司在併購後將可擴大 NOR Flash 在工控、車用、伺服器等非消費性領域市場。且根據 TrendForce 資料，NOR Flash 市場正經歷近十年來最重要的供需結構轉變，在 AI 需求大增及供應商產出增幅有限下，2H26 供需仍舊失衡，整體合約價格維持在高點。公司在 2025 年於全球 NOR Flash 市場之市占率達 23%(見圖表四)，為第一大 NOR Flash 供應商，其次為大陸兆易創新市占率 17%、旺宏(2337)市占率 17%，Infineon 市占率 11%，未來華邦電在併購後，預期市占率將高達 34%。

圖表四、2025 年全球 NOR Flash 業者之市占率



資料來源：公司，中信投顧整理

現金股利發放率可望達 30%~50%：公司董事會通過 1H26 每股現金股利 2 元，公司章程內規定現金股利發放率不低於 30%，隨公司獲利持續提升，我們認為未來現金股利可望維持穩定成長趨勢。

圖表五、季度財報與預估差異

損益表（單位：百萬元）	3Q26					4Q26(F)				
	實際數	中信預估	差異	市場共識	差異	調整後	調整前	差異	市場共識	差異
營業收入	82,331	82,331	0.0%	81,965	0.4%	91,912	90,558	1.5%	98,270	-6.5%
營業毛利	58,101	58,925	-1.4%	58,841	-1.3%	66,571	64,007	4.0%	72,779	-8.5%
營業利益	43,784	47,925	-8.6%	46,119	-5.1%	52,016	52,903	-1.7%	57,816	-10.0%
稅前純益	43,861	47,911	-8.5%	46,323	-5.3%	51,995	52,882	-1.7%	59,338	-12.4%
稅後淨利	35,422	38,319	-7.6%	36,186	-2.1%	41,611	42,296	-1.6%	42,776	-2.7%
EPS(元)	7.58	8.20	-7.6%	7.74	-2.1%	8.90	9.05	-1.6%	9.15	-2.7%
財務比率(%/百分點)										
毛利率	70.6%	71.6%	-1.0 ppts	71.8%	-1.2 ppts	72.4%	70.7%	1.7 ppts	74.1%	-1.6 ppts
營益率	53.2%	58.2%	-5.0 ppts	56.3%	-3.1 ppts	56.6%	58.4%	-1.8 ppts	58.8%	-2.2 ppts
稅後淨利率	43.0%	46.5%	-3.5 ppts	44.1%	-1.1 ppts	45.3%	46.7%	-1.4 ppts	43.5%	1.7 ppts

資料來源：Cmoney、Bloomberg，中信投顧整理

圖表六、年度財報與預估差異

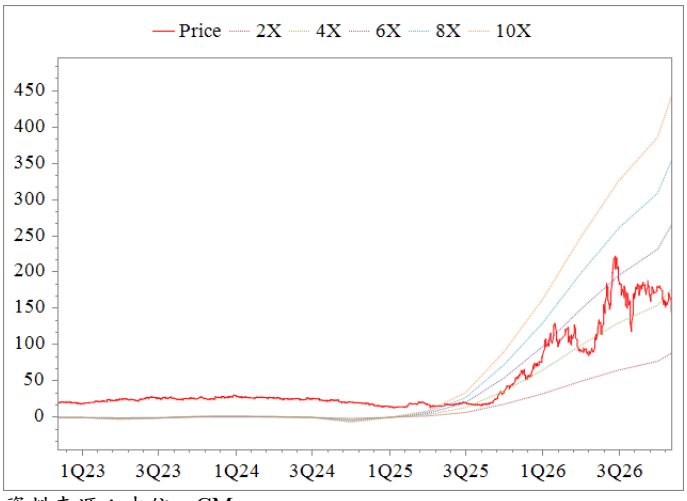
損益表	2026(F)					2027(F)				
(單位：百萬元)	調整後	調整前	差異	市場共識	差異	調整後	調整前	差異	市場共識	差異
營業收入	272,339	270,985	0.5%	280,380	-2.9%	502,229	471,393	6.5%	498,557	0.7%
營業毛利	184,732	182,993	1.0%	193,131	-4.3%	353,596	327,364	8.0%	371,016	-4.7%
營業利益	137,330	142,358	-3.5%	144,602	-5.0%	293,145	276,312	6.1%	299,060	-2.0%
稅前純益	138,563	143,500	-3.4%	145,802	-5.0%	292,912	275,088	6.5%	299,501	-2.2%
稅後淨利	111,465	115,046	-3.1%	116,651	-4.4%	234,023	219,680	6.5%	231,619	1.0%
EPS(元)	23.85	24.62	-3.1%	24.96	-4.4%	50.08	47.01	6.5%	49.56	1.0%
財務比率(%/百分點)										
毛利率	67.8%	67.5%	0.3 ppts	68.9%	-1.1 ppts	70.4%	69.4%	1.0 ppts	74.4%	-4.0 ppts
營益率	50.4%	52.5%	-2.1 ppts	51.6%	-1.1 ppts	58.4%	58.6%	-0.2 ppts	60.0%	-1.6 ppts
稅後淨利率	40.9%	42.5%	-1.5 ppts	41.6%	-0.7 ppts	46.6%	46.6%	0.0 ppts	46.5%	0.1 ppts

資料來源：Cmoney、Bloomberg，中信投顧整理

2026/11/04

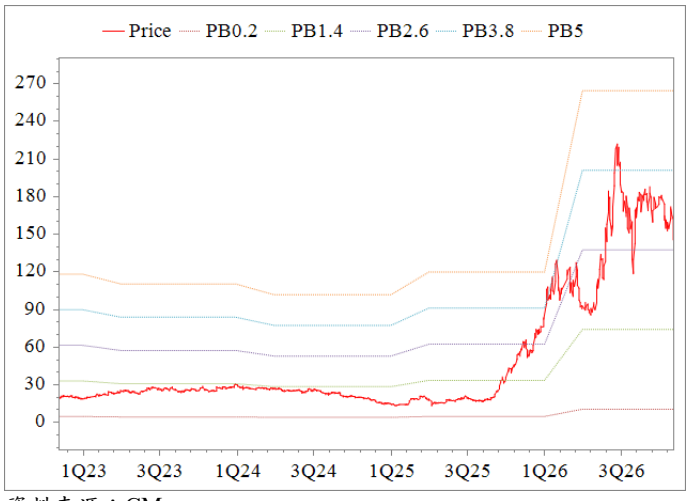
(百萬元)	1Q26	2Q26	3Q26	4Q26F	1Q27F	2Q27F	3Q27F	4Q27F
營業收入	38,253	59,843	82,331	91,912	99,350	111,837	131,459	159,583
營業成本	17,838	20,198	24,230	25,340	28,463	33,031	39,081	48,057
營業毛利	20,415	39,645	58,101	66,571	70,887	78,806	92,378	111,525
營業費用	7,865	10,666	14,317	14,555	14,225	14,741	15,470	16,015
營業利益	12,550	28,979	43,784	52,016	56,662	64,065	76,908	95,510
營業外收支淨額	138	1,039	77	-21	116	88	-334	-103
稅前純益	12,688	30,018	43,861	51,995	56,778	64,153	76,574	95,407
所得稅	2,571	5,820	8,723	10,384	11,408	12,896	15,425	19,161
稅後純益	10,114	24,317	35,422	41,611	45,370	51,258	61,149	76,246
調整後 EPS(元)	2.16	5.20	7.58	8.90	9.71	10.97	13.09	16.32
毛利率(%)	53.37%	66.25%	70.57%	72.43%	71.35%	70.47%	70.27%	69.89%
營業利益率(%)	32.81%	48.43%	53.18%	56.59%	57.03%	57.28%	58.50%	59.85%
稅後純益率(%)	26.44%	40.63%	43.02%	45.27%	45.67%	45.83%	46.52%	47.78%
營業收入								
QoQ(%)	43.67%	56.44%	37.58%	11.64%	8.09%	12.57%	17.54%	21.39%
YoY(%)	91.34%	184.72%	278.18%	245.21%	159.72%	86.88%	59.67%	73.63%
營業利益								
QoQ(%)	206.72%	130.90%	51.09%	18.80%	8.93%	13.07%	20.05%	24.19%
YoY(%)	--	--	1,082.39%	1,171.22%	351.47%	121.07%	75.65%	83.62%
稅後純益								
QoQ(%)	195.54%	140.42%	45.67%	17.47%	9.03%	12.98%	19.30%	24.69%
YoY(%)	--	--	1,103.54%	1,115.87%	348.58%	110.79%	72.63%	83.23%

PER Band



資料來源：中信、CMoney

PBR Band



資料來源：CMoney

2026/11/04

資產負債表

(百萬元)	2022	2023	2024	2025	3Q26
資產總計	184,165	190,788	177,784	192,192	336,301
流動資產	68,538	66,505	59,515	73,191	184,043
現金及約當現金	20,403	16,963	14,100	15,734	70,815
應收帳款與票據	9,873	9,784	10,038	16,071	49,307
存貨	21,448	23,870	24,201	25,758	29,384
採權益法之投資	9,971	10,952	7,390	16,032	29,172
不動產、廠房設備	93,807	102,148	100,252	93,800	113,417
負債總計	81,431	90,328	78,625	78,062	110,763
流動負債	27,777	36,033	41,762	46,615	73,617
應付帳款及票據	5,203	5,983	5,507	6,907	8,689
非流動負債	53,655	54,295	36,863	31,447	37,145
權益總計	102,734	100,460	99,159	114,130	225,538
普通股股本	39,800	41,800	45,000	45,000	47,205
保留盈餘	32,215	27,476	27,985	31,693	99,407
母公司業主權益	94,163	92,297	91,651	107,936	217,320
負債及權益總計	184,165	190,788	177,784	192,192	336,301

損益表

(百萬元)	2023	2024	2025	2026F	2027F
營業收入淨額	75,006	81,610	89,406	272,339	502,229
營業成本	52,610	57,609	58,210	87,606	148,633
營業毛利淨額	22,396	24,001	31,196	184,732	353,596
營業費用	24,026	23,494	25,662	47,402	60,451
營業利益	-1,630	507	5,534	137,330	293,145
EBITDA	11,817	14,671	18,324	164,299	328,082
業外收入及支出	933	604	-924	1,233	-233
稅前純益	-698	1,112	4,610	138,563	292,912
所得稅	-732	402	1,433	27,497	58,889
稅後純益	-1,147	601	3,962	111,465	234,023
公告基本 EPS(元)	-0.29	0.14	0.88	- -	- -
調整後 EPS(元)	-0.25	0.13	0.85	23.85	50.08

註：稅後純益係指本期淨利歸屬於母公司業主。

現金流量表

(百萬元)	2022	2023	2024	2025	3Q26
營業活動現金	15,754	3,601	11,126	11,183	45,868
稅前純益	18,046	-698	1,112	4,610	43,861
折舊及攤銷	9,549	11,856	12,687	12,683	7,596
營運資金變動	-4,435	-1,426	-823	-6,427	-14,731
其他營運現金	-7,406	-6,131	-1,850	317	9,142
投資活動現金	-44,482	-13,032	-16,658	-7,658	-16,518
資本支出淨額	-41,795	-12,924	-16,122	-6,492	-15,946
長期投資變動	-2,168	157	-106	-971	-400
其他投資現金	-520	-265	-429	-195	-172
籌資活動現金	17,879	6,350	2,527	-1,561	-6,483
長借/公司債變動	23,150	7,539	-3,980	-1,758	-7,020
現金增資	0	4,390	6,703	0	0
發放現金股利	-3,980	-3,980	0	0	0
其他籌資現金	-1,291	-1,599	-196	196	537
淨現金流量	-10,511	-3,440	-2,862	1,633	23,030
期初現金	30,914	20,403	16,963	14,100	61,826
期末現金	20,403	16,963	14,100	15,734	84,856

資料來源：中信、CMoney

比率分析

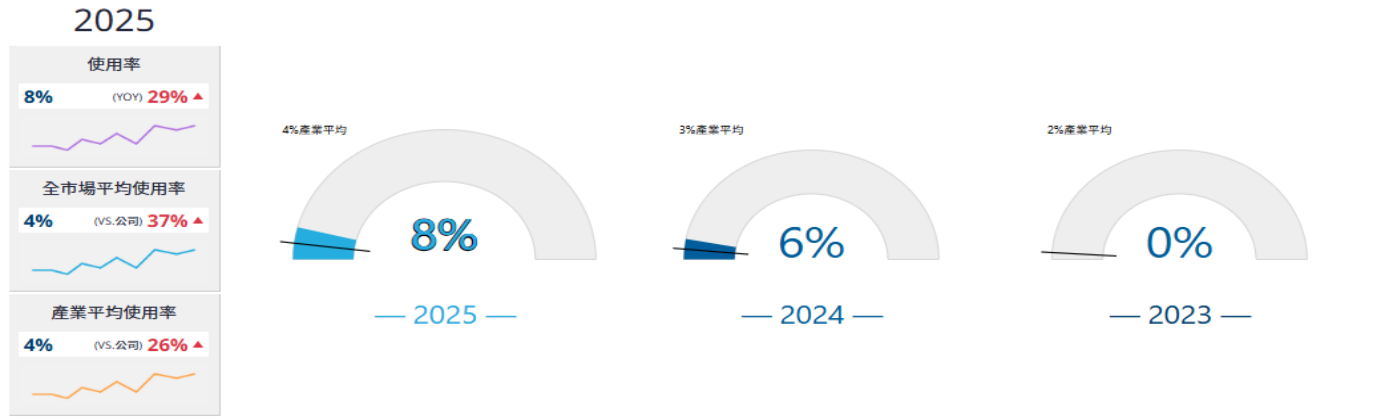
(百萬元)	2023	2024	2025	2026F	2027F
成長力分析(%)					
營業收入淨額	-20.65%	8.80%	9.55%	204.61%	84.41%
營業毛利淨額	-47.98%	7.17%	29.98%	492.16%	91.41%
營業利益	--	--	990.57%	2381.36%	113.46%
稅後純益	-99.77%	1959.92%	347.77%	2713.39%	109.95%
獲利能力分析(%)					
毛利率	29.86%	29.41%	34.89%	67.83%	70.41%
EBITDA(%)	15.75%	17.98%	20.50%	60.33%	65.33%
營益率	-2.17%	0.62%	6.19%	50.43%	58.37%
稅後純益率	0.05%	0.87%	3.55%	40.93%	46.60%
ROE(%)	-1.23%	0.65%	3.97%	64.42%	78.89%

ESG 資訊-環境保護(Environmental)

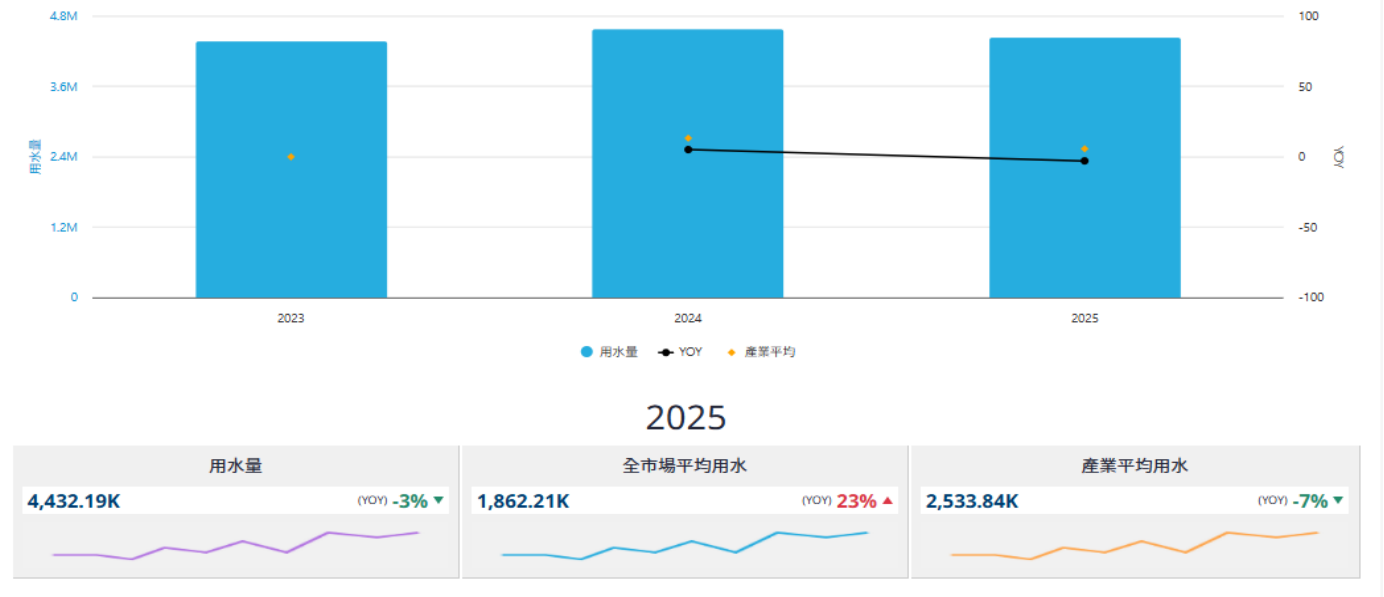
溫室氣體(範疇一/二)排放量



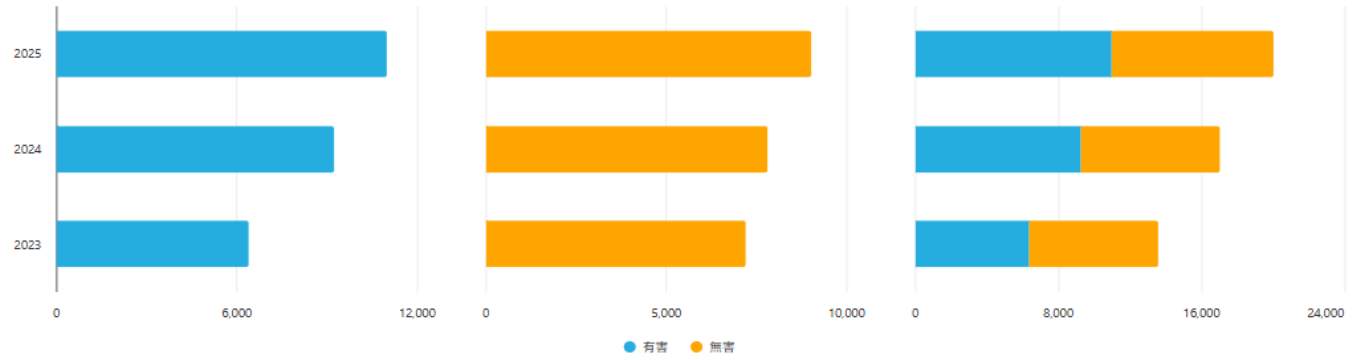
再生能源使用率



用水量



廢棄物量



2025

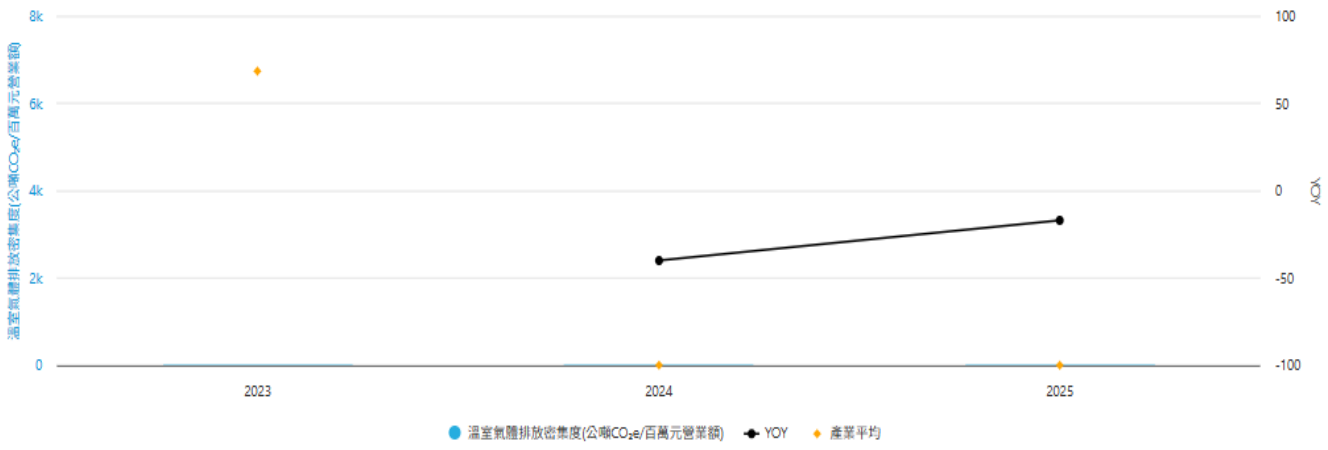
有害	無害	總量
10.99K (YOY) 19% ▲	9.03K (YOY) 16% ▲	20.02K (YOY) 16% ▲

密集度

2025

溫室氣體排放密集度	用水密集度	廢棄物密集度
5.281	143	0.565

溫室氣體排放密集度(公噸CO_2e/百萬元營業額)



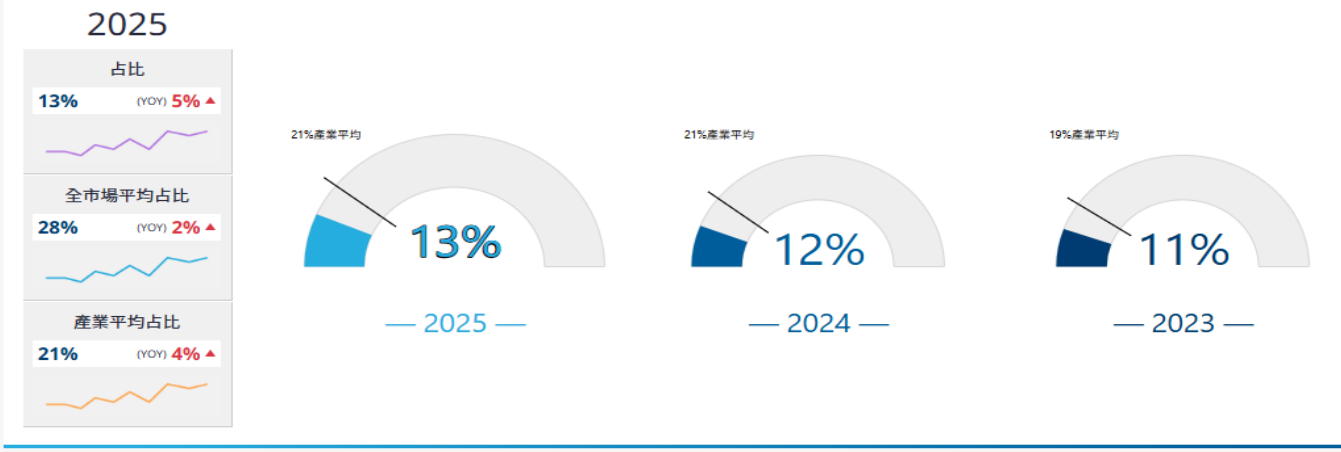
2025

溫室氣體排放密集度(公噸CO_2e/百萬元營業額)	全市場平均溫室氣體排放密集度(公噸CO_2e/百萬元營業額)	產業平均溫室氣體排放密集度(公噸CO_2e/百萬元營業額)
0.01K (YOY) -17% ▼	0.04K (YOY) 11% ▲	0K (YOY) -46% ▼

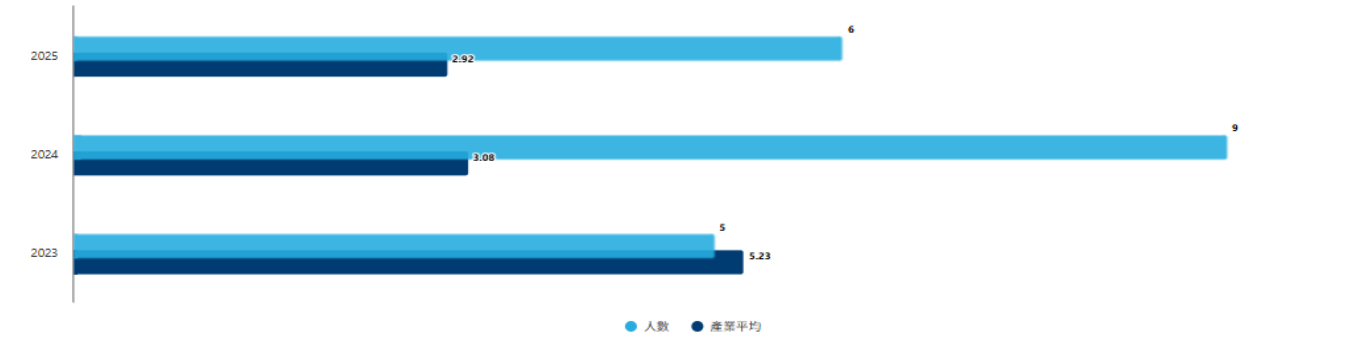
2026/11/04

ESG 資訊-社會責任(Social)

管理職女性主管占比



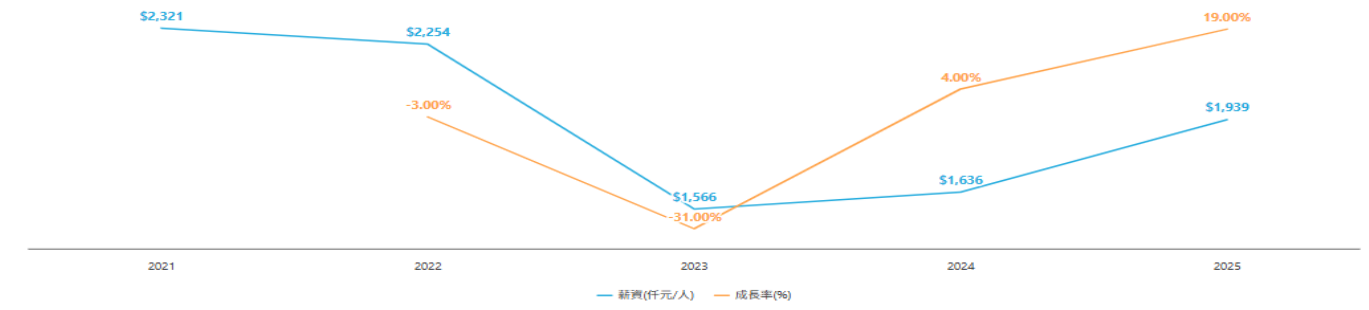
職業災害人數



2025

人數	全市場平均人數	產業平均人數
6 (YOY) -33% ▼	5 (VS.公司) -1% ▼	3 (VS.公司) -5% ▼

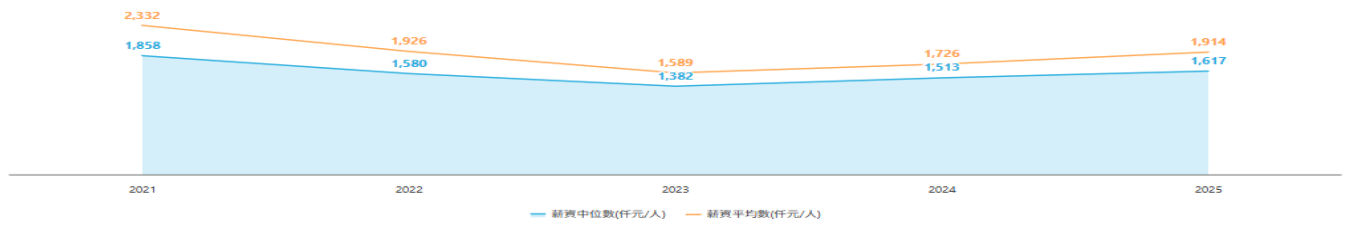
員工薪資年度趨勢



2025

員工薪資平均數	與去年同期比	與同產業薪資比
1,939	19% ▲	-24.86%

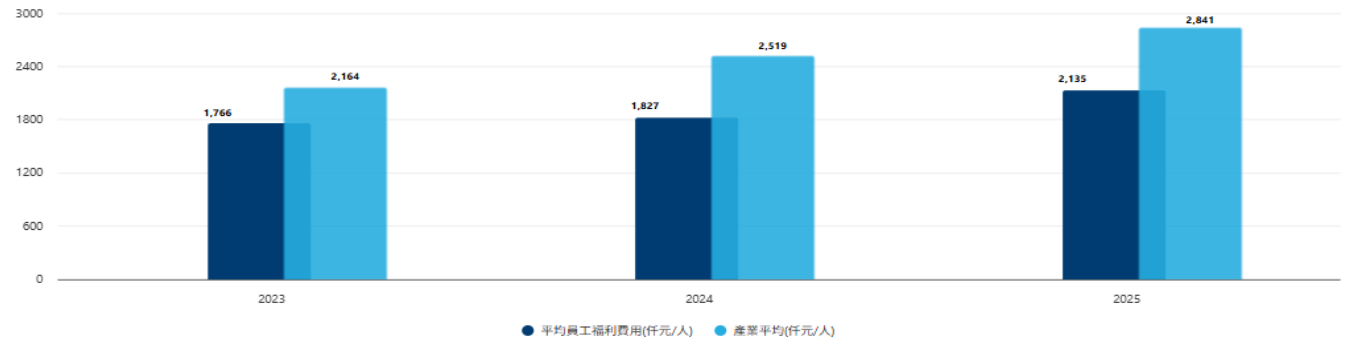
非擔任主管職務之全時員工薪資



2025

平均數	中位數	差異%
1,914 (YOY) 11% ▲	1,617 (YOY) 7% ▲	0% (YOY) 29% ▲

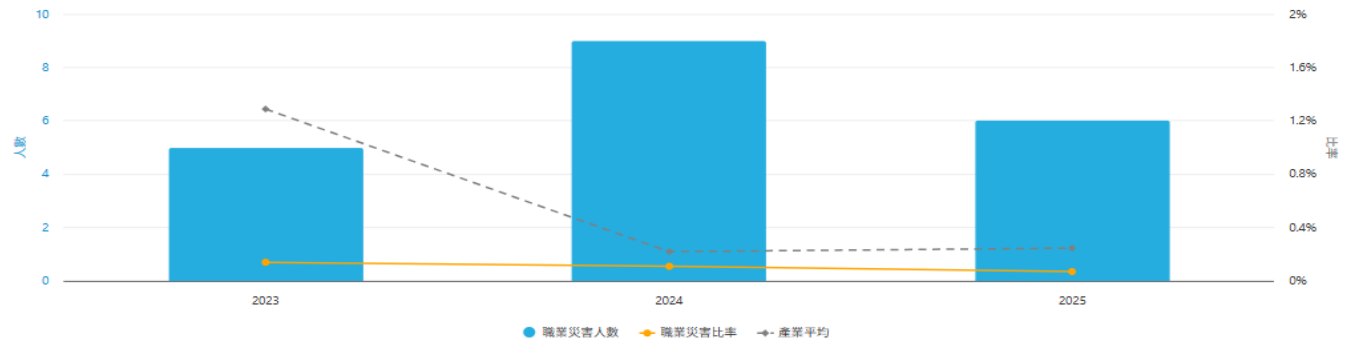
平均員工福利費用



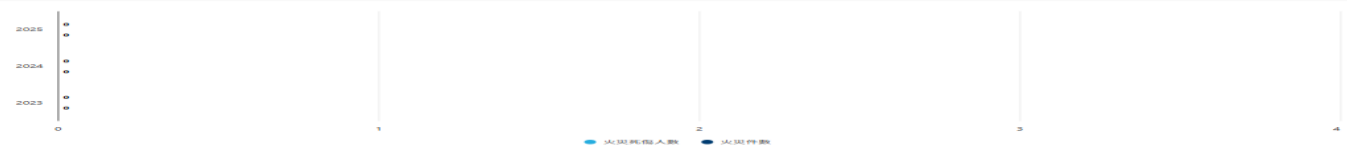
2025

平均福利	全市場平均福利	產業平均福利
2,135 (YOY) 17% ▲	1,350 (YOY) 3% ▲	2,841 (YOY) 13% ▲

職業災害人數與比率



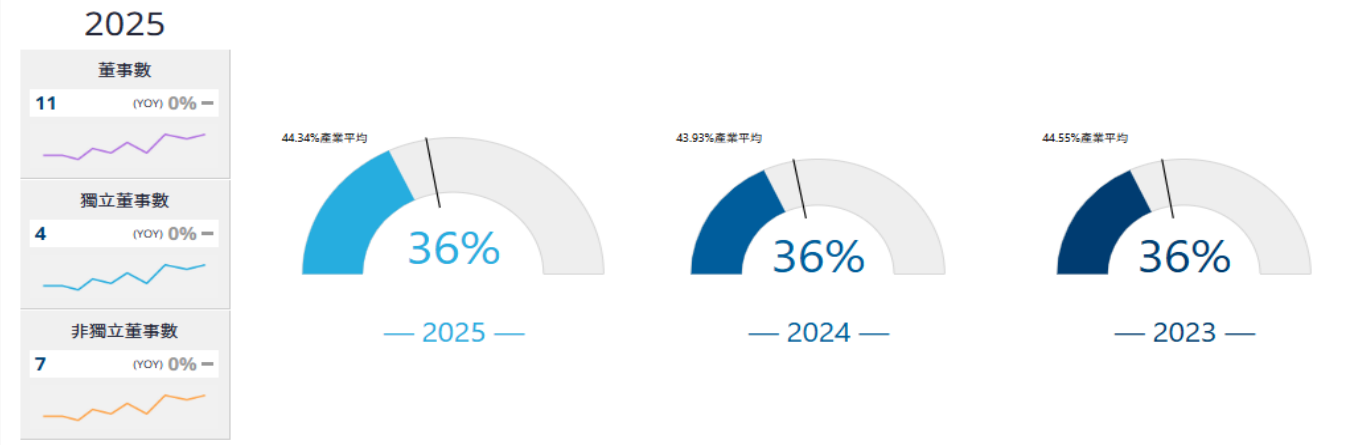
火災件數與死傷人數



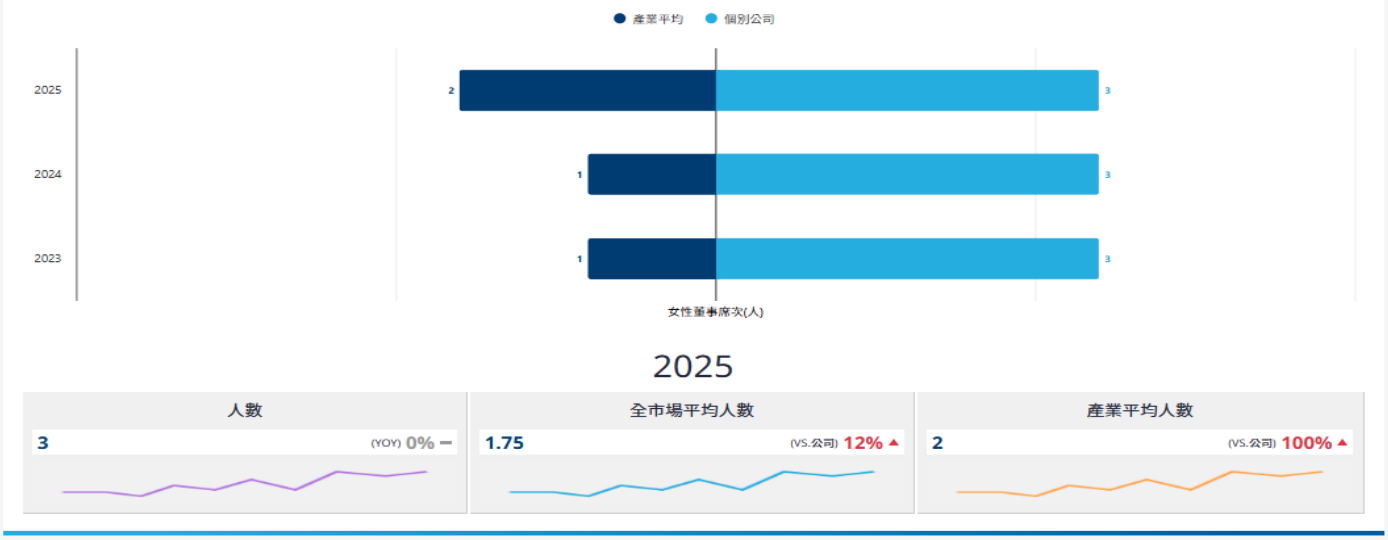
2026/11/04

ESG 資訊-公司治理(Governance)

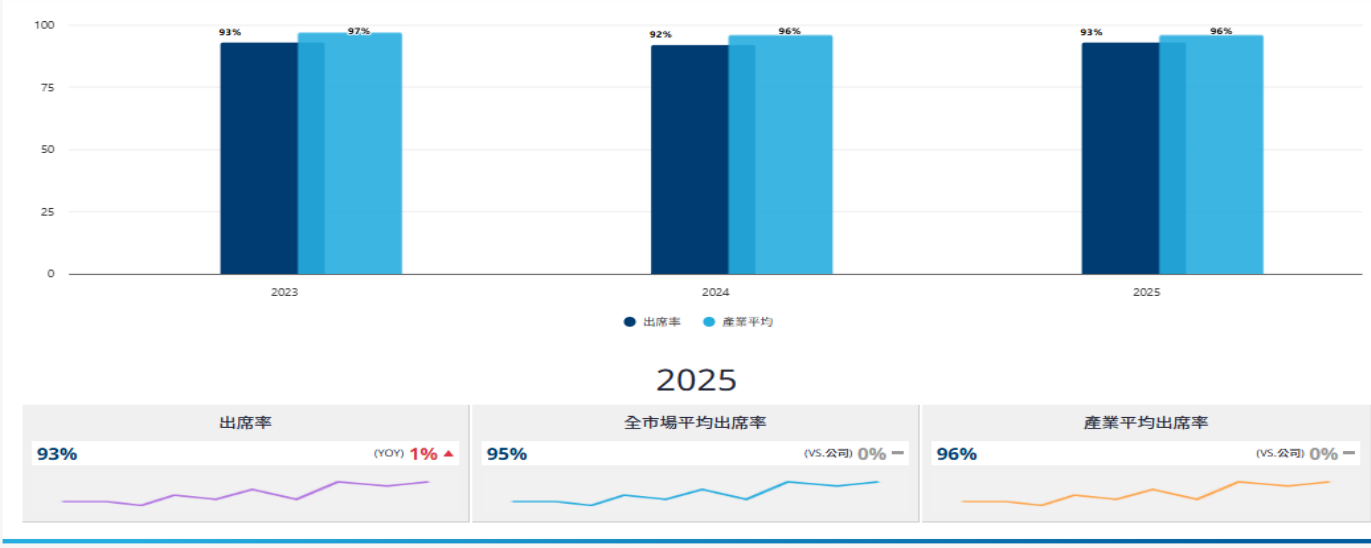
獨立董事vs.董事席次占比



女性董事席次



董事之董事會出席率



2026/11/04

董事進修符合進修要點比率

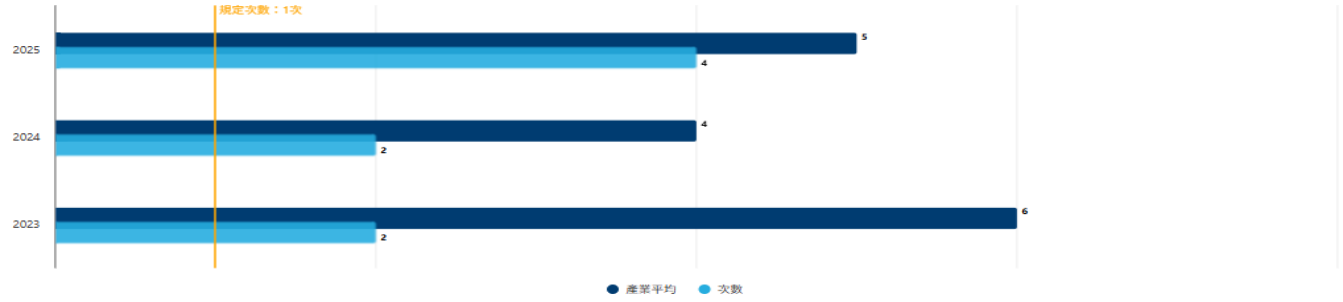


內圈:個別公司　外圈:產業平均

2025

進修率	全市場平均進修率	產業平均進修率
100% (YOY) 0%	94% (VS.公司) 1%	95% (VS.公司) 0%

法說會次數



2025

次數	全市場平均次數	產業平均次數
4 (YOY) 100%	2 (VS.公司) 0%	5 (VS.公司) 25%

薪酬委員會出席率

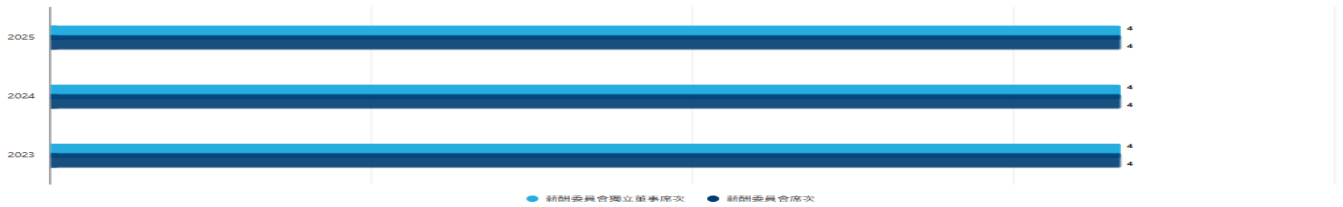


內圈:個別公司出席率　外圈:產業平均

2025

進修率	全市場平均進修率	產業平均進修率
90% (YOY) 0%	97% (VS.公司) 1%	97% (VS.公司) 0%

薪酬委員會席次



資料來源：證交所

2026/11/04

投資評等說明

個股評等	Rating	定義
買進	Buy (B)	相較於市場指數之回報潛力極具吸引力
增加持股	Overweight (OW)	相較於市場指數之回報潛力略有吸引力
中立	Neutral (N)	相較於市場指數之回報潛力相似
降低持股	Underweight (UW)	相較於市場指數之回報潛力稍低
賣出	Sell (S)	相較於市場指數之回報潛力較低
未評等	Not Rated (NR)	

免責聲明

【中國信託證券投資顧問股份有限公司獨立經營管理】

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中國信託證券投資顧問股份有限公司
台北市南港區經貿二路 188 號 5 樓及 18 樓 / (02) 5569-1988
營業執照字號：114 金管投顧新字第 014 號

2026/11/04

電腦周邊

達方(8163 TT)　　法說/座談摘要

前日收盤價	27.30 元

徐子捷
Jay.hsu@ctbcsis.com

IT 逆風拖累短期獲利，MLCC 與 AI 轉型蓄勢待發

- **PC 需求疲軟壓抑短期毛利，累計前三季獲利仍回升**
- **綠能去庫存年底步入尾聲，高階 MLCC 供需旺**
- **整合電源、散熱與電池技術，加速發展 AI Data Center**

結論：達方 3Q26 財報因 PC/NB 產業需求顯著疲軟，季營收與毛利率皆面臨下修壓力，EPS 0.31 元。不過，前三季累計獲利仍較去年大幅成長。展望後市，IT 周邊將維持短期逆風至 2H27；綠能(E-bike)通路庫存去化預估年底告一段落；MLCC 元件則受惠於日系同業淘汰部分品項，需求強勁且缺貨將延續至 2027 年。公司正加速將 IT 週邊事業轉型至 AI Data Center(散熱、BBU 備援電池單元)。目前處轉型階段且 IT 周邊事業遭逆風，我們中性看待。

3Q26 財務概況：

1. 營業收入：70 億元(QoQ-6.7%，YoY-7.8%)。
2. 營業毛利：10.54 億元(QoQ -15.4%)，毛利率 15.5%(QoQ-1.6%)。毛利下滑主因：PC 產業營收大幅下修使得產品組合劣化、原物料(PCB、機構件、金屬)價格上漲、以及人民幣相對美元升值超過 4%增加台幣成本。
3. 營業費用：10.2 億元(QoQ-7.1%，YoY-13.4%)，主因公司持續進行產能整合與費用精實管理。
4. 營業利益：3,400 萬元(QoQ-77%，YoY+113%)。
5. 稅前淨利：4,500 萬元(QoQ-56.8%)。
6. 歸屬母公司淨利：8,500 萬元(QoQ-1.2%)。
7. EPS：0.31 元。
8. 財務結構：現金及有價證券約 83 億元(QoQ+18 億，主因應對台灣資金緊縮而提前局部佈局)；應收帳款減少約 4 億元、存貨減少約 4.3 億元；流動比率 146.7%、負債比率約 63%。

1~3Q26 累計財務概況：

1. 營業收入：205 億元(YoY+8.8%)。
2. 營業毛利率：16.5%(YoY+12.4%)。
3. 營業利益：2.61 億元(YoY+363%)。
4. 歸屬母公司淨利：2.28 億元(YoY+78%)。
5. EPS：0.82 元。

4Q26 及中長期營運展望：

1. 營收與獲利：全年營收成長目標不變，預計 4Q26 仍將維持成長態勢。下半年隨「售價反應成本」與「工廠管理」發酵，目標毛利率回升至 18%～20% 健康區間。
2. 產業復甦時程：PC 產業 4Q26 衰退態勢仍將延續，預估 2027 年將轉為個位數衰退，2Q27 後可能有小幅反彈。
3. 資本支出：2026 全年預算約 10 億元，其中約一半用於設備，另一半用於廠房(目前主要集中在設備類支出)。

營運概況與三大事業群：

1. IT 周邊(智能)營收佔比 41%(前三季累計約 44%)：

• 3Q26 因 CPU、記憶體等原物料漲價導致終端售價調漲 3~5 成，引發 PC 需求大幅下修、訂單遭到排擠。

• 面臨紅色供應鏈激烈競爭，部分客戶初期開始與中國大陸 EMS 廠合作，公司正緊密觀察威脅。

2. 綠能產品(e-Mobility)營收佔比 44%(前三季累計約 43%)：

• 3Q26 營收下修主因歐洲(德國)通路正值暑假度假期間。

• 歐洲(特別是德國 GROFA 通路)今年在售後市場消耗品領域成長顯著。

• 歐洲去庫存速度較往年快，預計 2026 年底大部分庫存將去化完畢，2027 年新案開發訂單展望正向。

3. 整合元件(被動元件)營收佔比 15%(前三季累計約 13%)：

• 3Q26 呈現雙位數增長。日系同業策略性淘汰部分品項，常規高階品(高容、中高壓)需求極為強勁，工廠產能利用率處於高檔，預期缺貨狀況將延續至 2027 年。

轉型與產能調整戰略：

1. 產能結構精實化：蘇州廠已「輕製造化」，僅保留高價值產線，其餘移往淮安或重慶。因東南亞產能目前偏向過剩，未來半年到一年內將對越南(自購)與泰國(租賃)廠區進行成本調整。

2. 策略併購進度：

• 海昌電子：2026 年 2 月持股 100%併表，規模雖僅幾億元，但毛利穩健。目前除工控電源，也已投入 Data Center 測試設備電源。

• 佺璟：具備 CDU 專長。公司預計 4Q26 正式並表，總公司並表則預計在 4Q27 生效。

3. AI Data Center 布局：公司結合海昌(電源)、佺璟(散熱機構件)及達方既有的電池技術，正全力開拓 AI 伺服器的 BBU 應用與機構散熱，以穩住 IT 產業的整體獲利基礎並推動長線轉型。

Q&A 精選摘要：

Q：PC 產業原物料上漲與市況衰退，對達方的衝擊到何時？

A：原物料價格(PCB、機構件、金屬)與終端零售價上漲確實排擠了 PC 訂單，這段逆風會延續到 4Q26，全年衰退難免。預期明年 PC 產業整體仍是個位數衰退，但 2Q27 後有機會迎來小幅反彈，公司正透過費用精實管理來確保營運穩健。

Q：MLCC 特規品的需求與價格展望？

A：一般品價格幅度較縮小，但高階特規品(高容、中高壓)受惠日系同業戰略性退出，需求緊俏，預計缺貨會延續到明年，市場對公司 MLCC 的銷售展望持續維持正向。

Q：歐洲 E-bike 庫存與新訂單狀況？
A：今年庫存去化速度較快，年底大部分庫存預計就會清理完畢。德國 GROFA 通路表現很好，通路庫存去化對後端是正向訊號，明年的新案開發訂單看起來很正向。
Q：面對 NB 紅色供應鏈威脅，公司的應對策略？
A：的確看到部分高、低階機種開始與中國 EMS 廠合作，但目前還在初期。達方除守住既有週邊獲利外，最重要的戰略就是朝 AI Data Center 轉型，投入散熱與 Server 端的 BBU。
Q：海昌與佺璟的並表時間與營運貢獻？
A：海昌已 100%認列，毛利穩健，未來會結合達方的電源與電池技術跨足 BBU 領域。佺璟預計 4Q26 開始並表，總公司正式並表則在 4Q27，其 CDU 散熱專長將是達方跨入 AI 資料中心的第一步。

2026/11/04

ESG 資訊 -環境保護 (Environmental)

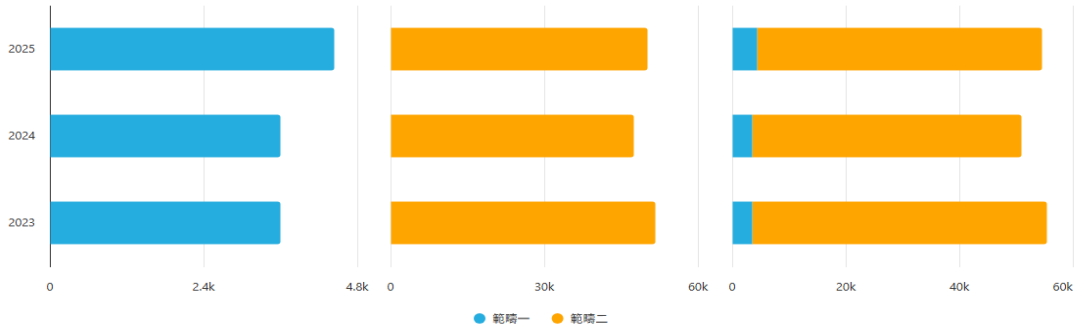
溫室氣體(範疇一/二)排放量

2025

總排放量
54.52K (YOY) 7% ▲

範疇一
4.44K (YOY) 23% ▲

範疇二
50.08K (YOY) 6% ▲



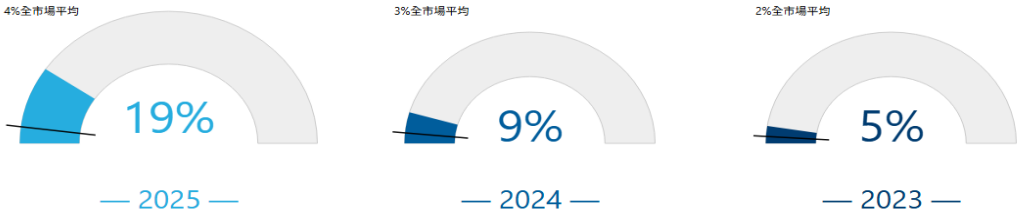
再生能源使用率

2025

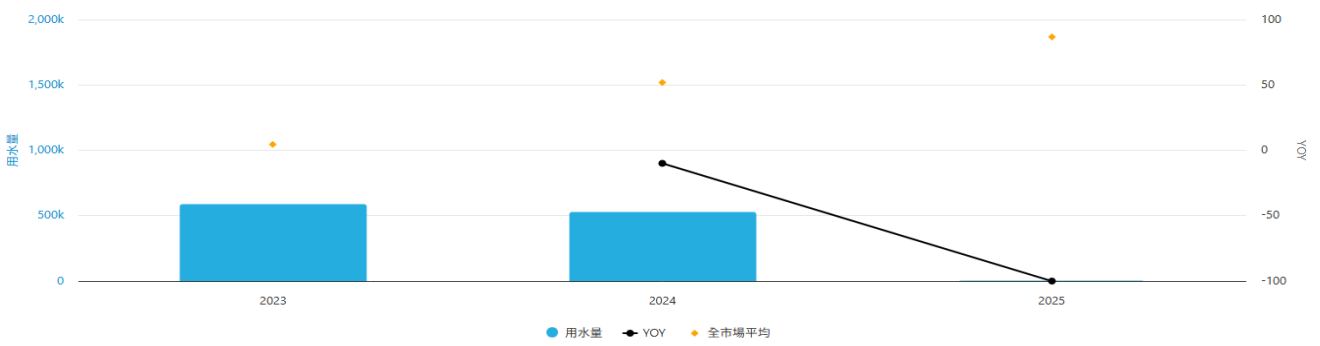
使用率
19% (YOY) 114% ▲

全市場平均使用率
4% (VS.公司) 38% ▲

產業平均使用率
16% (VS.公司) 24% ▲



用水量



2025

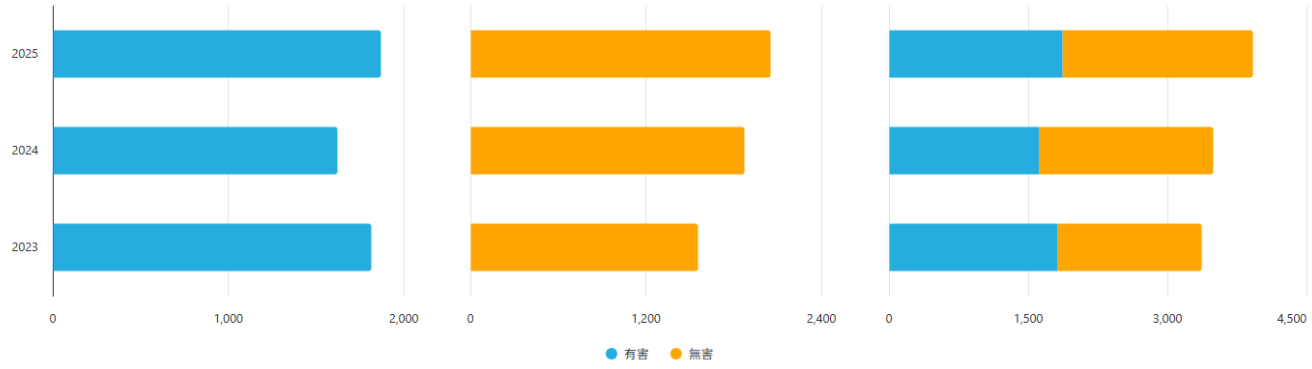
用水量
0.56K (YOY) -100% ▼

全市場平均用水
1,867.38K (YOY) 23% ▲

產業平均用水
3,078.68K (YOY) 978% ▲

2026/11/04

廢棄物量



2025

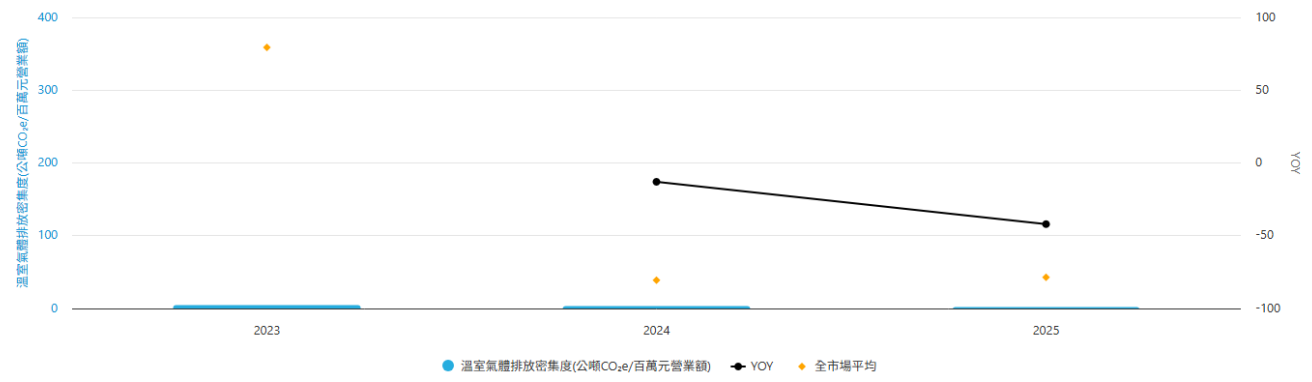
有害	無害	總量
1.87K (YOY) 15% ▲	2.05K (YOY) 10% ▲	3.92K (YOY) 10% ▲

密集度

2025

溫室氣體排放密集度	用水密集度	廢棄物密集度
2.1	0.022	0.156

溫室氣體排放密集度(公噸CO_2e/百萬元營業額)



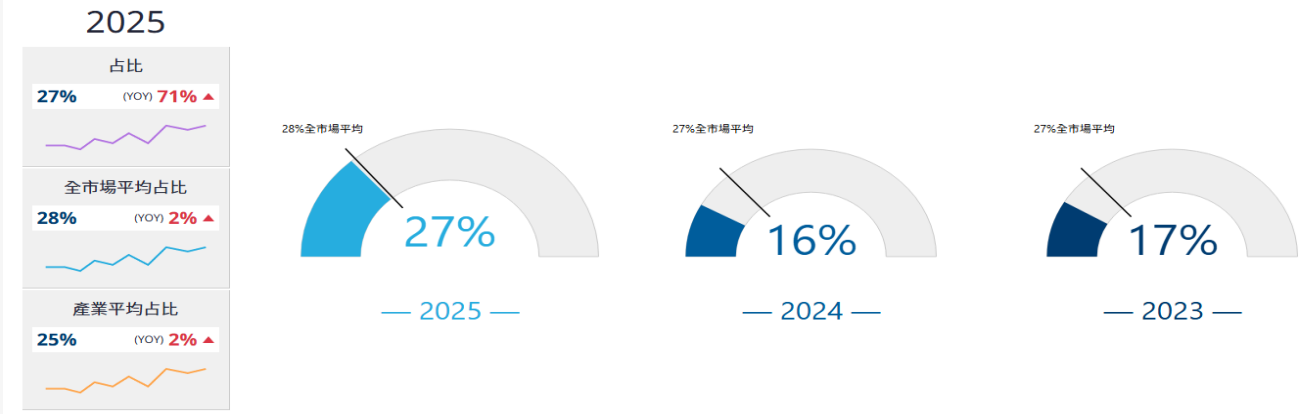
2025

溫室氣體排放密集度(公噸CO_2e/百萬元營業額)	全市場平均溫室氣體排放密集度(公噸CO_2e/百萬元營業額)	產業平均溫室氣體排放密集度(公噸CO_2e/百萬元營業額)
0K (YOY) -42% ▼	0.04K (YOY) 10% ▲	0.1K (YOY) -27% ▼

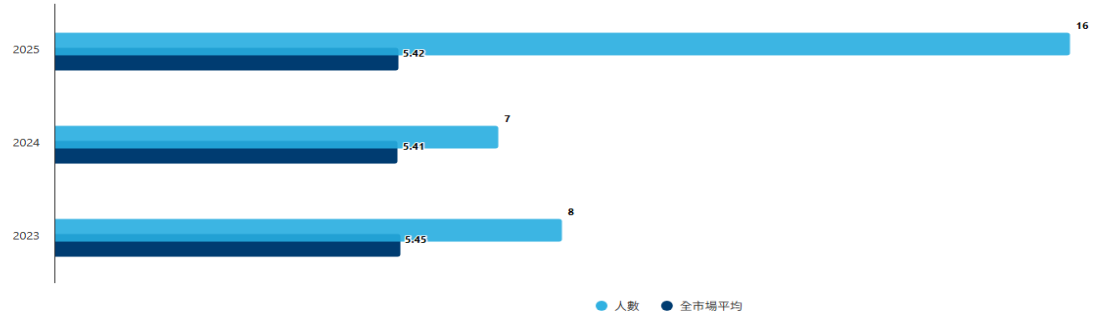
2026/11/04

ESG 資訊 -社會責任 (Social)

管理職女性主管占比



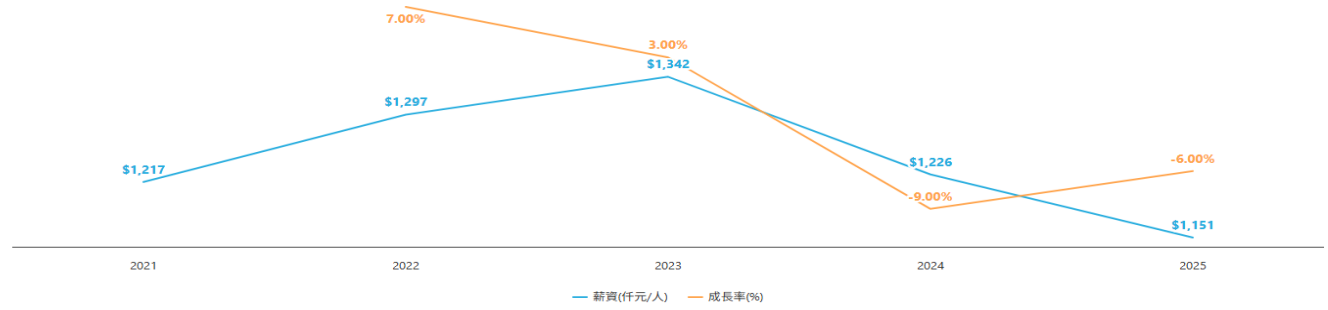
職業災害人數



2025

人數	全市場平均人數	產業平均人數
16 (YOY) 129% ▲	5 (VS.公司) 0% —	13 (VS.公司) 81% ▲

員工薪資年度趨勢

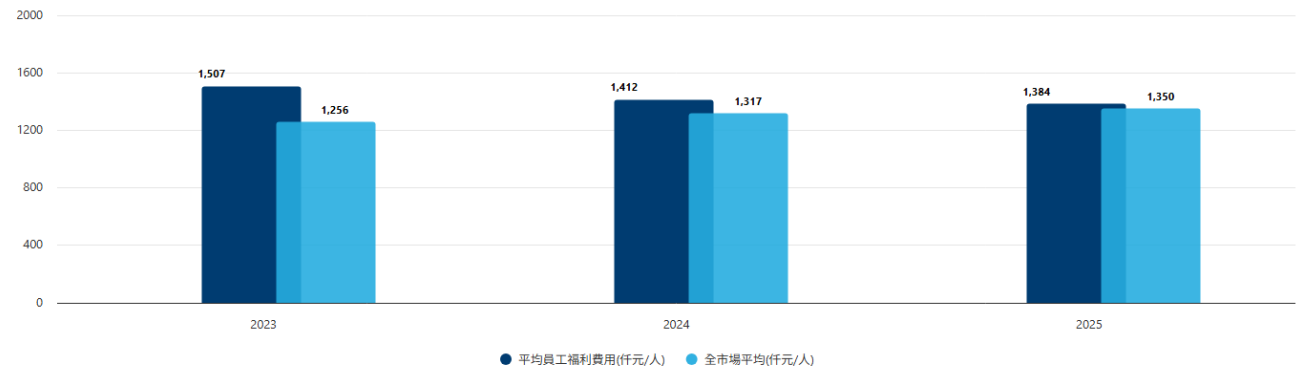


2025

員工薪資平均數	與去年同期比	與同產業薪資比
1,151	-6% ▼	-28.23%

2026/11/04

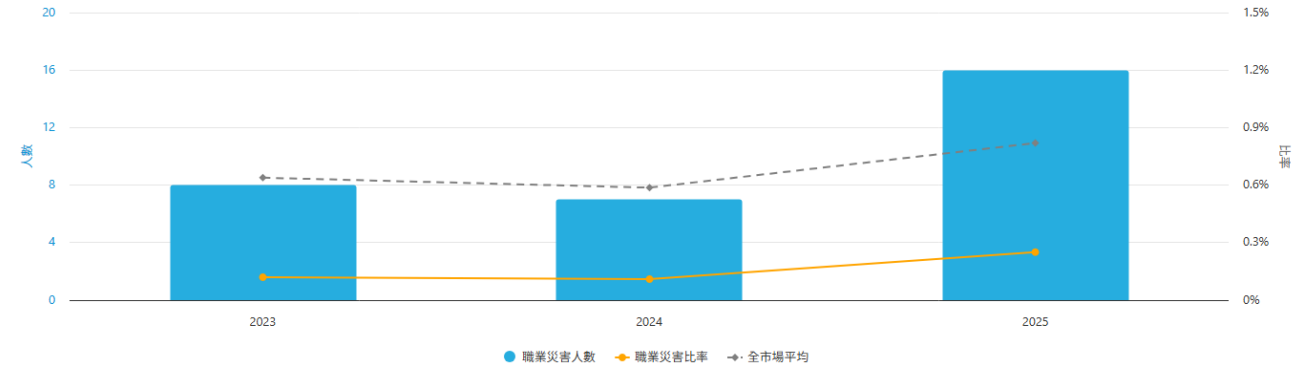
平均員工福利費用



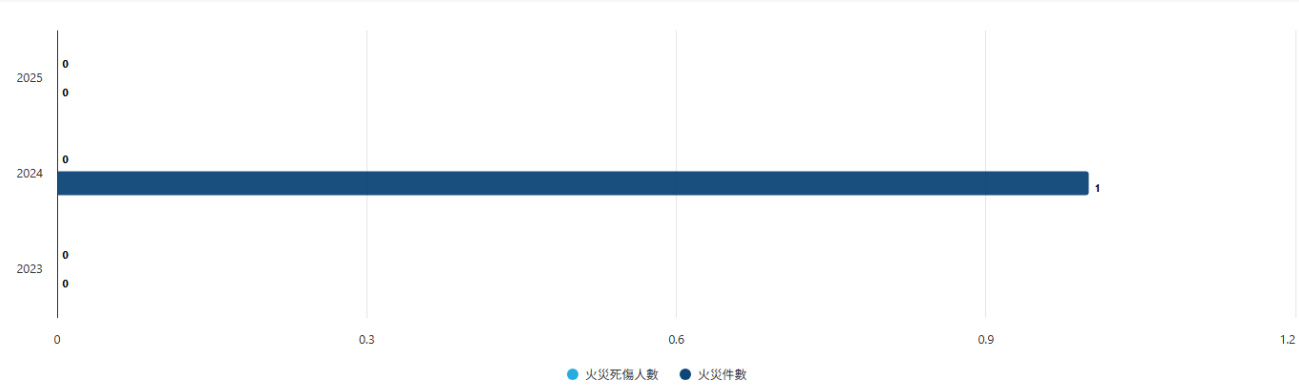
2025

平均福利	全市場平均福利	產業平均福利
1,384 (YOY) -2% ▼	1,350 (YOY) 3% ▲	1,828 (YOY) 9% ▲

職業災害人數與比率



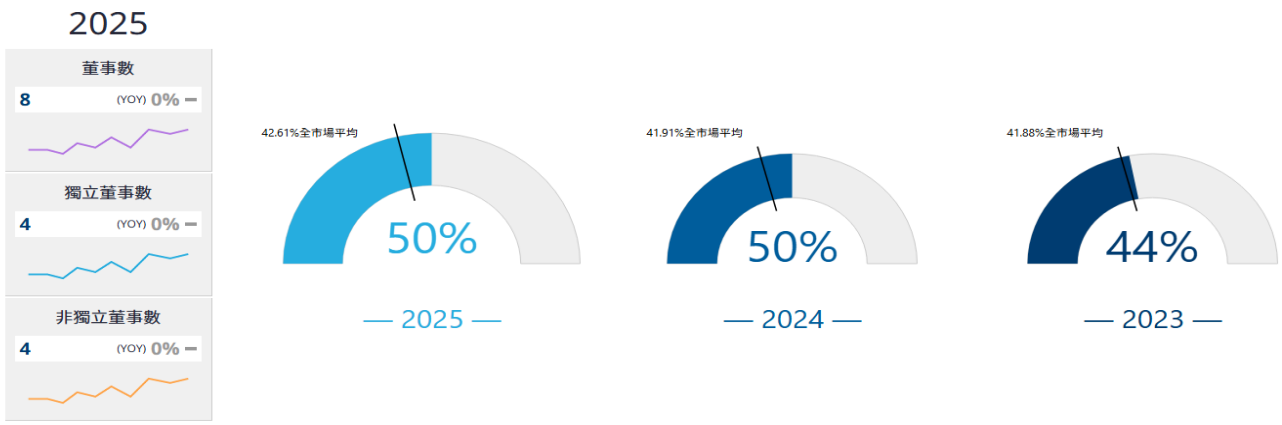
火災件數與死傷人數



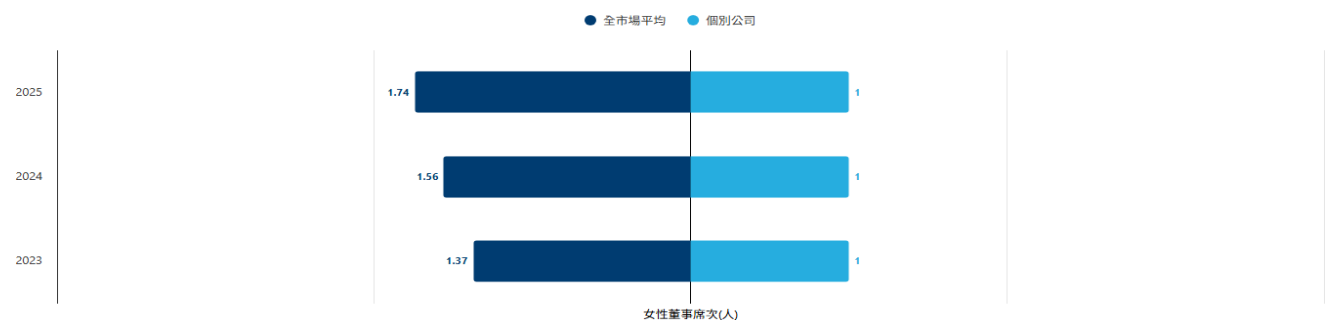
2026/11/04

ESG 資訊 -公司治理 (Governance)

獨立董事vs.董事席次占比

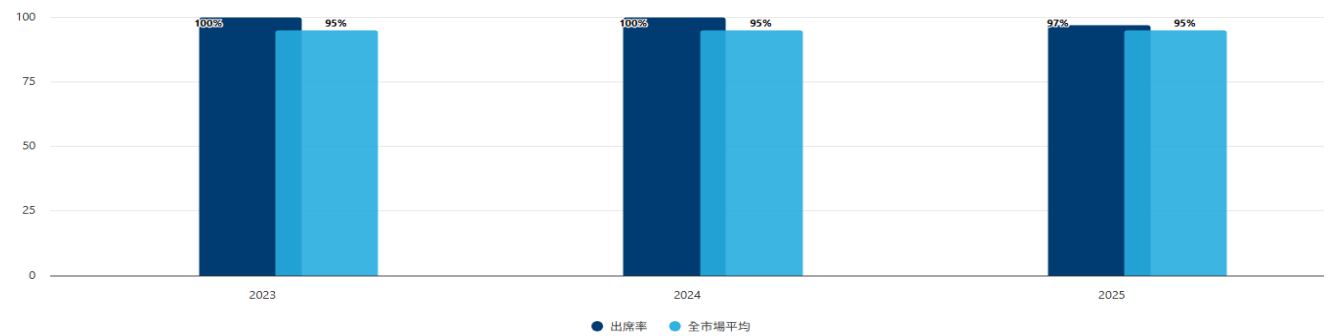


女性董事席次





董事之董事會出席率





2026/11/04

董事進修符合進修要點比率

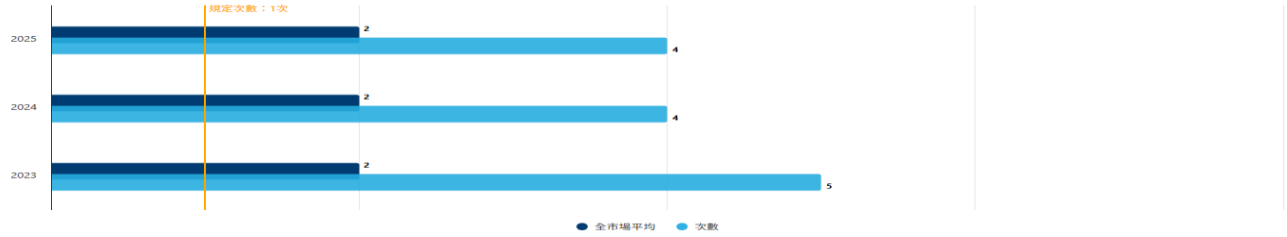


內圈:個別公司　外圈:全市場平均

2025

進修率	全市場平均進修率	產業平均進修率
100% (YOY) 0%	94% (VS.公司) 1%	94% (VS.公司) 2%

法說會次數



2025

次數	全市場平均次數	產業平均次數
4 (YOY) 0%	2 (VS.公司) 0%	5 (VS.公司) 25%

薪酬委員會出席率

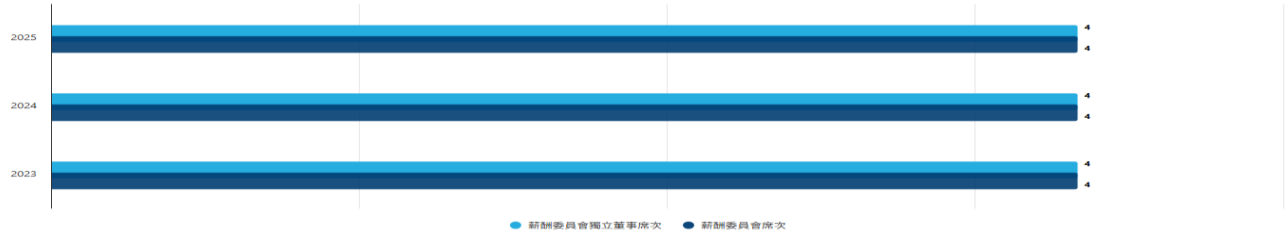


內圈:個別公司出席率　外圈:全市場平均出席率

2025

進修率	全市場平均進修率	產業平均進修率
88% (YOY) 0%	97% (VS.公司) 1%	98% (VS.公司) 2%

薪酬委員會席次



資料來源：證交所

個股摘要

2026/11/04

投資評等說明

個股評等	Rating	定義
買進	Buy (B)	相較於市場指數之回報潛力極具吸引力
增加持股	Overweight (OW)	相較於市場指數之回報潛力略有吸引力
中立	Neutral (N)	相較於市場指數之回報潛力相似
降低持股	Underweight (UW)	相較於市場指數之回報潛力稍低
賣出	Sell (S)	相較於市場指數之回報潛力較低
未評等	Not Rated (NR)	

免責聲明

【中國信託證券投資顧問股份有限公司獨立經營管理】

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中國信託證券投資顧問股份有限公司
台北市南港區經貿二路 188 號 5 樓及 18 樓 / (02) 5569-1988
營業執照字號：114 金管投顧新字第 014 號

達發(6526)：AI 基礎建設加速有線網通成長

建議：維持買進

2026E EPS		2027F EPS		BVPS	11/3收盤價	2027年P/E	目標價		建議
前次	本次	前次	本次	112.56	707	24.28	前次	本次	買進
21.03	22.40	25.38	29.12				700	885	

一、達發與母公司聯發科為大小平台、分工合作的關係，選擇投資有迭代、有門檻的技術

達發是由母公司聯發科的物聯網部門，加上絡達、創發、原睿，三個公司、四個團隊組合在一起的。專注於網通基礎建設與高階 AI 物聯網，包含有線通訊、無線通訊兩大領域、四個晶片系列的 IC 設計公司。達發是聯發科集團布局的重要一環。聯發科的晶片多為上千人研發團隊規模所開發的大平台，達發的晶片則是百人規模小平台，雙方是大小平台、分工合作的關係，可以提供更高價值、更完整的方案，服務全球客戶。2026 年全系列晶片導入 AI 技術。

二、應用於 Edge AI 的近程無線晶片長期朝高階市場發展，6nm 平台將於 2026 年底完成設計定案

近程無線晶片產品線主要應用於 Edge AI，包括藍牙音訊、藍牙通訊與衛星定位晶片，與母公司大平台晶片 5G、Wi-Fi、車用等分工合作，可回應更趨複雜且多元終端融合使用的新需求，是支援最後一哩路創新應用的基礎。因有線網通成長力道更強勁，近程無線晶片 2024 年佔營收 55%，2025~2026 年降為 50%。

藍牙音訊晶片持續維持品牌客戶旗艦產品的採用外，也已延伸至電競、商務、助輔聽，助輔聽已切入全球前五大品牌，已開始供應 OTC，未來規劃開發醫療等級。面對規格持續迭代的終端融合使用新需求，提供更豐富的 AI 音訊方案。主攻歐美日國際高端品牌，商務應用 2026 年開始收割。BTA 可服務的市場規模預估 10~20 億美元。新產品線藍牙通訊 BTD，應用產品包括遙控器、Tracker、ESL 等，已切入全球前三大電競品牌，未來持續拓展至 B2B 市場。

衛星定位晶片切入全球前五大智慧手錶品牌客戶。除了持續維持頂規穿戴裝置品牌客戶的採用，面對未來穿戴、行業應用、車用等多元應用領域，持續提供定位快、定位準、最省電的解決方案。達發的衛星定位晶片已於車商選配、車用後裝等追蹤應用為車廠採用，並與聯發科 Dimensity Auto 車用平台完成系統整合。

三、有線網通因 AI 基礎建設快速成長，寬頻及乙太網切入 AI 資料中心 BMC 帶外管理

有線網通產品線包括光纖固網寬頻、乙太網及光通訊晶片。2024 年佔營收 35%，隨著乙太網與光通高速成長，2025 年營收佔比提升至 45%，2026 年持續提升至 50%，預估 2027 年持續提升。

寬頻產品線目前主力仍為 GPON，全球市佔率約 17%，10GPON 全球市佔率快速提升，已佔寬頻營收 30%。全球超過 30 家運營商採用，在歐洲拿到一線電信商標案，2025 年開始量產貢獻營收。10GPON 目前滲透率 20%，預估 2026 年將持續提升至 30%。10GPON 於歐洲顯著成長，2026 年加速北美市場布局，2026 年前三季北美營收倍增，預估歐洲與北美將佔營收 50%。25GPON 已送樣美系客戶驗證，預計 2027 年進入量產。將持續推進 50GPON 具備 PQC，搶攻 AI 資料中心市場。

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乙太網營收貢獻度超過 10%，透過策略參股與九暘縱向垂直延伸 GbE 以下的 FE (Fast Ethernet)及 PoE (Power over Ethernet) 完整產品線，橫向則與亞信專長的 PC 介面乙太網合作，共同發揮三家公司產品技術優勢。集團轉投資 Aeosemi，完善 10G Ethernet PHY 布局。乙太網市場策略將由市佔率擴張進階至規格提升。積極耕耘低軌衛星應用，包括 Dish 戶外接收機 Dish 與室內路由器設備，目前低軌衛星主要客戶已成為乙太網最大客戶，且規格持續由 1G 提升至 2.5G。非管理型及輕管理型 switch 市占率持續提升。

此外，寬頻與乙太網已切入北美大型 CSP 供應鏈，支援 BMC 帶外管理(Out-of-Band Management)，預估 2026~2028 年市場規模將逐年翻倍成長。"

四、光通 2026 年與 2027 年營收指引皆為數倍成長

超高速 SerDes 傳輸及光驅動 Laser Driver 技術，已開發出 50/100/200/400 Gbps PAM4 DSP+LDD 系列晶片方案，主要應用於數據中心設備間互連的高速光模組。2024 年主要終端客戶為美國 CSP，2025 年新增光模組客戶，終端客戶擴張至中系 CSP，2026 年營收貢獻度預估 4%~6%，目前仍在快速起飛階段。周邊 TIA 採用矽鍺製程，單價為主晶片 1/3~1/4，2025 年已開始搭配既有客戶的 50G 主晶片量產。單通道 100G 主晶片已於 4Q25 設計定案，獲得全球前五大光模組客戶 Design-in，2027 年開始貢獻營收；搭配之 TIA 同步推出，搭載率將大幅提升。預估 2028 年之前 100G 八通道之 800G 模組仍將為市場主流，下一世代 1.6T 模組，單通道 200G 主晶片+TIA 相關之研發人員及 IP 已到位，將同時提供可插拔與 NPO 方案。光通訊產品線毛利率為產品線中最高，亦為成長率最大的產品線。NPO/CPO 與可插拔光通模組互補並進，非直接取代。近期完成轉投資元澄，取得 2.1%股權，擴大光通版圖。

九暘的 POE 於安防工控市場具備高度潛力。九暘與 STB 業務毛利率低於公司平均。

五、3Q26 營收續創歷史新高，毛利率季減、營業利益率及淨利率季增；4Q26 指引季增、年增

有線無線兩大產品線皆成長，3Q26 營收 69.41 億元，+10.4%QOQ、+23.3%YOY，續創歷史新高。毛利率則因成本上漲(主要來自 KGD、NOR 及 OSAT)，季減 1.9 個百分點為 49.3%。營業利益率季增 1.3 個百分點為 16.3%；營業利益 11.34 億元，+20.2%QOQ、+29.3%YOY。稅後淨利 10.38 億元，+17.9%QOQ、+23.9%YOY，EPS 6.18 元。

4Q26 指引：光通、乙太網、藍牙持續成長，營收將維持季增表現、年增幅度加大。

2026 年指引：營收持續成長，光通、乙太網與九暘合計營收將佔 20%；高毛利率產品線，光通、低軌衛星、AI 資料中心相關營收貢獻度合計，2025 年低於 5%，2026 年將提升至 5%~10%。透過產品組合提升，以及價格調整反映成本，毛利率預估維持 50%以上。營業費用年增 10%。"

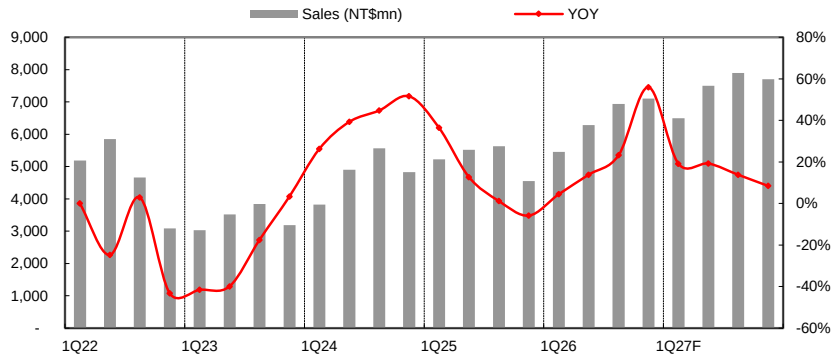
六、維持買進理由

AI 基礎建設加速有線網通成長，光通、寬頻、乙太網切入 CSP 資料中心。

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Comprehensive income statement NT$m

	1Q26	2Q26	3Q26	4Q26E	FY24	FY25	FY26E	FY27F
	IFRS	IFRS	IFRS	IFRS	IFRS	IFRS	IFRS	IFRS
Net sales	5,455	6,289	6,941	7,100	19,122	20,926	25,786	29,600
Gross profit	2,877	3,217	3,421	3,479	10,005	10,865	12,994	14,800
Operating profit	816	943	1,134	1,203	2,876	2,908	4,096	5,428
Total non-ope inc.	79	84	81	82	268	350	312	328
Pre-tax profit	895	1,027	1,215	1,285	3,149	3,284	4,422	5,756
Net profit	748	880	1,038	1,092	2,692	2,901	3,759	4,893
EPS	4.47	5.25	6.18	6.50	16.09	17.31	22.40	29.12
Y/Y %	**1Q26**	**2Q26**	**3Q26**	**4Q26E**	**FY24**	**FY25**	**FY26E**	**FY27F**
Net sales	4.5	13.9	23.3	56.0	40.9	9.4	23.2	14.8
Gross profit	6.6	15.4	16.5	42.6	58.2	8.6	19.6	13.9
Operating profit	10.7	15.5	29.3	152.2	184.6	1.1	40.9	32.5
Net profit	2.4	13.1	23.9	96.9	177.7	7.8	29.6	30.2
Q/Q %	**1Q26**	**2Q26**	**3Q26**	**4Q26E**	**FY24**	**FY25**	**FY26E**	**FY27F**
Net sales	19.9	15.3	10.4	2.3				
Gross profit	17.9	11.9	6.3	1.7				
Operating profit	71.0	15.6	20.2	6.1				
Net profit	34.8	17.7	17.9	5.2				
Margins %	**1Q26**	**2Q26**	**3Q26**	**4Q26E**	**FY24**	**FY25**	**FY26E**	**FY27F**
Gross	52.7	51.2	49.3	49.0	52.3	51.9	50.4	50.0
Operating	15.0	15.0	16.3	16.9	15.0	13.9	15.9	18.3
Net	13.7	14.0	15.0	15.4	14.1	13.9	14.6	16.5



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2026/11/04

IC 設計

達發 (6526 TT)

維持評等

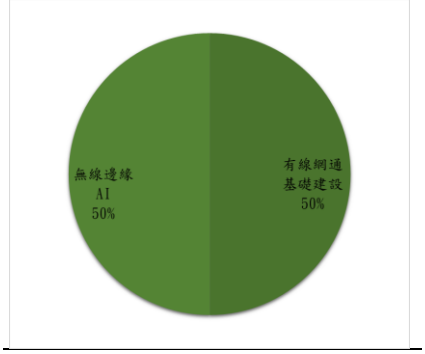
增加持股(Overweight)

潛在漲幅	13.15%
前日收盤價	707.00 元
目標價	800.00 元
前次目標價	660.00 元
前次評等	增加持股

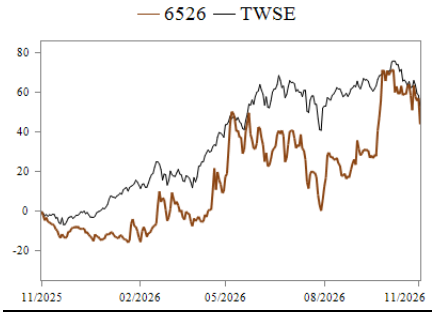
公司基本資訊

目前股本(百萬元)	1,675
市值(億元)	1,184
目前每股淨值(元)	112.56
外資持股比(%)	10.83
董監持股比(%)	66.41

營業比重



個股與大盤走勢(%)



4Q26 淡季不淡，2027 年光通業務展望樂觀

- **3Q26 財報略優預期，4Q26 淡季不淡**
- **光通訊為主要成長動能，2027 年營收成長 3 倍**
- **漲價效益於 4Q26 浮現，獲利能力有望好轉**

3Q26 財報略優預期，4Q26 淡季不淡：達發 3Q26 營收 69.4 億元(QoQ+10%，YoY+23%)，優於市場共識 66.6 億元，毛利率 49.3%(QoQ-1.9ppts，YoY-2.9ppts)，若排除 3Q25 回沖利益年減 1 ppts，主因受到上游供應鏈成本上升影響，營益率 16.3%(QoQ+1.3ppts，YoY+0.7ppt)，EPS 6.15 元(QoQ+0.9 元，YoY+1.15 元)，略優於市場共識 6.03 元。公司預期光通訊、乙太網以及藍牙音訊高階應用等產品出貨動能延續，4Q26 營收表現將顯著優於往年傳統淡季表現。

光通訊、乙太網業務為主要成長動能：公司 4Q26 營運淡季不淡主要受惠光通訊、乙太網業務持續成長。光通訊業務方面，100G DSP 已於 3Q26 小量出貨，預期 1H27 放量，100G TIA 將同步提供給客戶，預期搭載率將高於 50G，200G DSP 目前開發中，預期 2027 年底 tape-out，公司維持 2027 年光通訊營收成長 3 倍預期不變。乙太網路業務則受惠低軌衛星 2.5G PHY 升級與非管理型、輕管理型交換器需求。除此之外，藍牙音訊受惠商用、電競耳機專案穩定成長；寬頻業務則隨著 PON 規格提升、資料中心 OOB 架構提供中長期成長動能。

漲價效益 4Q26 顯現，毛利率有望改善：公司 3Q26 毛利率表現低於市場共識，主因漲價反映至客戶需要時間，預期 4Q26 起漲價效應將逐步顯現，雖無法完全反映成本上漲幅度，但公司仍維持 2026 年全年毛利率 50%看法不變。費用方面，2026 年費用維持年增 10.5%預期不變，2027 年雖有 200G SerDes 開發，然採用收權金依年限攤提，預期費用不會有顯著影響，整體而言，我們預期由於營收規模擴大公司營益率表現有望持續改善。

評價：我們認為公司整體展望維持樂觀，維持「增加持股」評等，目標價 800 元(2027 年 EPS x 27 倍 PER)。**風險因子：**光通訊成長性不如預期。

賴彥維
Benson.lai@ctbcsis.com

(百萬元)	2022	2023	2024	2025	2026F	2027F
營業收入淨額	18,781	13,576	19,122	20,926	25,193	29,746
營業毛利淨額	9,042	6,322	10,005	10,865	12,805	15,297
營業利益	3,353	1,011	2,876	2,908	4,015	5,475
稅後純益	2,894	969	2,692	2,901	3,694	4,985
公告基本 EPS(元)	19.90	6.47	16.10	17.32	--	--
調整後 EPS(元)	--	5.84	16.07	17.32	22.05	29.76
營業收入 YoY(%)	5.91%	-27.72%	40.86%	9.43%	20.39%	18.07%
稅後純益 YoY(%)	49.45%	-66.51%	177.72%	7.76%	27.35%	34.95%
本益比	--	84.86	41.89	25.05	32.06	23.75
本淨比	--	5.54	6.09	3.76	5.66	4.57
股息(元)	15.00	4.96	12.50	13.50	17.20	23.21
殖利率(%)	2.41%	0.67%	2.28%	1.97%	2.43%	3.28%
ROE(%)	44.43%	7.72%	15.38%	15.31%	18.35%	21.29%

圖表一：季度財報與預估差異

損益表	3Q26					4Q26(F)				
(單位：百萬元)	實際數	中信預估	差異	市場共識	差異	調整後	調整前	差異	市場共識	差異
營業收入	6,941	6,540	6.1%	6,659	4.2%	6,507	6,422	1.3%	6,441	1.0%
營業毛利	3,421	3,365	1.7%	3,377	1.3%	3,290	3,311	-0.6%	3,264	0.8%
營業利益	1,134	1,086	4.4%	1,077	5.3%	1,122	1,144	-1.9%	1,042	7.7%
稅前純益	1,215	1,156	5.1%	1,150	5.6%	1,202	1,214	-1.0%	1,114	7.9%
稅後淨利	1,029	986	4.4%	981	4.9%	1,037	1,035	0.2%	941	10.1%
EPS(元)	6.15	5.89	4.4%	6.03	2.0%	6.19	6.18	0.2%	5.65	9.4%
財務比率(%/百分點)										
毛利率	49.3%	51.5%	-2.2 ppts	50.7%	-1.4 ppts	50.6%	51.6%	-1.0 ppts	50.7%	-0.1 ppts
營益率	16.3%	16.6%	-0.3 ppts	16.2%	0.2 ppts	17.2%	17.8%	-0.6 ppts	16.2%	1.1 ppts
稅後淨利率	14.8%	15.1%	-0.2 ppts	14.7%	0.1 ppts	15.9%	16.1%	-0.2 ppts	14.6%	1.3 ppts

資料來源：CMoney、Bloomberg，中信投顧整理

圖表二：預估財報調整表

損益表	2026(F)					2027(F)				
(單位：百萬元)	調整後	調整前	差異	市場共識	差異	調整後	調整前	差異	市場共識	差異
營業收入	25,193	24,706	2.0%	24,844	1.4%	29,746	29,642	0.3%	28,994	2.6%
營業毛利	12,805	12,770	0.3%	12,736	0.5%	15,297	15,434	-0.9%	14,878	2.8%
營業利益	4,015	3,989	0.7%	3,878	3.5%	5,475	5,412	1.2%	5,301	3.3%
稅前純益	4,338	4,292	1.1%	4,185	3.7%	5,795	5,692	1.8%	5,518	5.0%
稅後淨利	3,694	3,646	1.3%	3,551	4.0%	4,985	4,841	3.0%	4,713	5.8%
EPS(元)	22.05	21.77	1.3%	21.40	3.0%	29.76	28.90	3.0%	27.80	7.0%
財務比率(%/百分點)										
毛利率	50.8%	51.7%	-0.9 ppts	51.3%	-0.4 ppts	51.4%	52.1%	-0.6 ppts	51.3%	0.1 ppts
營益率	15.9%	16.1%	-0.2 ppts	15.6%	0.3 ppts	18.4%	18.3%	0.1 ppts	18.3%	0.1 ppts
稅後淨利率	14.7%	14.8%	-0.1 ppts	14.3%	0.4 ppts	16.8%	16.3%	0.4 ppts	16.3%	0.5 ppts

資料來源：CMoney、Bloomberg，中信投顧整理

2026/11/04

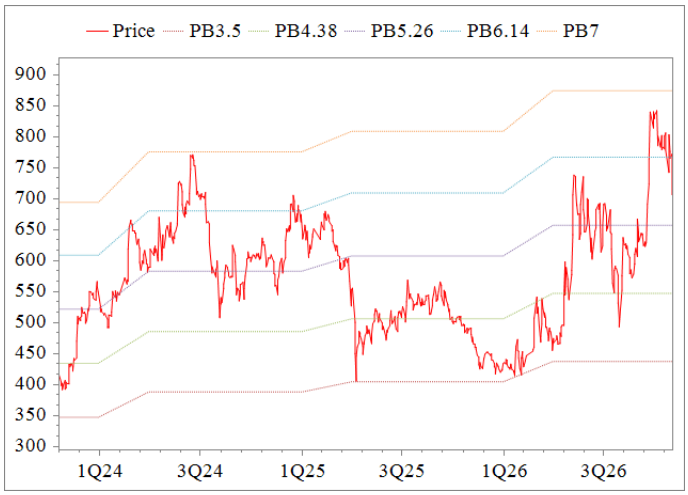
(百萬元)	1Q26	2Q26	3Q26F	4Q26F	1Q27F	2Q27F	3Q27F	4Q27F
營業收入	5,455	6,289	6,941	6,507	6,749	7,246	7,876	7,874
營業成本	2,579	3,071	3,520	3,217	3,314	3,524	3,817	3,794
營業毛利	2,877	3,217	3,421	3,290	3,436	3,721	4,059	4,081
營業費用	2,061	2,274	2,287	2,168	2,354	2,486	2,512	2,470
營業利益	816	943	1,134	1,122	1,081	1,235	1,547	1,611
營業外收支淨額	79	84	81	80	80	80	80	80
稅前純益	895	1,027	1,215	1,202	1,161	1,315	1,627	1,691
所得稅	149	141	177	180	174	197	244	254
稅後純益	748	880	1,029	1,037	1,002	1,133	1,398	1,453
調整後 EPS(元)	4.47	5.25	6.15	6.19	5.98	6.76	8.35	8.67
毛利率(%)	52.73%	51.16%	49.29%	50.56%	50.90%	51.36%	51.54%	51.83%
營業利益率(%)	14.96%	15.00%	16.33%	17.24%	16.02%	17.04%	19.64%	20.46%
稅後純益率(%)	13.71%	14.00%	14.83%	15.93%	14.85%	15.63%	17.75%	18.45%
營業收入								
QoQ(%)	19.88%	15.27%	10.38%	-6.25%	3.72%	7.36%	8.70%	-0.02%
YoY(%)	4.46%	13.88%	23.28%	42.99%	23.72%	15.22%	13.47%	21.01%
營業利益								
QoQ(%)	71.04%	15.59%	20.21%	-1.07%	-3.59%	14.19%	25.26%	4.16%
YoY(%)	10.73%	15.52%	29.28%	135.13%	32.54%	30.93%	36.43%	43.63%
稅後純益								
QoQ(%)	34.80%	17.66%	16.97%	0.68%	-3.31%	13.02%	23.41%	3.91%
YoY(%)	2.45%	13.12%	22.90%	86.79%	33.98%	28.70%	35.79%	40.14%

PER Band



資料來源：中信、CMoney

PBR Band



資料來源：CMoney

2026/11/04

資產負債表

(百萬元)	2022	2023	2024	2025	2Q26
資產總計	17,073	20,046	27,111	28,217	30,717
流動資產	12,271	13,471	17,016	18,013	20,539
現金及約當現金	3,744	9,206	12,056	12,742	13,577
應收帳款與票據	1,605	2,068	2,176	2,185	3,145
存貨	5,232	1,574	2,304	2,620	3,174
採權益法之投資	544	552	556	703	687
不動產、廠房設備	1,285	2,753	3,636	3,808	3,934
負債總計	8,405	3,589	6,149	6,538	9,527
流動負債	7,544	3,148	5,329	5,700	8,581
應付帳款及票據	735	529	1,205	1,454	2,404
非流動負債	861	441	820	838	945
權益總計	8,668	16,457	20,962	21,679	21,190
普通股股本	1,455	1,660	1,675	1,675	1,675
保留盈餘	4,977	3,768	5,673	7,489	7,861
母公司業主權益	8,668	16,457	18,556	19,348	18,855
負債及權益總計	17,073	20,046	27,111	28,217	30,717

損益表

(百萬元)	2023	2024	2025	2026F	2027F
營業收入淨額	13,576	19,122	20,926	25,193	29,746
營業成本	7,253	9,117	10,061	12,388	14,449
營業毛利淨額	6,322	10,005	10,865	12,805	15,297
營業費用	5,312	7,129	7,958	8,790	9,823
營業利益	1,011	2,876	2,908	4,015	5,475
EBITDA	1,850	3,944	4,263	4,813	5,795
業外收入及支出	183	273	377	323	320
稅前純益	1,194	3,149	3,284	4,338	5,795
所得稅	224	538	459	647	869
稅後純益	969	2,692	2,901	3,694	4,985
公告基本 EPS(元)	6.47	16.10	17.32	- -	- -
調整後 EPS(元)	5.84	16.07	17.32	22.05	29.76

註：稅後純益係指本期淨利歸屬於母公司業主。

現金流量表

(百萬元)	2022	2023	2024	2025	2Q26
營業活動現金	2,630	3,854	5,092	4,115	1,336
稅前純益	3,755	1,194	3,149	3,284	1,027
折舊及攤銷	558	719	966	1,191	298
營運資金變動	-1,195	3,001	-42	-86	-513
其他營運現金	-487	-1,060	1,020	-275	523
投資活動現金	-1,757	-1,347	-1,530	-1,286	-228
資本支出淨額	-838	-1,724	-1,187	-667	-165
長期投資變動	-517	1,339	253	-190	12
其他投資現金	-402	-961	-596	-429	-76
籌資活動現金	-2,272	2,976	-801	-2,158	-18
長借/公司債變動	0	0	0	0	0
現金增資	0	8,918	0	0	0
發放現金股利	-6,236	-2,183	-830	-2,094	0
其他籌資現金	3,964	-3,759	29	-64	-18
淨現金流量	-1,322	5,462	2,851	686	1,144
期初現金	5,066	3,744	9,206	12,056	12,433
期末現金	3,744	9,206	12,056	12,742	13,577

資料來源：中信、CMoney

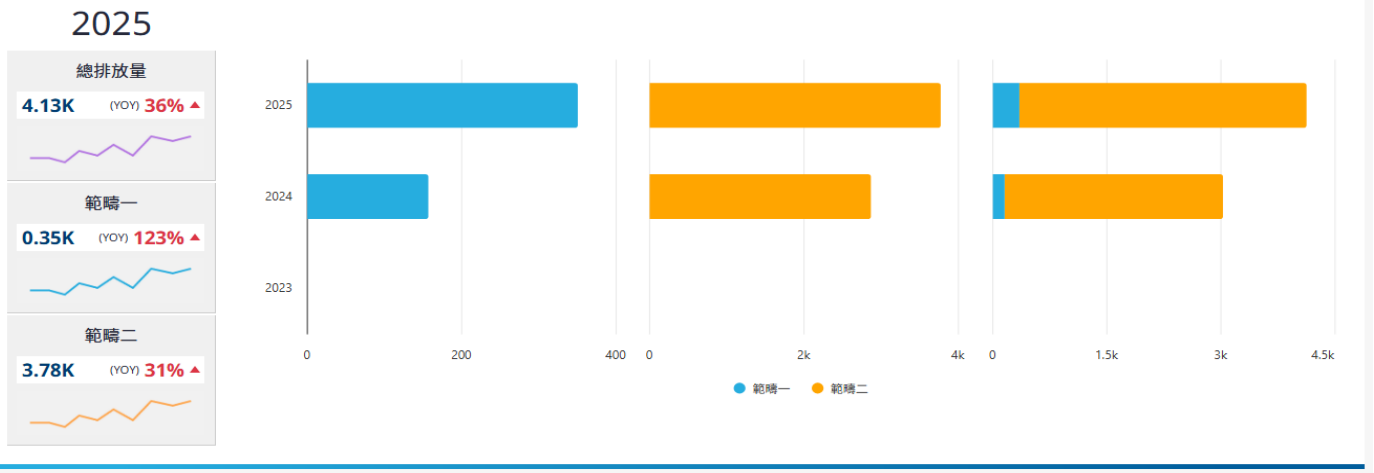
比率分析

(百萬元)	2023	2024	2025	2026F	2027F
成長力分析(%)					
營業收入淨額	-27.72%	40.86%	9.43%	20.39%	18.07%
營業毛利淨額	-30.08%	58.25%	8.60%	17.85%	19.46%
營業利益	-69.86%	184.56%	1.10%	38.08%	36.36%
稅後純益	-66.51%	169.42%	8.21%	27.35%	34.95%
獲利能力分析(%)					
毛利率	46.57%	52.32%	51.92%	50.83%	51.43%
EBITDA(%)	13.63%	20.63%	20.37%	19.11%	19.48%
營益率	7.44%	15.04%	13.89%	15.94%	18.40%
稅後純益率	7.14%	13.66%	13.50%	14.66%	16.76%
ROE(%)	7.72%	15.38%	15.31%	18.35%	21.29%

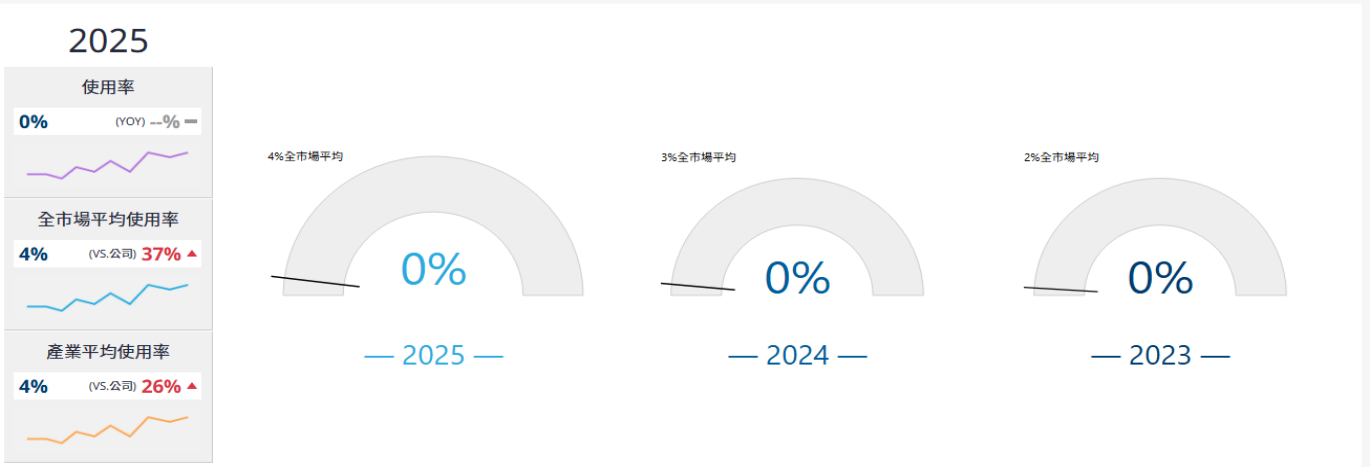
2026/11/04

ESG 資訊-環境保護(Environmental)

溫室氣體(範疇一/二)排放量



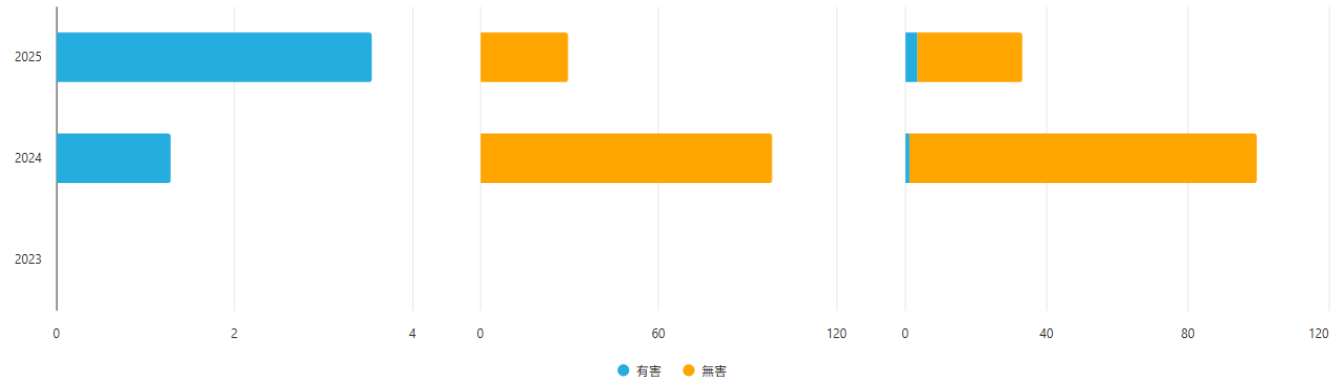
再生能源使用率



用水量



廢棄物量



2025

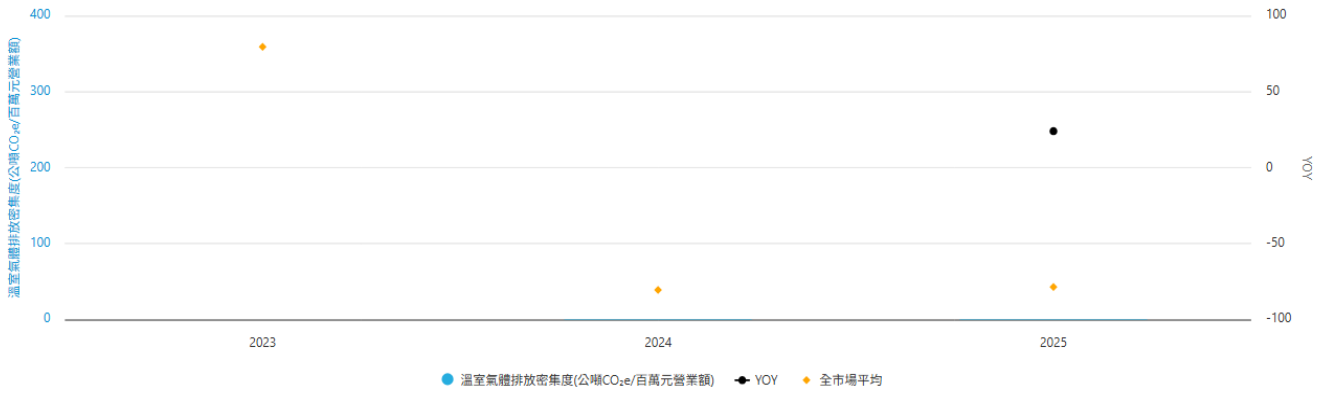
有害	無害	總量
0K (YOY) 177% ▲	0.03K (YOY) -70% ▼	0.03K (YOY) -70% ▼

密集度

2025

溫室氣體排放密集度	用水密集度	廢棄物密集度
0.197	0.849	0.002

溫室氣體排放密集度(公噸CO_2e/百萬元營業額)

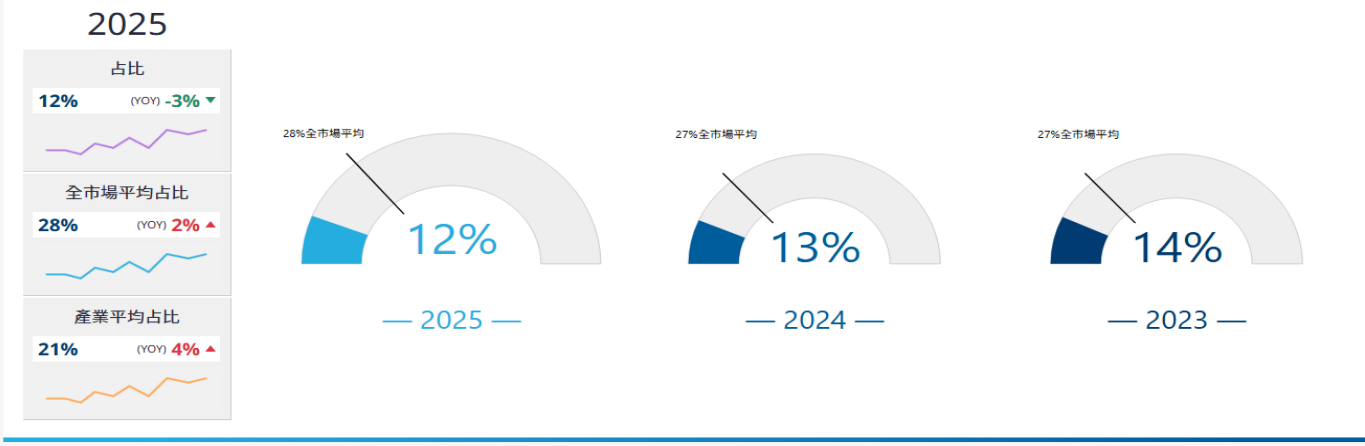


2025

溫室氣體排放密集度(公噸CO_2e/百萬元營業額)	全市場平均溫室氣體排放密集度(公噸CO_2e/百萬元營業額)	產業平均溫室氣體排放密集度(公噸CO_2e/百萬元營業額)
0K (YOY) 24% ▲	0.04K (YOY) 11% ▲	0K (YOY) -46% ▼

ESG 資訊-社會責任(Social)

管理職女性主管占比



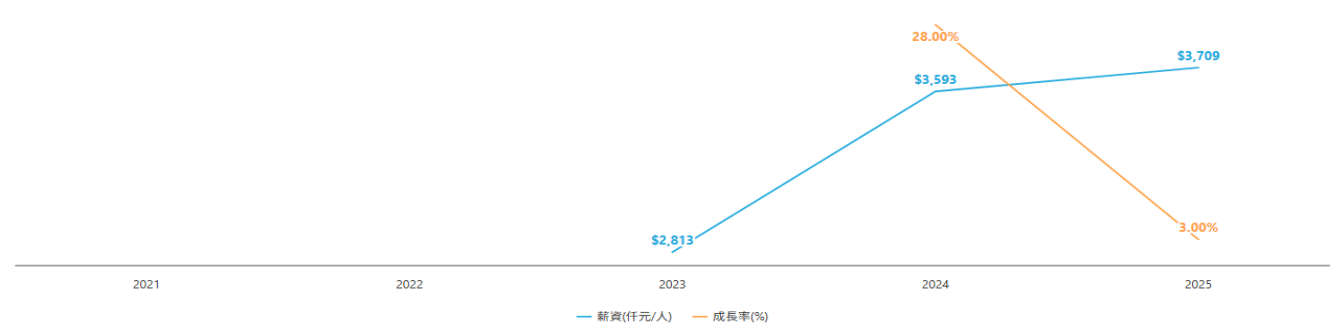
職業災害人數



2025

人數	全市場平均人數	產業平均人數
1 (YOY) ∞% ▲	5 (VS.公司) -1% ▼	3 (VS.公司) -5% ▼

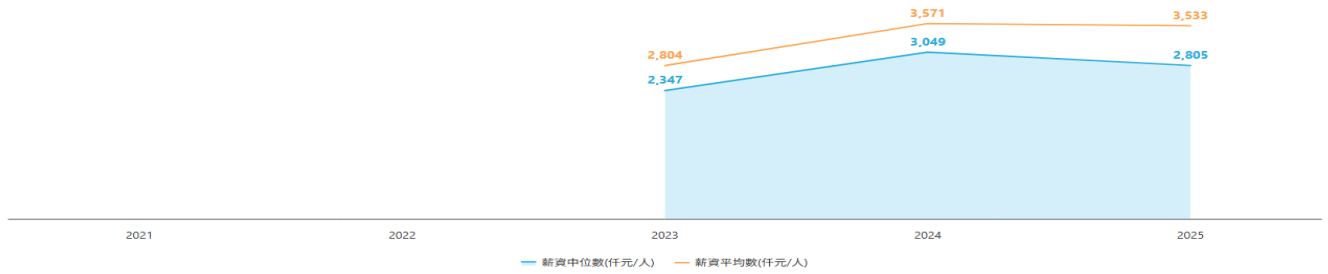
員工薪資年度趨勢



2025

員工薪資平均數	與去年同期比	與同產業薪資比
3,709	3% ▲	+43.73%

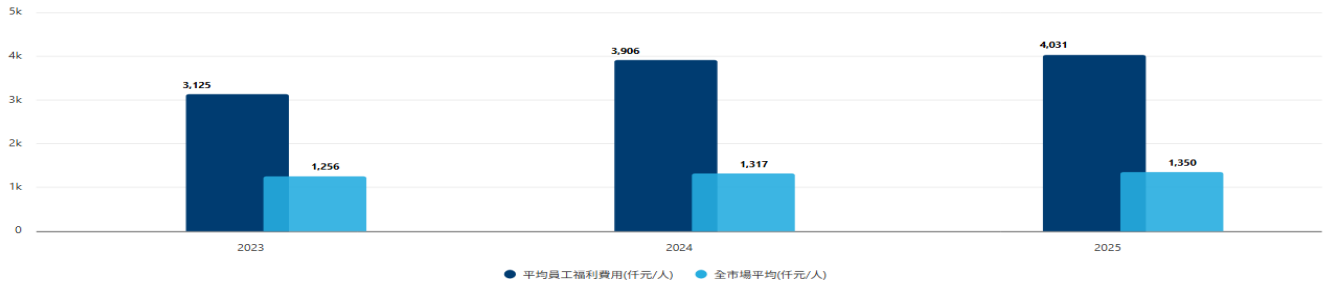
非擔任主管職務之全時員工薪資



2025

平均數	中位數	差異%
3,533 (YOY) -1% ▼	2,805 (YOY) -8% ▼	0% (YOY) 53% ▲

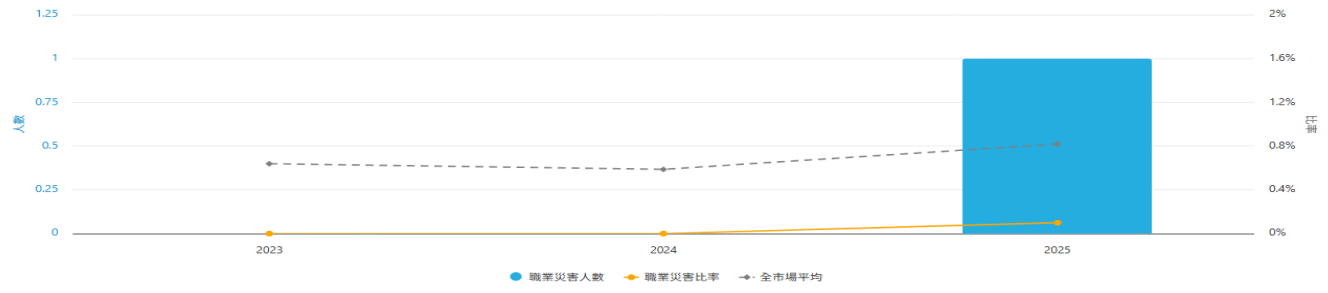
平均員工福利費用



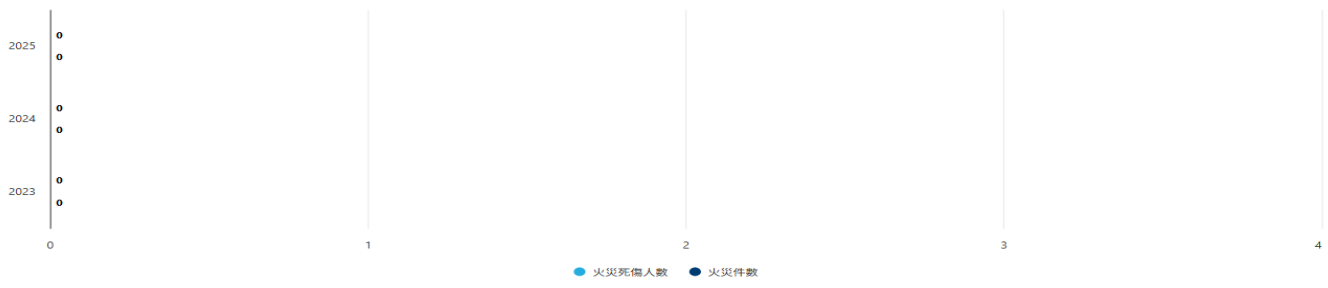
2025

平均福利	全市場平均福利	產業平均福利
4,031 (YOY) 3% ▲	1,350 (YOY) 3% ▲	2,841 (YOY) 13% ▲

職業災害人數與比率

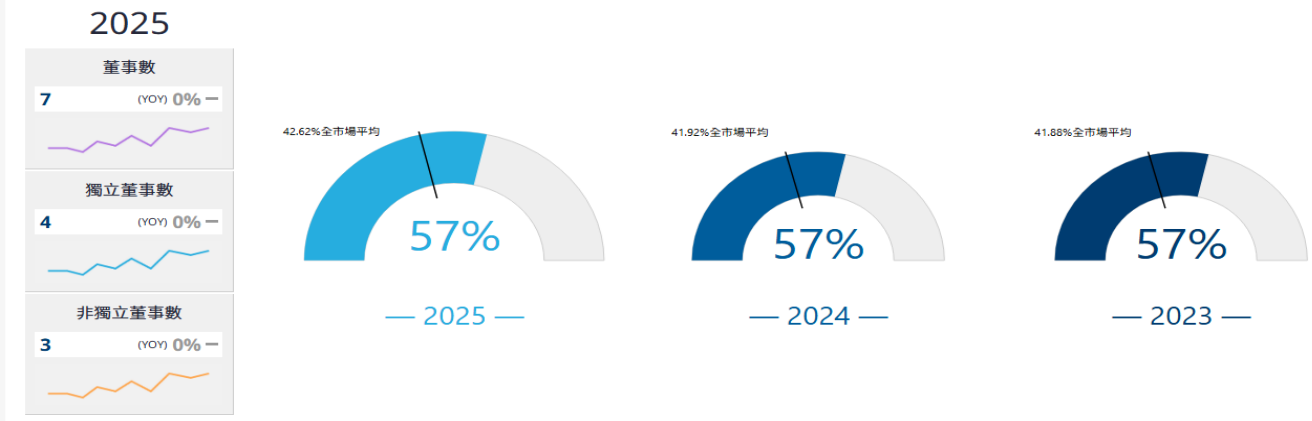


火災件數與死傷人數

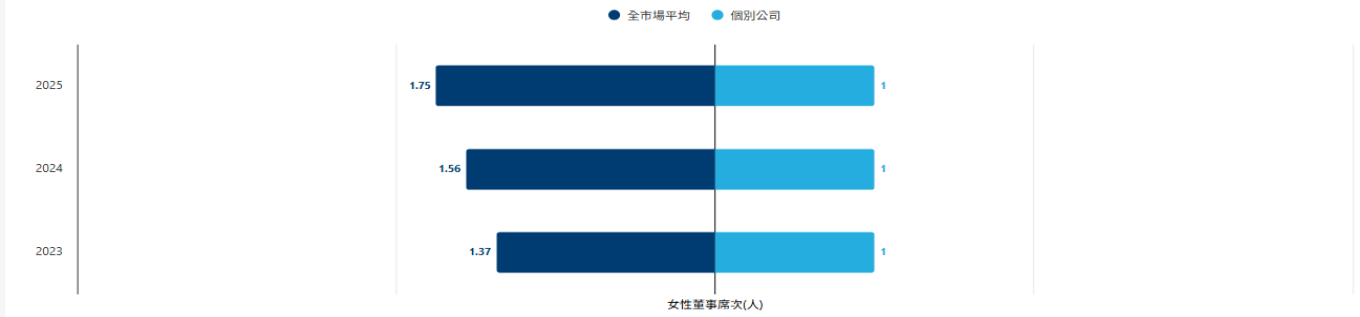


ESG 資訊-公司治理(Governance)

獨立董事vs.董事席次占比

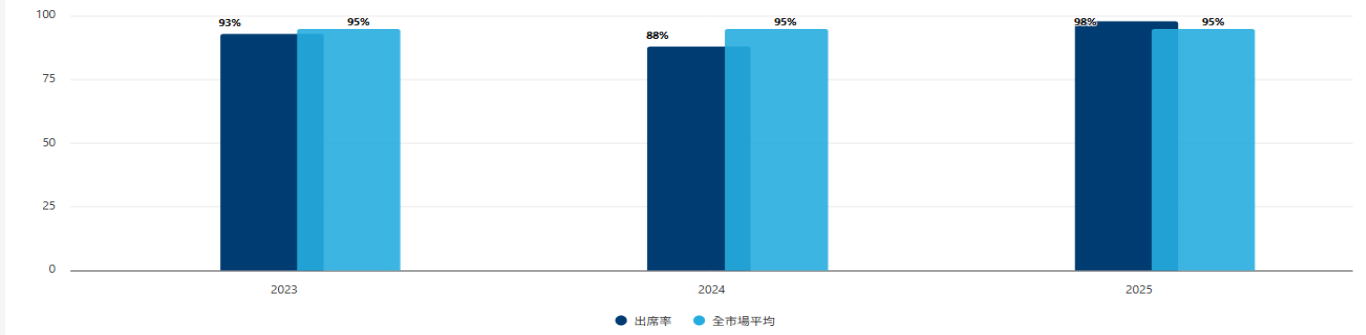


女性董事席次





董事之董事會出席率





2026/11/04

董事進修符合進修要點比率

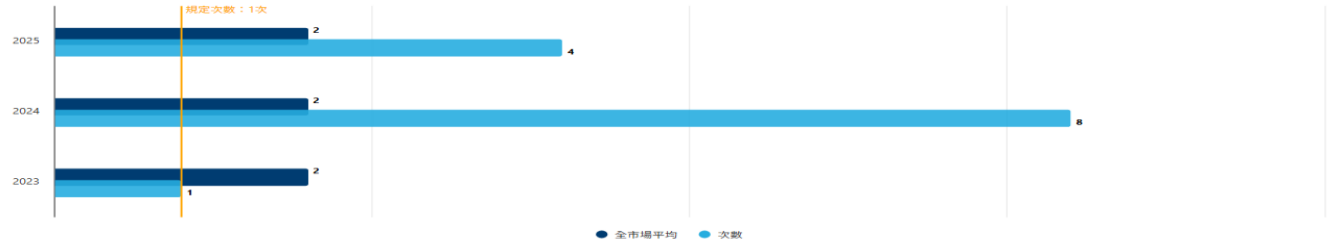


內圈:個別公司　外圈:全市場平均

2025

進修率	全市場平均進修率	產業平均進修率
100% (YOY) 0%	94% (VS.公司) 1%	95% (VS.公司) 0%

法說會次數



2025

次數	全市場平均次數	產業平均次數
4 (YOY) -50%	2 (VS.公司) 0%	5 (VS.公司) 25%

薪酬委員會出席率

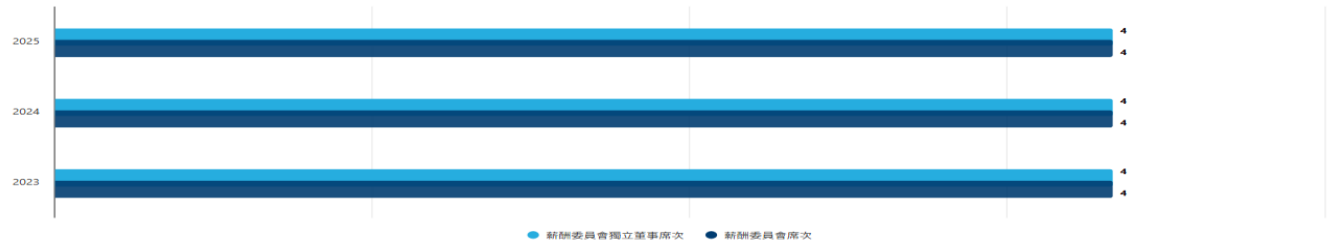


內圈:個別公司出席率　外圈:全市場平均出席率

2025

進修率	全市場平均進修率	產業平均進修率
100% (YOY) 0%	97% (VS.公司) 1%	97% (VS.公司) 0%

薪酬委員會席次



資料來源：證交所

2026/11/04

投資評等說明

個股評等	Rating	定義
買進	Buy (B)	相較於市場指數之回報潛力極具吸引力
增加持股	Overweight (OW)	相較於市場指數之回報潛力略有吸引力
中立	Neutral (N)	相較於市場指數之回報潛力相似
降低持股	Underweight (UW)	相較於市場指數之回報潛力稍低
賣出	Sell (S)	相較於市場指數之回報潛力較低
未評等	Not Rated (NR)	

免責聲明

【中國信託證券投資顧問股份有限公司獨立經營管理】

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中國信託金融控股(股)公司旗下子公司暨關係企業（以下稱"中信金集團"）從事廣泛金融業務，包括但不限於銀行、信託、證券經紀、證券承銷、保險、證券投資信託、全權委託投資、自有資金投資等。中信金集團對於本報告所涵蓋之標的公司可能有投資或其他的業務往來關係。中信金集團及其所屬員工，可能會投資本報告所涵蓋之標的公司，或以該等公司為標的的衍生性金融商品，而其交易的方向與本報告中所提及的交易方向可能不一致。中信金集團於法令許可的範圍內，亦有可能以本報告所涵蓋之標的公司作為發行衍生性金融商品之標的。中信金集團轄下的銷售人員、交易員及其他業務人員可能會為他們客戶或自營部門提供口頭或書面的市場看法或交易策略，然該等看法與策略可能與本報告的意見不盡一致。中信金集團之自營、資產管理及其他投資業務所做之投資決策也可能與本報告所做的建議或看法不一致。

中國信託證券投資顧問股份有限公司
台北市南港區經貿二路 188 號 5 樓及 18 樓 / (02) 5569-1988
營業執照字號：114 金管投顧新字第 014 號

03 Nov 2026 04:22:30 ET | 11 pages

Airtac (1590.TW)

Daily Shipment Momentum Improved in Oct-26. Battery Recovery Likely Offers Near-Term Relief

CITI'S TAKE

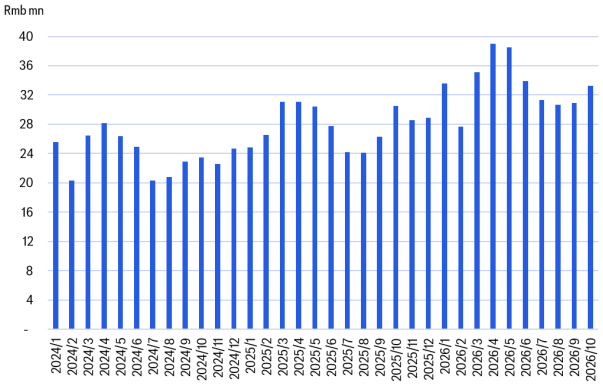
Airtac reported Oct-26 sales of NT$3.6bn (+32% y/y) or Rmb740mn (+18% y/y). Oct-26 sales declined 8% m/m owing to fewer working days, while daily pneumatic shipment +7% y/y to Rmb33mn, exceeding the levels recorded over the past three months. Battery sales returned to positive growth of 27% y/y from -10% in Sep-26, while electronics (+30% y/y), machine tools (+31%) and textiles (+30%) maintained solid momentum. Oct-26 sales made up 31%/33% of our/BBG's 4Q26E sales forecasts, on track with the historical range of 30-33%. We believe the improvement in daily shipment and recovery in battery demand could support near-term stock sentiment, particularly following the stock's c.24%% correction in past two months. We maintain Buy, favoring Airtac's sustained share gains in China, solid execution, and long-term growth opportunities from semi-related products. That said, still high uncertainties surrounding battery-sector demand and a high sales base might lead to near-term share price volatility.

Buy

Price (03 Nov 26 13:30)	NT$1,050.00
Target price	NT$1,430.00
Expected share price return	36.2%
Expected dividend yield	3.6%
Expected total return	39.8%
Market Cap	NT$210,000M US$6,438M

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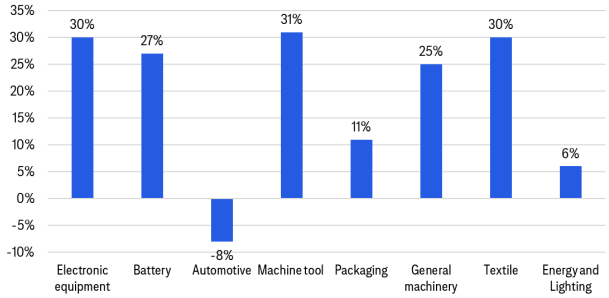
Figure 1. Airtac: Daily Run Rate of Pneumatics by Month (Based on Our Calculations)



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Source: Company Reports, Citi Research

Figure 2. Airtac: Sales Growth by Industry in Oct-26 (Direct Sales Only)



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Source: Company Reports, Citi Research

Airtac

Valuation

We derive our target price of NT$1,430 for Airtac by using a P/E methodology, as we believe the margin and earnings growth outlooks will be the key drivers of the stock. We apply a P/E of 21.5x for 2027E, which is at par with its historical average.

Risks

Key downside risks that could impede the Airtac stock from reaching our target price include: 1) a softer-than-expected China macro economy, resulting in downside to our sales forecasts; 2) intensifying competition leading to gross margin pressures; and 3) slower-than-expected progress of its linear guide business, causing low utilization of capacity.

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Appendix A-1

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Airtac (1590.TW)

Ratings and Target Price History
Fundamental Research

Analyst: Angela Hsu



	Date	Rating	Target Price	Closing Price
1	30-Apr-24 10:21:43	1	*1,350.00	1,160.00
2	06-Sep-24 14:42:18	1	*1,050.00	816.00
3	31-Jul-25 08:08:45	1	*1,000.00	856.00
4	30-Oct-25 09:57:38	1	*1,100.00	904.00
5	29-Jan-26 08:12:57	1	*1,350.00	1,040.00
6	29-Apr-26 10:42:32	1	*1,750.00	1,490.00
7	29-Oct-26 15:40:21	1	*1,430.00	1,150.00

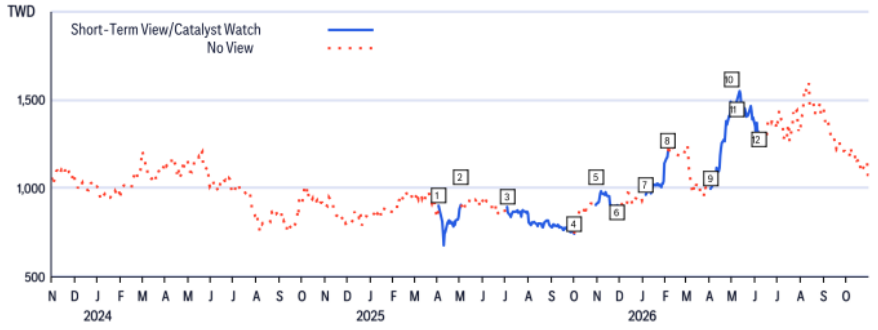
*Indicates Change

Rating/target price changes above reflect Eastern Time

Airtac (1590.TW)

Short-Term View/Catalyst Watch Research

Analyst: Angela Hsu



	Date	Action	Expected Direction	Duration	Closing Price
1	03-Apr-25 15:20:52	Add CW	Upside	30 Days	900.00
2	02-May-25 14:22:25	Remove CW	Upside	30 Days	905.00
3	03-Jul-25 02:23:51	Add STV	Upside	90 Days	893.00
4	01-Oct-25 21:44:22	Remove STV	Upside	90 Days	741.00
5	30-Oct-25 05:57:38	Add STV	Upside	30 Days	904.00
6	28-Nov-25 12:04:22	Remove STV	Upside	30 Days	903.00
7	05-Jan-26 10:25:45	Add STV	Upside	30 Days	962.00
8	04-Feb-26 19:57:43	Remove STV	Upside	30 Days	1,210.00
9	02-Apr-26 01:31:06	Add STV	Upside	30 Days	996.00
10	01-May-26 14:16:41	Remove STV	Upside	30 Days	1,455.00
11	07-May-26 05:36:56	Add STV	Upside	30 Days	1,490.00
12	05-Jun-26 14:27:33	Remove STV	Upside	30 Days	1,320.00

CW - Catalyst Watch , STV - Short-Term View

Rating/target price changes above reflect Eastern Time

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	12 Month Rating			Catalyst Watch		
Data current as of 01 Oct 2026	**Buy**	**Hold**	**Sell**	**Buy**	**Hold**	**Sell**
Citi Research Global Fundamental Coverage (Neutral=Hold)	61%	32%	7%	36%	48%	16%
% of companies in each rating category that are investment banking clients	39%	43%	30%	42%	38%	36%

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Citigroup Global Markets Taiwan Securities Company Limited	Angela Hsu

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03 Nov 2026 12:44:50 ET | 14 pages

Globalwafers Co (6488.TWO)

3Q26 results miss on fire incident; gradual recovery

CITI'S TAKE

The fire incident in Italy saw more impact (around low-teens % sales mix) in 3Q26, resulting in sales/GM miss. As the production line rebuild will take some time and with less-than-expected benefits from pricing adjustments, 4Q26 now seemingly would not see meaningful improvement. Thus, we expect sluggish momentum in the near term. However, the company sees rising demand from customers in 2027 with potential upside to 1Q27 on new capacity ramp and pricing adjustments. We cut our 2026/27/28E earnings and TP to NT$920 (28x 2H27-1H28E EPS) from NT$1,100 (28x 2H27-1H28E EPS). Buy.

3Q26 results miss on fire incident — 3Q26 sales declined 2% QoQ due to the fire incident in its 8" plant in Italy. As per the mgmt, if there had not been a fire incident, 3Q26 sales would have advanced >12% QoQ, which implies the negative impact of low-teens % sales mix. Along with rising depreciation, 3Q26 GM went down 0.7ppt QoQ, missing Citi/consensus forecasts by 3.2ppt/1.4ppt. Less non-op gain was likely due to its mark-to-market investment. Overall, earnings came 38%/25% lower than Citi/consensus forecasts. As per the mgmt., 12" production lines (excluding new capacity ramped) are running at full levels while 8"/6" lines are running at close to full levels. Compound semi lines also are running at high levels.

4Q26 outlook: aftereffect of the fire incident — The mgmt. indicated it still takes time to rebuild its production lines in Italy with 4Q26 sales growth of less than 12% YoY. For pricing in 4Q26, the mgmt. sees limited upside given there are still legacy long-term agreements not having expired yet. Thus, we currently forecast 4% QoQ growth (i.e., 7% YoY) in 4Q26E sales and 4Q GM improvement of +1.8ppt QoQ. Despite weak momentum due to the fire incident, the mgmt. currently sees improving demand from customers and expect supply would be tighter in 2027 vs 2026. ASP also would see improvement after renewals of long-term agreements in 2027.

Focusing on enhancing UTR and debottlenecking — The mgmt. currently thinks capex peaked in 2026 and would now focus on fulfilling its capacity and secure more demand with debottlenecking first. Whether there would be any further major capacity expansion would hinge on customers' commitment, subsidies from government, pricing, etc. The company also announced a private placement of up to $500 million in convertible bonds, designating Micron as the subscriber.

Earnings/TP cut; Buy — We cut our 2026/27/28E earnings by 19%/20%/9% due to slower recovery. We cut our TP to NT$920 (28x 2H27-1H28E EPS) from NT$1,100.

Earnings Summary

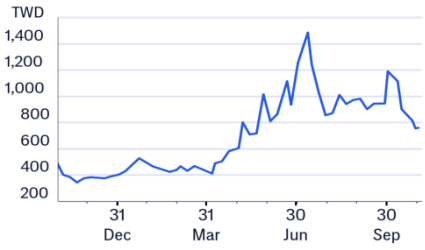
Year to 31 Dec	Net Profit (NT$M)	Diluted EPS (NT$)	EPS growth (%)	P/E (x)	P/B (x)	ROE (%)	Yield (%)
2024A	9,846	20.95	-52.1	32.7	3.6	12.5	2.5
2025A	7,312	15.28	-27.1	44.8	3.5	7.9	1.6
2026E	8,725	18.23	19.3	37.6	3.4	9.2	0.8
2027E	12,359	25.83	41.7	26.5	3.1	12.2	1.3
2028E	20,183	42.19	63.3	16.2	2.8	18.0	1.9

Source: Powered by dataCentral

Buy

Price (03 Nov 26 15:00)	NT$685.00
Target price	NT$920.00↓
from NT$1,100.00	
Expected share price return	34.3%
Expected dividend yield	1.3%
Expected total return	35.6%
Market Cap	NT$361,758M
	US$11,091M

Price Performance
(RIC: 6488.TWO, BB: 6488 TT)



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6488.TWO: Fiscal year end 31-Dec — **Price: NT$885.00; TP: NT$920.00; Market Cap: NT$391,758m; Recomm: Buy**

Profit & Loss (NT$m)	2024	2025	2026E	2027E	2028E
Sales revenue	62,626	60,598	59,560	74,324	95,751
Cost of sales	-42,823	-45,974	-47,156	-53,615	-63,398
Gross profit	19,804	14,624	12,404	20,709	32,353
Gross Margin (%)	31.6	24.1	20.8	27.9	33.8
EBITDA (Adj)	**21,924**	**17,322**	**16,466**	**26,923**	**37,839**
EBITDA Margin (Adj) (%)	35.0	28.6	27.6	36.2	39.5
Depreciation	-7,806	-8,686	-10,207	-12,856	-13,471
Amortisation	0	0	0	0	0
EBIT (Adj)	**14,118**	**8,636**	**6,260**	**14,067**	**24,369**
EBIT Margin (Adj) (%)	22.5	14.3	10.5	18.9	25.5
Net interest	2,489	1,282	739	900	900
Associates	-4,662	-77	2,889	416	0
Non-Op/Except/Other Adj	483	-326	694	143	146
Pre-tax profit	**12,429**	**9,516**	**10,582**	**15,526**	**25,415**
Tax	-2,590	-2,205	-1,853	-3,167	-5,232
Extraord./Min.Int./Pref.div.	7	0	-4	0	0
Reported net profit	**9,846**	**7,312**	**8,725**	**12,359**	**20,183**
Net Margin (%)	15.7	12.1	14.6	16.6	21.1
Core NPAT	9,846	7,312	8,725	12,359	20,183

Per share data	2024	2025	2026E	2027E	2028E
Reported EPS ($)	20.95	15.28	18.23	25.83	42.19
Core EPS ($)	20.95	15.28	18.23	25.83	42.19
DPS ($)	17.33	11.00	5.70	9.12	12.92
CFPS ($)	92.85	-49.76	113.78	45.77	62.01
FCFPS ($)	-23.36	-43.19	92.17	20.69	47.38
BVPS ($)	190.40	195.14	202.98	219.71	249.00
Wtd avg ord shares (m)	470	479	479	478	478
Wtd avg diluted shares (m)	470	479	479	478	478

Growth rates	2024	2025	2026E	2027E	2028E
Sales revenue (%)	-11.4	-3.2	-1.7	24.8	28.8
EBIT (Adj) (%)	-29.6	-38.8	-27.5	124.7	73.2
Core NPAT (%)	-50.2	-25.7	19.3	41.7	63.3
Core EPS (%)	-52.1	-27.1	19.3	41.7	63.3

Balance Sheet (NT$m)	2024	2025	2026E	2027E	2028E
Cash & cash equiv.	38,929	19,484	31,183	37,367	52,935
Accounts receivables	10,265	10,113	10,739	14,267	18,613
Inventory	11,238	10,399	12,233	16,252	21,202
Net fixed & other tangibles	129,808	116,902	116,060	115,204	108,733
Goodwill & intangibles	0	0	0	0	0
Financial & other assets	34,339	61,445	27,414	30,374	33,509
Total assets	**224,581**	**218,343**	**197,629**	**213,465**	**234,992**
Accounts payable	5,371	4,161	4,481	5,440	6,719
Short-term debt	27,738	31,010	25,967	26,485	26,038
Long-term debt	37,678	43,244	27,410	27,956	27,485
Provisions & other liab	62,766	46,633	42,722	48,538	55,702
Total liabilities	**133,553**	**125,048**	**100,580**	**108,420**	**115,943**
Shareholders' equity	91,031	93,299	97,049	105,045	119,048
Minority interests	-3	-3	0	0	0
Total equity	**91,028**	**93,295**	**97,049**	**105,045**	**119,048**
Net debt (Adj)	**26,486**	**54,770**	**22,194**	**17,074**	**588**
Net debt to equity (Adj) (%)	29.1	58.7	22.9	16.3	0.5

Valuation ratios	2024	2025	2026E	2027E	2028E
PE (x)	32.7	44.8	37.6	26.5	16.2
PB (x)	3.6	3.5	3.4	3.1	2.8
EV/EBITDA (x)	17.1	22.4	23.3	13.4	9.3
FCF yield (%)	-3.4	-6.3	13.5	3.0	6.9
Dividend yield (%)	2.5	1.6	0.8	1.3	1.9
Payout ratio (%)	83	72	31	35	31
ROE (%)	12.5	7.9	9.2	12.2	18.0

Cashflow (NT$m)	2024	2025	2026E	2027E	2028E
EBITDA	21,924	17,322	16,466	26,923	37,839
Working capital	26,002	-39,812	35,514	-3,316	-3,988
Other	-4,279	-1,325	2,468	-1,708	-4,186
Operating cashflow	**43,646**	**-23,814**	**54,449**	**21,898**	**29,666**
Capex	-54,629	3,147	-10,341	-12,000	-7,000
Net acq/disposals	-97	-531	-4,857	-416	0
Other	1,718	1,073	976	0	0
Investing cashflow	**-53,008**	**3,690**	**-14,222**	**-12,416**	**-7,000**
Dividends paid	-8,748	-5,259	-3,681	-4,362	-6,179
Financing cashflow	**22,126**	**679**	**-28,528**	**-3,298**	**-7,096**
Net change in cash	**12,765**	**-19,445**	**11,699**	**6,184**	**15,568**
Free cashflow to s/holders	**-10,983**	**-20,667**	**44,108**	**9,898**	**22,666**

For definitions of the items in this table, please click here.

Figure 1. Globalwafers – 3Q26 Results

(NT$mn)	3Q26 Actual	2Q26 Actual	Q/Q	3Q25 Actual	Y/Y	3Q26 Citi	Diff.	3Q26 Cons.	Diff.
Revenue	14,871	15,214	-2%	14,493	3%	16,183	-8%	16,127	-8%
Gross profit	2,970	3,140	-5%	2,662	12%	3,748	-21%	3,455	-14%
Gross margin	20.0%	20.6%	-0.7 ppt	18.4%	+1.6 ppt	23.2%	-3.2 ppt	21.4%	-1.4 ppt
Op. profit	1,454	1,423	2%	1,230	18%	2,292	-37%	1,966	-26%
OP margin	9.8%	9.4%	+0.4 ppt	8.5%	+1.3 ppt	14.2%	-4.4 ppt	12.2%	-2.4 ppt
Net income	1,501	3,779	-60%	1,969	-24%	2,424	-38%	2,010	-25%
EPS (NT$)	3.14	7.90	-60%	4.12	-24%	5.06	-38%	4.23	-26%

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Source: Citi Research Estimates, Company Reports, Bloomberg

Figure 2. Globalwafers – Earnings Revisions

	4Q26E			1Q27E			2026E			2027E			2028E		
(NT$mn)	New	Old	Chg.	New	Old	Chg.	New	Old	Chg.	New	Old	Chg.	New	Old	Chg.
Sales	15,490	16,470	-6%	16,349	16,608	-2%	59,560	61,852	-4%	74,324	74,261	0%	95,751	94,238	2%
Sequential growth	4%	2%		6%	1%		-2%	2%		25%	20%		29%	27%	
Gross profit	3,380	4,352	-22%	4,162	4,838	-14%	12,404	14,154	-12%	20,709	23,059	-10%	32,353	33,534	-4%
Opex	1,472	1,367	8%	1,488	1,445	3%	6,144	5,979	3%	6,642	6,301	5%	7,984	7,858	2%
Operating profit	1,908	2,985	-36%	2,674	3,393	-21%	6,260	8,175	-23%	14,067	16,758	-16%	24,369	25,676	-5%
Pre-tax profit	1,960	3,307	-41%	2,626	3,595	-27%	10,582	13,307	-20%	15,526	19,326	-20%	25,415	27,832	-9%
Net income	1,548	2,612	-41%	2,075	2,840	-27%	8,725	10,711	-19%	12,359	15,381	-20%	20,183	22,105	-9%
EPS (NT$)	3.24	5.45	-41%	4.34	5.93	-27%	18.23	22.36	-18%	25.83	32.11	-20%	42.19	46.15	-9%
Gross margin	21.8%	26.4%	-4.6 ppt	25.5%	29.1%	-3.7 ppt	20.8%	22.9%	-2.1 ppt	27.9%	31.1%	-3.2 ppt	33.8%	35.6%	-1.8 ppt
Opex ratio	9.5%	8.3%	+1.2 ppt	9.1%	8.7%	+0.4 ppt	10.3%	9.7%	+0.6 ppt	8.9%	8.5%	+0.5 ppt	8.3%	8.3%	-0.0 ppt
Operating margin	12.3%	18.1%	-5.8 ppt	16.4%	20.4%	-4.1 ppt	10.5%	13.2%	-2.7 ppt	18.9%	22.6%	-3.6 ppt	25.5%	27.2%	-1.8 ppt
Net margin	10.0%	15.9%	-5.9 ppt	12.7%	17.1%	-4.4 ppt	14.6%	17.3%	-2.7 ppt	16.6%	20.7%	-4.1 ppt	21.1%	23.5%	-2.4 ppt

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Source: Citi Research estimates

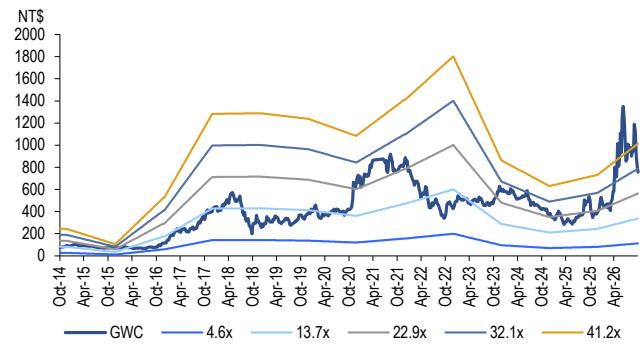
Figure 3. Globalwafers — Key Earnings Estimates

	2026				2027																
(NT$ in Mn, year-end Dec)	1Q	2Q	3QE	4QE	1QE	2QE	3QE	4QE	2015	2016	2017	2018	2019	2020	2021	2022	2023	2024	2025	2026E	2027E	2028E
Revenue	13,985	15,214	14,871	15,490	16,349	17,876	19,520	20,579	15,310	18,427	46,213	59,064	58,094	55,359	61,131	70,287	70,652	62,626	60,598	59,560	74,324	95,751
COGS	(11,071)	(12,074)	(11,900)	(12,110)	(12,187)	(12,939)	(13,917)	(14,572)	-11,237	-14,297	-34,405	-36,765	-35,248	-34,791	-37,845	-39,945	-44,211	-42,823	-45,974	-47,156	-53,615	-63,398
Gross Profit	2,914	3,140	2,970	3,380	4,162	4,937	5,603	6,007	4,073	4,130	11,808	22,299	22,847	20,568	23,286	30,342	26,441	19,804	14,624	12,404	20,709	32,353
Operating Expense	(1,438)	(1,718)	(1,517)	(1,472)	(1,488)	(1,627)	(1,737)	(1,790)	-1,388	-2,752	-4,394	-4,721	-4,950	-5,281	-5,592	-5,359	-6,382	-5,685	-5,987	-6,144	-6,642	-7,984
SG&A expenses	(967)	(1,191)	(892)	(852)	(899)	(983)	(1,015)	(1,070)	-838	-2,026	-3,595	-3,070	-3,239	-3,657	-3,523	-3,269	-4,018	-3,368	-3,770	-3,903	-3,968	-4,443
R&D expenses	(471)	(526)	(625)	(620)	(589)	(644)	(722)	(720)	-551	-726	-799	-1,651	-1,711	-1,624	-2,070	-2,089	-2,364	-2,317	-2,218	-2,241	-2,675	-3,541
EBIT	1,475	1,423	1,454	1,908	2,674	3,310	3,865	4,217	2,685	1,378	7,414	17,578	17,897	15,287	17,693	24,983	20,059	14,118	8,636	6,260	14,067	24,369
Net Interest Income	310	29	200	200	250	250	200	200	16	-87	-306	356	652	170	-165	661	2,600	2,489	1,282	739	900	900
Net Other Income	562	3,133	36	(148)	(298)	20	277	560	107	53	-233	319	5	1,158	-1,083	-5,538	3,838	-4,178	-402	3,583	559	146
Pre-Tax Profit	2,347	4,585	1,690	1,960	2,626	3,581	4,342	4,977	2,808	1,344	6,875	18,253	18,554	16,615	16,445	20,107	26,496	12,429	9,516	10,582	15,526	25,415
Tax	451	806	185	412	551	752	868	995	-764	-405	-1,596	-4,620	-4,918	-3,511	-4,575	-4,740	-6,727	-2,590	-2,205	-1,853	-3,167	-5,232
Net Profit	1,896	3,779	1,501	1,548	2,075	2,829	3,474	3,982	2,044	939	5,275	13,631	13,644	13,104	11,870	15,367	19,772	9,846	7,312	8,725	12,359	20,183
EPS (NT$)	4.0	7.9	3.1	3.2	4.3	5.9	7.3	8.3	5.86	2.54	12.68	31.11	31.26	30.03	26.29	34.21	43.73	20.95	15.28	18.23	25.83	42.19
Margins (%)																						
Gross Margin	20.8	20.6	20.0	21.8	25.5	27.6	28.7	29.2	26.6	22.4	25.6	37.8	39.3	37.2	38.1	43.2	37.4	31.6	24.1	20.8	27.9	33.8
Operating Margin	10.5	9.4	9.8	12.3	16.4	18.5	19.8	20.5	17.5	7.5	16.0	29.8	30.8	27.6	28.9	35.5	28.4	22.5	14.3	10.5	18.9	25.5
Net Margin	13.6	24.8	10.1	10.0	12.7	15.8	17.8	19.3	13.4	5.1	11.4	23.1	23.5	23.7	19.4	21.9	28.0	15.7	12.1	14.6	16.6	21.1
Sequential Growth (%)																						
Revenue	(3.6)	8.8	(2.3)	4.2	5.5	9.3	9.2	5.4	-3.8	20.4	150.8	27.8	-1.6	-4.7	10.4	15.0	0.5	-11.4	-3.2	-1.7	24.8	28.8
Gross Profit	(21.8)	7.8	(5.4)	13.8	23.1	18.6	13.5	7.2	9.2	1.4	185.9	88.8	2.5	-10.0	13.2	30.3	-12.9	-25.1	-26.2	-15.2	67.0	56.2
EBIT	(38.0)	(3.6)	2.2	31.3	40.1	23.8	16.8	9.1	14.9	-48.7	437.9	137.1	1.8	-14.6	15.7	41.2	-19.7	-29.6	-38.8	-27.5	124.7	73.2
Net Profit	(14.0)	99.3	(60.3)	3.1	34.0	36.3	22.8	14.6	-2.4	-54.0	461.4	158.4	0.1	-4.0	-9.4	29.5	28.7	-50.2	-25.7	19.3	41.7	63.3
EPS	(14.1)	99.6	(60.3)	3.1	34.0	36.3	22.8	14.6	-11.2	-56.6	399.3	145.3	0.5	-3.9	-12.5	30.1	27.8	-52.1	-27.1	19.3	41.7	63.3

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Source: Company data, Citi Research estimates

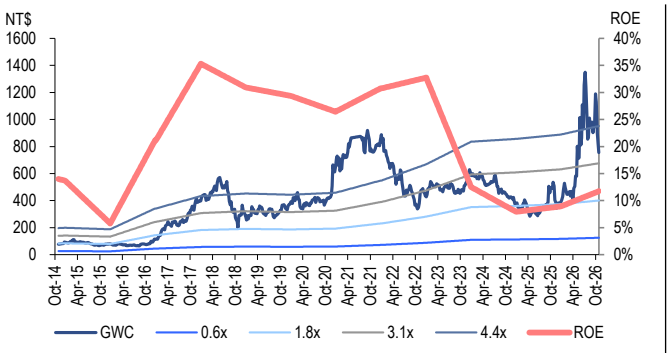
Figure 4. Globalwafers — Forward 1-yr P/E Band



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Source: Citi Research, Bloomberg

Figure 5. Globalwafers — Forward 1-yr P/B Band



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Source: dataCentral, Citi Research

Bull/Bear: Globalwafers Co (6488.TWO)

NT$ 1,000.00 ▲46% Upside | NT$ 920.00 ▲34% Upside | NT$ 600.00 ▼12% Downside



Spread 58pp
Current Price and expected returns (upside/downside) as of 03 Nov 2026

BULL Assumptions

- Stronger 12"/8" demand to drive more ASP and margin upside

BASE Assumptions

- TP based on 2027/28E EPS of around NT$26/42

BEAR Assumptions

- Weaker 12"/8" demand leading to ASP and margin downside
- Undisciplined capacity expansion by peers and oversupply

Globalwafers Co

Company description

GWC is the world's third-largest silicon wafer manufacturer. The company offers a one-stop shop for customers with its wide range of product portfolio and global presence. GWC has 16 manufacturing sites in 10 countries spread across Asia, Europe, and the Americas. Its product offering include annealed, polished, non-polished, diffused, FZ, EPI, SOI wafers ranging from 4" to 12" in diameter.

Investment strategy

We rate GWC as Buy as we expect its sales and earnings to recover in 2027. We believe silicon wafer sector has hit the bottom in 2Q26, evidenced by UTR improvements across 6" to 12" wafers. Although GM would likely face short-term headwinds in 2H26 due to rising depreciation burden, a fire incident and higher energy costs, we believe favorable pricing trend, full UTR and the reception of US government's subsidies would help offset the negative impact, especially in 2027.

Valuation

Our target price of NT$920 is based on 28x 2H27-1H28E EPS, in line with +1stdv of 1-year fwd PE in the past 5 years. We use this PE multiple to reflect a gradually improving demand outlook for the overall semiconductor industry from 2H26 onward, especially a more meaningful recovery in 2027 and likely shortage. We believe the upcoming megatrend demand from AI, HPC, auto, and IoT and supply tightness could justify GWC's valuations during recovery backdrop from 1Q27 onwards.

Risks

Key downside risks that could cause the GWC shares to trade below our target price include: 1) weaker-than-expected pull-in demand; 2) undisciplined capacity expansion by other industry participants; 3) wafer price decline driven by macro factors; and 4) late reception of the subsidies from the US government.

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Appendix A-1

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IMPORTANT DISCLOSURES

Globalwafers Co (6488.TWO)

Ratings and Target Price History
Fundamental Research

Analyst: Jack Chen



	Date	Rating	Target Price	Closing Price
1	06-Mar-24 17:21:28	1	*650.00	576.00
2	06-Aug-24 12:21:10	1	*620.00	468.50
3	05-Nov-24 11:15:44	1	*490.00	418.00
4	05-Mar-25 08:38:48	1	*500.00	400.00
5	30-Jun-25 05:09:16	1	*400.00	301.50
6	01-Apr-26 20:05:38	1	*470.00	413.50
7	04-Aug-26 20:17:46	1	*1,100.00	952.00

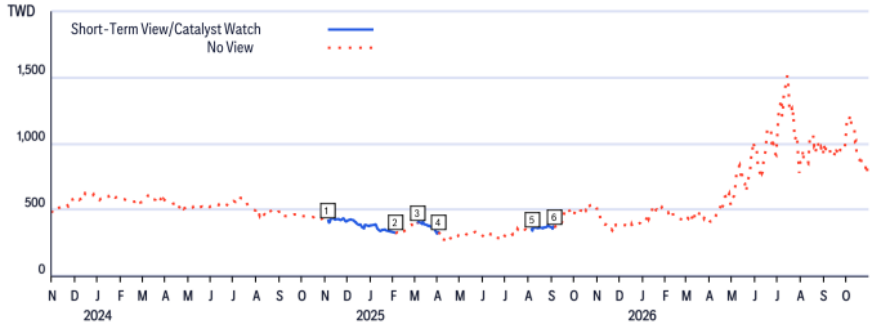
*Indicates Change

Rating/target price changes above reflect Eastern Time

Globalwafers Co (6488.TWO)

Short-Term View/Catalyst Watch Research

Analyst: Jack Chen



	Date	Action	Expected Direction	Duration	Closing Price
1	05-Nov-24 06:15:44	Add STV	Downside	90 Days	418.00
2	03-Feb-25 20:14:18	Remove STV	Downside	90 Days	325.00
3	05-Mar-25 03:38:48	Add STV	Upside	30 Days	400.00
4	04-Apr-25 14:15:09	Remove STV	Upside	30 Days	330.00
5	05-Aug-25 06:49:57	Add STV	Upside	30 Days	352.00
6	04-Sep-25 22:02:03	Remove STV	Upside	30 Days	369.50

CW - Catalyst Watch , STV - Short-Term View

Rating/target price changes above reflect Eastern Time

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	12 Month Rating			Catalyst Watch		
Data current as of 01 Oct 2026	**Buy**	**Hold**	**Sell**	**Buy**	**Hold**	**Sell**
Citi Research Global Fundamental Coverage (Neutral=Hold)	61%	32%	7%	36%	48%	16%
% of companies in each rating category that are investment banking clients	39%	43%	30%	42%	38%	36%

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Daiwa Capital Markets Hong Kong Limited

Fositek Corp (6805 TT)

Target price: **TWD2,910.00** (from TWD2,615.00)

Share price (3 Nov): **TWD2,160.00** | Up/downside: **+34.7%**

5 4 3 2 **1**

Buy (unchanged)

Brighter 2027 outlook driven by server segment

- 3Q26 results beat our estimates and Bloomberg consensus
- Stronger revenue outlook in 2027 with gross margin expansion
- Reaffirming our Buy (1) rating and raising 12M TP to TWD2,910

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What's new: We attended Fositek's investor meeting following its 3Q26 results announcement on 3 November. We believe the company will benefit from the AI server trend with a rising liquid-cooling penetration rate in the following years. With rising server revenue over 2026-28E given its share-gain potential, we reaffirm our Buy (1) rating. See our previous memo *3Q26 revenue largely in line with expectations*, 7 October 2026.

What's the impact: 3Q26 results beat our estimates and Bloomberg consensus. Fositek's 3Q26 revenue of TWD4,502m (+20.4% QoQ, +26.2% YoY), a record high, was in line with our estimate and the Bloomberg consensus. Its 3Q26 gross margin came in at 38.0% (vs. 34.0% in 2Q26 and 27.7% in 3Q25), also a record-high level, above our estimates (34.3%) and the consensus (36.5%), mainly on manufacturing process improvements and better-than-expected product mix (server revenue accounted for 81.6% in 3Q26, up from 54.9% in 2Q26 and 56.4% in 1Q26). Its operating margin of 32.4% (vs. 27.9% in 2Q26 and 22.2% in 3Q25), another record high, beat our estimate (28.9%) and the consensus (31.2%), on better opex control. Thus, its operating profit of TWD1,460m (+39.9% QoQ, +84.2% YoY) beat our estimate and the consensus by 11.0% and 3.3%, respectively. Its net profit of TWD1,242m (+46.3% QoQ, +80.8% YoY) beat our estimate and the consensus by 15.9% and 6.5%, respectively. Its 3Q26 EPS finished at TWD18.11. Its 3Q26 product mix was: server (81.6%, +92.7% YoY), foldable phone (15.4%, -53.1% YoY), notebook (4.5%, -28.1% YoY) and others (0.6%, -10.8% YoY).

Brighter 2027 outlook, driven by server segment. Following the ramping up of GPU and ASICs projects in 2H26, we expect a stronger 2027 revenue outlook vs. 2026, along with gross margin expansion. With the rise in the liquid-cooling penetration rate, quick disconnect (QD) shipments per rack and QD spec upgrade for ASP expansion, we forecast its revenue to grow by 40.3% YoY in 2026 and 59.2% YoY in 2027. We raise our 2026-28E EPS by 9-29% on our more aggressive revenue and gross- and operating-margin assumptions.

What we recommend: We reaffirm our Buy (1) call and lift our 12M TP to TWD2,910 (from TWD2,615), still based on a target PER of 32x (vs. its past-3-year range of 9-42x [average of 24x]), translating to a 0.6x PEG over 2026-28E on our 1-year forward EPS. Key downside risks: lower-than-expected market share for key clients; slower-than-expected penetration rate of foldable phones; and geopolitical risks.

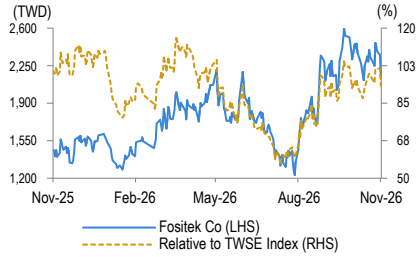
How we differ: Our 2028E EPS is 8% above the Bloomberg consensus likely as we are more aggressive on revenue.

Forecast revisions (%)

Year to 31 Dec	26E	27E	28E
Revenue change	(0.4)	11.9	21.9
Net profit change	8.9	18.8	28.6
Core EPS (FD) change	8.9	18.8	28.6

Source: Daiwa forecasts

Share price performance



12-month range	1,230.00-2,600.00
Market cap (USDbn)	4.54
3m avg daily turnover (USDm)	117.05
Shares outstanding (m)	69
Major shareholder	AVC (16.9%)

Financial summary (TWD)

Year to 31 Dec	26E	27E	28E
Revenue (m)	17,421	27,740	36,848
Operating profit (m)	5,261	9,182	12,676
Net profit (m)	4,406	7,429	10,206
Core EPS (fully-diluted)	64.257	108.335	148.844
EPS change (%)	107.4	68.6	37.4
Daiwa vs Cons. EPS (%)	1.8	(1.4)	8.4
PER (x)	33.6	19.9	14.5
Dividend yield (%)	1.5	2.5	3.4
DPS	32.1	54.2	74.4
PBR (x)	13.3	9.1	6.5
EV/EBITDA (x)	23.7	13.7	9.6
ROE (%)	48.1	54.1	52.1

Source: FactSet, Daiwa forecasts

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Flash

Fositek: revenue and earnings forecasts revisions

	2026E			2027E			2028E		
(TWDm)	New	Previous	Change	New	Previous	Change	New	Previous	Change
Sales	**17,421**	**17,494**	-0.4%	**27,740**	**24,793**	11.9%	**36,848**	**30,230**	21.9%
Gross profit	**6,254**	**5,948**	5.1%	**10,541**	**8,925**	18.1%	**14,371**	**11,185**	28.5%
Gross margin	*35.9%*	*34.0%*	1.9pp	*38.0%*	*36.0%*	2pp	*39.0%*	*37.0%*	2pp
Operating profit	**5,261**	**4,948**	6.3%	**9,182**	**7,711**	19.1%	**12,676**	**9,825**	29.0%
Operating margin	*30.2%*	*28.3%*	1.9pp	*33.1%*	*31.1%*	2pp	*34.4%*	*32.5%*	1.9pp
Net profit	**4,406**	**4,046**	8.9%	**7,429**	**6,254**	18.8%	**10,206**	**7,935**	28.6%
Net margin	*25.3%*	*23.1%*	2.2pp	*26.8%*	*25.2%*	1.6pp	*27.7%*	*26.2%*	1.4pp
Fully diluted EPS (TWD)	**64.26**	**59.00**	8.9%	**108.34**	**91.21**	18.8%	**148.84**	**115.72**	28.6%

Source: Daiwa forecasts

Fositek: 3Q26 results review

(TWDm)	Fositek's 3Q26 results	Our forecasts	Differ	Bloomberg consensus	Differ
Revenue	4,502	4,550	-1.1%	4,534	-0.7%
Gross profit	1,712	1,561	9.7%	1,654	3.5%
Operating profit	1,460	1,316	11.0%	1,413	3.3%
Profit before tax	1,562	1,348	15.9%	1,444	8.2%
Net profit	1,242	1,071	15.9%	1,153	7.7%
EPS	18.11	15.63	15.9%	17.00	6.5%
Margin					
Gross margin	38.0%	34.3%	3.7pp	36.5%	1.5pp
Operating margin	32.4%	28.9%	3.5pp	31.2%	1.3pp
Pre-tax margin	34.7%	29.6%	5.1pp	31.9%	2.8pp
Net margin	27.6%	23.5%	4pp	25.4%	2.2pp

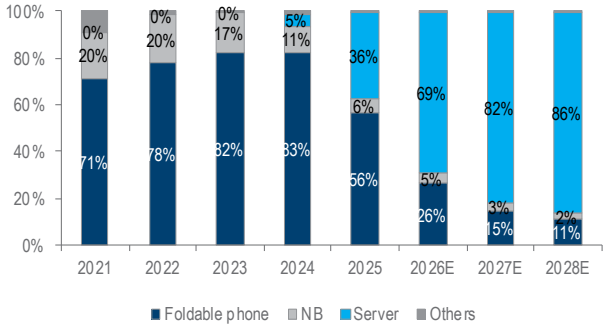
Source: Company, Bloomberg, Daiwa forecasts

Fositek: quarterly and annual P&L

	2026E				2027E				2026E	2027E	2028E
(TWDm)	1Q26	2Q26	3Q26	4Q26E	1Q27E	2Q27E	3Q27E	4Q27E			
Revenue	4,184	3,740	4,502	4,996	5,100	6,000	7,200	9,440	17,421	27,740	36,848
Gross profit	1,352	1,273	1,712	1,917	1,928	2,280	2,736	3,597	6,254	10,541	14,371
Operating profit	1,120	1,043	1,460	1,638	1,628	1,950	2,391	3,213	5,261	9,182	12,676
Pre-tax profit	1,165	1,075	1,562	1,740	1,668	1,991	2,432	3,254	5,542	9,344	12,838
Net profit	917	849	1,242	1,398	1,326	1,582	1,933	2,587	4,406	7,429	10,206
Basic EPS (TWD)	13.38	12.39	18.11	20.38	19.34	23.08	28.19	37.73	64.27	108.34	148.85
Margin											
Gross margin	32.3%	34.0%	38.0%	38.4%	37.8%	38.0%	38.0%	38.1%	35.9%	38.0%	39.0%
Operating margin	26.8%	27.9%	32.4%	32.8%	31.9%	32.5%	33.2%	34.0%	30.2%	33.1%	34.4%
Pre-tax margin	27.9%	28.8%	34.7%	34.8%	32.7%	33.2%	33.8%	34.5%	31.8%	33.7%	34.8%
Net margin	21.9%	22.7%	27.6%	28.0%	26.0%	26.4%	26.8%	27.4%	25.3%	26.8%	27.7%
YoY											
Revenue	85.8%	42.7%	26.2%	25.6%	21.9%	60.4%	59.9%	89.0%	40.3%	59.2%	32.8%
Gross profit	171.2%	101.9%	73.5%	66.0%	42.6%	79.1%	59.8%	87.6%	91.2%	68.5%	36.3%
Operating profit	206.3%	110.0%	84.2%	88.4%	45.3%	86.9%	63.8%	96.2%	108.4%	74.5%	38.0%
Pre-tax profit	177.1%	172.5%	88.1%	93.5%	43.2%	85.1%	55.7%	87.0%	117.8%	68.6%	37.4%
Net profit	157.3%	157.0%	80.8%	86.0%	44.6%	86.4%	55.6%	85.1%	107.3%	68.6%	37.4%
QoQ											
Revenue	5.2%	-10.6%	20.4%	11.0%	2.1%	17.6%	20.0%	31.1%			
Gross profit	17.1%	-5.8%	34.5%	12.0%	0.5%	18.3%	20.0%	31.5%			
Operating profit	28.9%	-6.9%	39.9%	12.2%	-0.6%	19.8%	22.6%	34.4%			
Pre-tax profit	29.6%	-7.7%	45.2%	11.4%	-4.1%	19.3%	22.2%	33.8%			
Net profit	22.1%	-7.4%	46.3%	12.5%	-5.1%	19.3%	22.2%	33.8%			

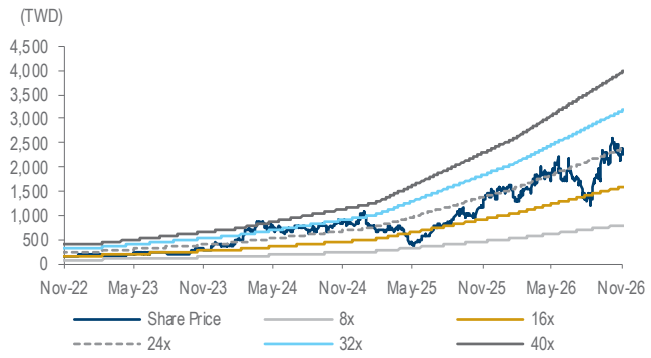
Source: Company, Daiwa forecasts

Fositek: product mix



Source: Company, Daiwa forecasts

Fositek: 1-year forward PER



Source: Bloomberg, Daiwa forecasts

Financial summary

Key assumptions

Year to 31 Dec	2021	2022	2023	2024	2025	2026E	2027E	2028E
Foldable phone revenue YoY growth	0.0	8.9	19.1	45.9	3.6	(35.0)	(10.0)	0.0
NB YoY growth (%)	0.0	2.4	(5.5)	(7.7)	(11.1)	0.0	0.0	0.0
Server revenue YoY growth (%)	0.0	0.0	0.0	0.0	935.9	165.0	90.0	40.0

Profit and loss (TWDm)

Year to 31 Dec	2021	2022	2023	2024	2025	2026E	2027E	2028E
Foldable phone	3,572	3,889	4,633	6,759	7,001	4,551	4,096	4,096
Server	0	0	0	435	4,506	11,942	22,689	31,765
Other Revenue	1,449	1,125	1,011	994	906	929	955	988
Total Revenue	**5,020**	**5,014**	**5,644**	**8,188**	**12,414**	**17,421**	**27,740**	**36,848**
Other income	0	0	0	0	0	0	0	0
COGS	(3,827)	(3,848)	(4,326)	(6,361)	(9,144)	(11,167)	(17,199)	(22,477)
SG&A	(133)	(153)	(151)	(180)	(187)	(261)	(388)	(479)
Other op.expenses	(251)	(238)	(286)	(450)	(559)	(732)	(971)	(1,216)
Operating profit	**809**	**775**	**881**	**1,197**	**2,524**	**5,261**	**9,182**	**12,676**
Net-interest inc./(exp.)	(9)	(15)	1	52	41	22	22	22
Assoc/forex/extraord./others	(24)	76	30	245	(21)	259	140	140
Pre-tax profit	**776**	**835**	**911**	**1,495**	**2,545**	**5,542**	**9,344**	**12,838**
Tax	(243)	(271)	(283)	(267)	(419)	(1,136)	(1,916)	(2,632)
Min. int./pref. div./others	0	0	0	0	0	0	0	0
Net profit (reported)	**533**	**564**	**628**	**1,227**	**2,125**	**4,406**	**7,429**	**10,206**
Net profit (adjusted)	**533**	**564**	**628**	**1,227**	**2,125**	**4,406**	**7,429**	**10,206**
EPS (reported)(TWD)	**9.289**	**9.331**	**10.185**	**17.904**	**31.002**	**64.269**	**108.339**	**148.849**
EPS (adjusted)(TWD)	**9.289**	**9.331**	**10.185**	**17.904**	**31.002**	**64.269**	**108.339**	**148.849**
EPS (adjusted fully-diluted)(TWD)	**9.276**	**9.311**	**10.174**	**17.890**	**30.982**	**64.257**	**108.335**	**148.844**
DPS (TWD)	**3.688**	**4.000**	**6.115**	**8.000**	**10.500**	**32.134**	**54.169**	**74.424**
EBIT	**809**	**775**	**881**	**1,197**	**2,524**	**5,261**	**9,182**	**12,676**
EBITDA	**910**	**966**	**1,043**	**1,638**	**2,801**	**5,845**	**9,741**	**13,329**

Cash flow (TWDm)

Year to 31 Dec	2021	2022	2023	2024	2025	2026E	2027E	2028E
Profit before tax	776	835	911	1,495	2,545	5,542	9,344	12,838
Depreciation and amortisation	126	115	132	196	298	325	419	513
Tax paid	(78)	(128)	(125)	(173)	(337)	(1,136)	(1,916)	(2,632)
Change in working capital	(726)	1,400	221	(212)	(260)	(655)	(226)	(494)
Other operational CF items	386	96	80	103	(274)	(22)	(22)	(22)
Cash flow from operations	**484**	**2,318**	**1,218**	**1,409**	**1,970**	**4,054**	**7,599**	**10,203**
Capex	(204)	(106)	(189)	(541)	(322)	(500)	(500)	(500)
Net (acquisitions)/disposals	0	3	5	(70)	6	0	0	0
Other investing CF items	54	(16)	2	(53)	(47)	0	0	0
Cash flow from investing	**(150)**	**(119)**	**(182)**	**(664)**	**(362)**	**(500)**	**(500)**	**(500)**
Change in debt	644	77	(521)	(10)	(10)	0	0	0
Net share issues/(repurchases)	0	0	0	0	0	0	0	0
Dividends paid	(19)	(272)	(242)	(377)	(548)	(720)	(2,203)	(3,714)
Other financing CF items	650	(19)	1,833	(35)	(45)	0	0	0
Cash flow from financing	**1,275**	**(214)**	**1,071**	**(422)**	**(603)**	**(720)**	**(2,203)**	**(3,714)**
Forex effect/others	0	0	0	0	0	0	0	0
Change in cash	**1,609**	**1,985**	**2,107**	**324**	**1,005**	**2,834**	**4,896**	**5,989**
Free cash flow	280	2,131	949	713	1,881	3,554	7,099	9,703

Source: FactSet, Daiwa forecasts

Financial summary continued …

Balance sheet (TWDm)

Year to 31 Dec	2021	2022	2023	2024	2025	2026E	2027E	2028E
Cash & short-term investment	1,854	3,841	5,898	6,336	7,446	10,280	15,176	21,165
Inventory	1,111	943	999	2,902	3,606	5,142	6,633	8,843
Accounts receivable	1,375	452	1,462	2,166	2,300	3,914	5,684	7,915
Other current assets	49	36	105	260	143	143	143	143
Total current assets	**4,390**	**5,272**	**8,464**	**11,664**	**13,494**	**19,478**	**27,636**	**38,065**
Fixed assets	324	312	359	758	817	992	1,073	1,060
Goodwill & intangibles	13	12	15	18	17	17	17	17
Other non-current assets	113	107	92	318	351	351	351	351
Total assets	**4,840**	**5,704**	**8,930**	**12,758**	**14,678**	**20,838**	**29,077**	**39,493**
Short-term debt	369	703	440	430	420	420	420	420
Accounts payable	1,502	1,865	3,224	5,811	5,911	8,405	11,439	15,384
Other current liabilities	129	133	166	291	503	228	228	228
Total current liabilities	**1,999**	**2,701**	**3,830**	**6,533**	**6,833**	**9,053**	**12,088**	**16,032**
Long-term debt	515	258	22	22	22	22	22	22
Other non-current liabilities	256	359	483	657	629	629	629	629
Total liabilities	**2,770**	**3,318**	**4,335**	**7,212**	**7,485**	**9,705**	**12,739**	**16,684**
Share capital	605	605	686	686	686	686	686	686
Reserves/R.E./others	1,466	1,781	3,910	4,861	6,507	10,447	15,652	22,123
Shareholders' equity	**2,070**	**2,386**	**4,595**	**5,546**	**7,193**	**11,132**	**16,338**	**22,809**
Minority interests	0	0	0	0	0	0	0	0
Total equity & liabilities	**4,840**	**5,704**	**8,930**	**12,758**	**14,678**	**20,838**	**29,077**	**39,493**
EV	147,135	145,226	142,669	142,222	141,103	138,269	133,372	127,384
Net debt/(cash)	**(971)**	**(2,880)**	**(5,437)**	**(5,884)**	**(7,003)**	**(9,837)**	**(14,734)**	**(20,722)**
BVPS (TWD)	**36.079**	**39.467**	**74.534**	**80.906**	**104.919**	**162.358**	**238.271**	**332.651**

Key ratios (%)

Year to 31 Dec	2021	2022	2023	2024	2025	2026E	2027E	2028E
Sales (YoY)	125.8	(0.1)	12.6	45.1	51.6	40.3	59.2	32.8
EBITDA (YoY)	158.0	6.1	8.0	57.1	71.0	108.7	66.7	36.8
Operating profit (YoY)	179.5	(4.2)	13.7	36.0	110.8	108.4	74.5	38.0
Net profit (YoY)	153.3	5.8	11.3	95.5	73.2	107.3	68.6	37.4
Core EPS (fully-diluted) (YoY)	48.7	0.4	9.3	75.8	73.2	107.4	68.6	37.4
Gross-profit margin	23.8	23.3	23.3	22.3	26.3	35.9	38.0	39.0
EBITDA margin	18.1	19.3	18.5	20.0	22.6	33.5	35.1	36.2
Operating-profit margin	16.1	15.5	15.6	14.6	20.3	30.2	33.1	34.4
Net profit margin	10.6	11.3	11.1	15.0	17.1	25.3	26.8	27.7
ROAE	36.1	25.3	18.0	24.2	33.4	48.1	54.1	52.1
ROAA	13.9	10.7	8.6	11.3	15.5	24.8	29.8	29.8
ROCE	39.6	24.6	21.0	21.7	37.0	54.8	64.8	63.3
ROIC	56.2	n.a	n.a.	n.a.	n.a.	n.a	n.a	n.a
Net debt to equity	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.
Effective tax rate	31.3	32.4	31.1	17.9	16.5	20.5	20.5	20.5
Accounts receivable (days)	65.8	66.5	61.9	80.9	65.7	65.1	63.1	67.4
Current ratio (x)	2.2	2.0	2.2	1.8	2.0	2.2	2.3	2.4
Net interest cover (x)	91.5	50.1	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.
Net dividend payout	39.7	42.9	60.0	44.7	33.9	50.0	50.0	50.0
Free cash flow yield	0.2	1.4	0.6	0.5	1.3	2.4	4.8	6.6

Source: FactSet, Daiwa forecasts

Company profile

Fositek is a provider of foldable phone hinges, foldable laptop/tablet hinges, AR/VR glasses hinges, ultra-thin laptop hinges and keyboard hinges, as well as hinges for medical instruments and automobile applications. Its major clients include Huawei and Motorola.

ESG analysis

ESG risks

Risks		Management	Analyst comments
G	Executive/board quality	1	The CEO and chairperson of Fositek are not the same individual, and we see no issue with its board quality. Besides, we note that the chairperson has 24 years of experience in this industry and took over the role of chairman at Fositek in 2014, which is a positive sign from a governance perspective.
	Capital management	2	Fositek's dividend payout ratio was 40-60% over 2022-25, due likely to its capacity expansion plans.
	Related party & transaction	2	Revenue generated from related-party transactions (mainly for AVC and SZFSD) was 0-16% of total revenue during 2022-25, and we found no suspicious activity.
E	Supply chain management	1	Fositek maintains smooth communication channels with its suppliers and executes its business operations effectively. In response to ESG issues, Fositek actively implements supply chain management, striving to optimise the overall environment through product design, raw-material procurement, manufacturing, transportation, packaging and recycling processes. It integrates upstream and downstream suppliers to establish a green supply chain. For example, Fositek has required its suppliers to sign environmental protection agreements since 2021, committing to comply with hazardous substance control regulations.
G	Data security	2	To protect company information and customer data, Fositek has passed the IEC/ISO 27001 information security management system certification and will continue to enhance execution in various management areas.

Note: Management score represents a company's ability to manage/benefit from certain ESG topics. The scores range from 1 to 3, with 1 being the strongest.

Update Date: 7 May 2026

Source: Daiwa, Company

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Rating	Percentage of total
Buy*	73.96%
Hold**	19.58%
Sell***	6.46%

Source: Daiwa

Notes: data is for single-branded Daiwa research in Asia (ex Japan) and correct as of 30 September 2026.
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* The amount of the trading commission cannot be stated here in advance because it will be determined between our company and you based on current market conditions and the content of each transaction etc.

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Daiwa Capital Markets Hong Kong Limited

Realtek Semiconductor (2379 TT)

Target price: **TWD798.00** (from TWD750.00)

Share price (3 Nov): **TWD756.00** | Up/downside: **+5.6%**

5 4 3 **2** 1

Outperform (unchanged)

Back on track after rebalancing

- Fine-tuning our forecasts on demand rebalancing after pre-stocking
- Likely back on seasonal track after this year's hiccups
- Reaffirming Outperform (2) call with a higher 12-month TP of TWD798

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What's new: Following our *results memo*, we fine-tune our forecasts for Realtek. We believe its near-term demand-rebalancing hiccups have come to an end, thanks to its pricing power and its ability to pass on supply-chain cost inflation. Given our interpretation of management's tone that 4Q26 is likely to be sequentially flat, we expect Realtek's business to return to its seasonal track from 1Q27. We expect it to continue capitalising on its structure growth driver of multi-year/multi-G (gigabits per second) connectivity bandwidth upgrade cycle, with any AI penetration adding to upside. We reaffirm Outperform (2) call with a higher 12M TP of TWD798.

What's the impact: **Forecast revisions.** We fine-tune our 2026-28E EPS given that fundamentals are broadly intact heading into 2027. Recall management's commentary at its results call (29 October) of expecting 4Q26 to be a "prudent and steady" quarter. We interpret this as likely a sequentially flat revenue, counter-seasonal after its 3Q26 miss on deeper demand rebalancing. Without quantifying its 2027 business outlook, management expects the year to be one of steady growth. We forecast Realtek's 2027 revenue to grow by 18% YoY, assuming its business returns to seasonal track after 2 years of demand rebalancing hiccups caused by customers' unusual restocking and pre-stocking activities.

Back on track after recent hiccups. After 2 years of anti-seasonal performance on customer pre-stocking amid uncertainty over Trump's reciprocal tariffs, followed by component price hikes and supply-chain uncertainty related to AI cannibalisation, we expect Realtek's business to return to its seasonal track from 1Q27. We believe it should continue to capitalise on its secular driver of multi-year/multi-G bandwidth upgrade cycle from both wireline and wireless connectivity, including 2.5G/5G/10G Ethernet, 10GPON, managed switches and WiFi 7/8. Its penetration into AI, from cloud AI companion chips to edge AI to physical AI, should add to growth upside, although any meaningful contribution may take time, evidenced by its new product offering/development such as SSD, Ethernet hub, optical cable, i3C security and SerDes controllers, to name a few. According to management, AI will contribute a high single-digit % revenue this year, ramping to over 30% contribution by 2030.

What we recommend: Following forecast revisions, we raise our 12M TP for Realtek to TWD798 (previous: TWD750), on the same 4-quarter forward PER target of 20x. We reaffirm our Outperform (2) rating with key downside risk of any component price hikes leading to worse-than-expected demand.

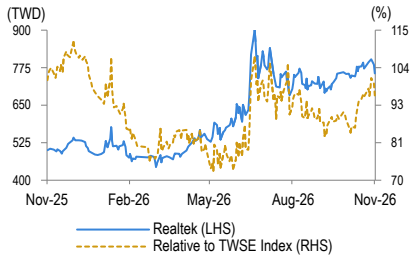
How we differ: Our 2026-28E EPS are broadly in line with consensus, ranging from -3% to +2%.

Forecast revisions (%)

Year to 31 Dec	26E	27E	28E
Revenue change	(2.4)	(2.3)	(2.8)
Net profit change	(2.2)	(0.4)	(2.0)
Core EPS (FD) change	(2.2)	(0.4)	(2.0)

Source: Daiwa forecasts

Share price performance



12-month range	445.00-900.00
Market cap (USDbn)	11.87
3m avg daily turnover (USDm)	62.52
Shares outstanding (m)	513
Major shareholder	JPMorgan Chase & Co (5.2%)

Financial summary (TWD)

Year to 31 Dec	26E	27E	28E
Revenue (m)	149,703	176,162	210,509
Operating profit (m)	16,278	20,957	25,315
Net profit (m)	16,379	20,338	24,149
Core EPS (fully-diluted)	31.393	38.981	46.287
EPS change (%)	11.9	24.2	18.7
Daiwa vs Cons. EPS (%)	(0.3)	1.7	(3.2)
PER (x)	24.1	19.4	16.3
Dividend yield (%)	3.3	3.6	4.2
DPS	25.0	27.0	32.0
PBR (x)	7.0	6.1	5.4
EV/EBITDA (x)	15.9	12.5	10.3
ROE (%)	30.3	34.2	35.7

Source: FactSet, Daiwa forecasts

See important disclosures, including any required research certifications, beginning on page 6

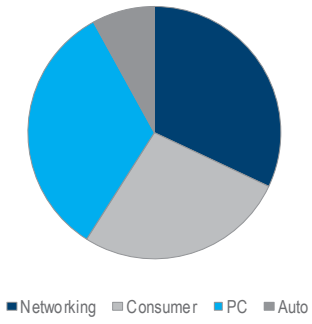
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Realtek: quarterly P&L forecasts

TWDm	1Q26	2Q26	3Q26	4Q26E	1Q27E	2Q27E	3Q27E	4Q27E	2025	2026E	2027E	2028E
Revenue	36,423	37,553	37,732	37,995	39,565	44,569	47,708	44,320	122,706	149,703	176,162	210,509
COGS	-18,336	-19,902	-19,829	-19,861	-20,565	-23,001	-24,425	-22,665	-61,333	-77,927	-90,656	-107,719
Gross profit	18,087	17,651	17,903	18,135	19,000	21,567	23,283	21,655	61,374	71,776	85,506	102,791
Opex	-13,755	-13,926	-13,758	-14,058	-14,520	-16,357	-17,318	-16,354	-47,014	-55,497	-64,549	-77,476
SG&A	-3,784	-3,711	-3,676	-3,610	-3,759	-4,189	-4,055	-4,077	-11,841	-14,781	-16,081	-19,110
R&D	-9,971	-10,215	-10,082	-10,449	-10,762	-12,167	-13,263	-12,277	-35,172	-40,717	-48,468	-58,366
Operating profit	4,332	3,725	4,145	4,076	4,480	5,211	5,965	5,301	14,360	16,278	20,957	25,315
Pre-tax profit	4,977	4,370	4,751	4,816	5,165	5,896	6,695	6,031	17,261	18,915	23,787	28,245
Income taxes	-648	-565	-625	-698	-749	-855	-971	-874	-2,507	-2,536	-3,449	-4,095
Net profit	4,330	3,805	4,126	4,118	4,416	5,041	5,724	5,156	14,753	16,379	20,338	24,149
O/S (M, fully diluted)	522	522	522	522	522	522	522	522	526	522	522	522
FD EPS (TWD)	**8.30**	**7.29**	**7.91**	**7.89**	**8.46**	**9.66**	**10.97**	**9.88**	**28.06**	**31.39**	**38.98**	**46.29**
As a % of revenue												
Gross profit	49.7%	47.0%	47.4%	47.7%	48.0%	48.4%	48.8%	48.9%	50.0%	47.9%	48.5%	48.8%
Opex	-37.8%	-37.1%	-36.5%	-37.0%	-36.7%	-36.7%	-36.3%	-36.9%	-38.3%	-37.1%	-36.6%	-36.8%
SG&A	-10.4%	-9.9%	-9.7%	-9.5%	-9.5%	-9.4%	-8.5%	-9.2%	-9.7%	-9.9%	-9.1%	-9.1%
R&D	-27.4%	-27.2%	-26.7%	-27.5%	-27.2%	-27.3%	-27.8%	-27.7%	-28.7%	-27.2%	-27.5%	-27.7%
Operating profit	11.9%	9.9%	11.0%	10.7%	11.3%	11.7%	12.5%	12.0%	11.7%	10.9%	11.9%	12.0%
Net profit	11.9%	10.1%	10.9%	10.8%	11.2%	11.3%	12.0%	11.6%	12.0%	10.9%	11.5%	11.5%
Growth (QoQ)												
Revenue	**39%**	**3%**	**0%**	**1%**	**4%**	**13%**	**7%**	**-7%**				
Gross profit	43%	-2%	1%	1%	5%	14%	8%	-7%				
Operating profit	86%	-14%	11%	-2%	10%	16%	14%	-11%				
Net profit	63%	-12%	8%	0%	7%	14%	14%	-10%				
FD EPS	64%	-12%	8%	0%	7%	14%	14%	-10%				
Growth (YoY)												
Revenue	4%	18%	28%	45%	9%	19%	26%	17%	8%	22%	18%	19%
Gross profit	0%	10%	22%	44%	5%	22%	30%	19%	7%	17%	19%	20%
Operating profit	-12%	-7%	33%	75%	3%	40%	44%	30%	6%	13%	29%	21%
Net profit	-9%	-3%	20%	55%	2%	32%	39%	25%	-4%	11%	24%	19%
FD EPS	-9%	-4%	18%	56%	2%	32%	39%	25%	-5%	12%	24%	19%

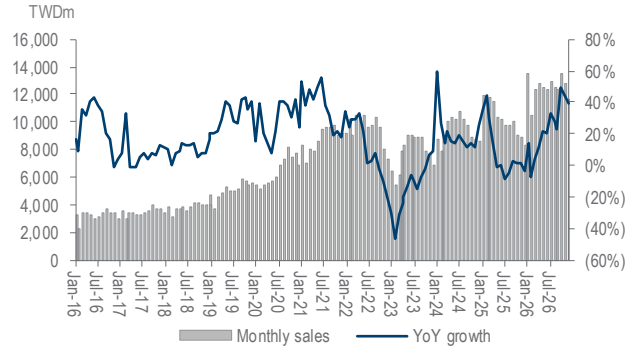
Source: Company, Daiwa forecasts

Realtek: revenue mix by application



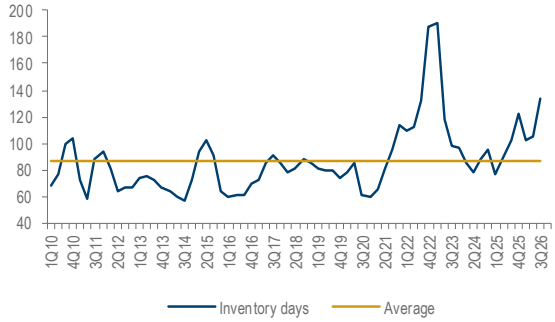
Source: Daiwa estimates

Realtek: monthly revenue run-rate



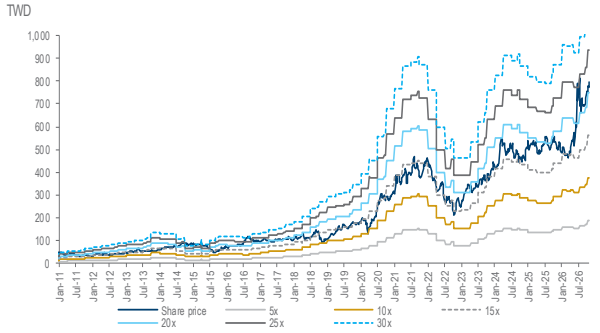
Source: Company, Daiwa forecasts (for October-December 2026)

Realtek: quarterly inventory trend



Source: Company, Daiwa estimates

Realtek: 4-quarter forward PER band



Source: Company, TEJ, Daiwa forecasts

Financial summary

Key assumptions

Year to 31 Dec	2021	2022	2023	2024	2025	2026E	2027E	2028E
Networking & communication (%)	71	76	77	77	77	81	82	83
Computer & peripheral (%)	14	12	10	11	10	8	8	8
Multimedia & consumer (%)	15	13	13	13	13	11	10	9

Profit and loss (TWDm)

Year to 31 Dec	2021	2022	2023	2024	2025	2026E	2027E	2028E
Networking & communication revenue	75,067	84,710	73,133	86,991	94,382	121,593	144,985	175,422
Computer & peripheral revenue	14,542	12,871	9,464	12,180	12,379	11,590	14,020	16,414
Other Revenue	15,896	14,209	12,582	14,223	15,945	16,520	17,156	18,674
Total Revenue	**105,504**	**111,790**	**95,179**	**113,394**	**122,706**	**149,703**	**176,162**	**210,509**
Other income	0	0	0	0	0	0	0	0
COGS	(52,316)	(57,155)	(54,431)	(56,232)	(61,333)	(77,927)	(90,656)	(107,719)
SG&A	(7,910)	(8,863)	(7,633)	(10,073)	(11,841)	(14,781)	(16,081)	(19,110)
Other op.expenses	(27,953)	(30,048)	(26,460)	(33,544)	(35,172)	(40,717)	(48,468)	(58,366)
Operating profit	**17,325**	**15,724**	**6,655**	**13,545**	**14,360**	**16,278**	**20,957**	**25,315**
Net-interest inc./(exp.)	220	733	2,335	2,504	2,548	2,624	2,830	2,930
Assoc/forex/extraord./others	30	465	555	336	353	13	0	0
Pre-tax profit	**17,575**	**16,922**	**9,545**	**16,384**	**17,261**	**18,915**	**23,787**	**28,245**
Tax	(722)	(718)	(392)	(1,050)	(2,507)	(2,536)	(3,449)	(4,095)
Min. int./pref. div./others	0	0	0	0	0	0	0	0
Net profit (reported)	**16,853**	**16,204**	**9,153**	**15,335**	**14,753**	**16,379**	**20,338**	**24,149**
Net profit (adjusted)	**16,853**	**16,204**	**9,153**	**15,335**	**14,753**	**16,379**	**20,338**	**24,149**
EPS (reported)(TWD)	**33.000**	**31.623**	**17.847**	**29.900**	**28.619**	**31.936**	**39.655**	**47.087**
EPS (adjusted)(TWD)	**33.000**	**31.623**	**17.847**	**29.900**	**28.619**	**31.936**	**39.655**	**47.087**
EPS (adjusted fully-diluted)(TWD)	**32.384**	**30.483**	**17.587**	**29.742**	**28.064**	**31.393**	**38.981**	**46.287**
DPS (TWD)	**14.000**	**27.023**	**27.000**	**15.499**	**25.369**	**25.000**	**27.000**	**32.000**
EBIT	**17,325**	**15,724**	**6,655**	**13,545**	**14,360**	**16,278**	**20,957**	**25,315**
EBITDA	**19,626**	**18,528**	**9,680**	**16,889**	**18,079**	**20,890**	**26,396**	**31,778**

Cash flow (TWDm)

Year to 31 Dec	2021	2022	2023	2024	2025	2026E	2027E	2028E
Profit before tax	17,575	16,922	9,545	16,384	17,261	18,915	23,787	28,245
Depreciation and amortisation	2,301	2,804	3,025	3,344	3,719	4,612	5,439	6,463
Tax paid	(722)	(718)	(392)	(1,050)	(2,507)	(2,536)	(3,449)	(4,095)
Change in working capital	(9,811)	(5,938)	9,803	1,875	8,115	2,350	(4,953)	(3,984)
Other operational CF items	9,009	5,987	(4,084)	3,424	(3,573)	0	0	0
Cash flow from operations	**18,352**	**19,058**	**17,896**	**23,978**	**23,015**	**23,340**	**20,824**	**26,628**
Capex	(2,510)	(2,451)	(2,167)	(2,347)	(2,089)	(2,994)	(3,523)	(4,210)
Net (acquisitions)/disposals	(45)	(370)	0	(2,240)	0	0	0	0
Other investing CF items	(11,478)	2,456	3,251	(5,121)	(14,291)	(2,246)	(2,642)	(3,158)
Cash flow from investing	**(14,033)**	**(366)**	**1,084**	**(9,707)**	**(16,380)**	**(5,240)**	**(6,166)**	**(7,368)**
Change in debt	2,903	1,107	(8,977)	250	5,590	0	0	0
Net share issues/(repurchases)	0	0	0	0	0	0	0	0
Dividends paid	(7,150)	(13,847)	(13,847)	(7,949)	(13,078)	(12,822)	(13,847)	(16,412)
Other financing CF items	(90)	(98)	(115)	(2,367)	(128)	0	0	0
Cash flow from financing	**(4,337)**	**(12,838)**	**(22,939)**	**(10,066)**	**(7,616)**	**(12,822)**	**(13,847)**	**(16,412)**
Forex effect/others	(81)	703	472	383	(766)	0	0	0
Change in cash	**(99)**	**6,557**	**(3,486)**	**4,588**	**(1,747)**	**5,279**	**811**	**2,849**
Free cash flow	15,842	16,607	15,730	21,631	20,926	20,346	17,301	22,418

Source: FactSet, Daiwa forecasts

Financial summary continued …

Balance sheet (TWDm)

Year to 31 Dec	2021	2022	2023	2024	2025	2026E	2027E	2028E
Cash & short-term investment	52,891	56,913	43,590	55,099	61,376	66,655	67,466	70,315
Inventory	16,549	25,553	11,757	13,506	19,561	14,599	20,173	21,144
Accounts receivable	15,989	12,013	12,757	12,305	15,011	21,902	21,535	30,371
Other current assets	817	1,013	1,183	3,747	1,409	1,409	1,409	1,409
Total current assets	**86,245**	**95,492**	**69,288**	**84,658**	**97,357**	**104,565**	**110,584**	**123,239**
Fixed assets	6,303	5,210	7,068	8,441	10,100	11,572	13,300	15,378
Goodwill & intangibles	2,232	2,413	2,625	2,659	3,475	2,630	2,553	2,479
Other non-current assets	6,452	10,586	14,836	18,138	18,972	18,972	18,972	18,972
Total assets	**101,232**	**113,701**	**93,815**	**113,897**	**129,903**	**137,739**	**145,409**	**160,068**
Short-term debt	13,342	13,738	4,250	4,500	10,090	10,090	10,090	10,090
Accounts payable	11,443	10,496	7,273	9,584	11,738	16,017	16,272	22,094
Other current liabilities	34,036	38,310	34,723	43,877	52,928	52,928	52,928	52,928
Total current liabilities	**58,821**	**62,545**	**46,246**	**57,961**	**74,756**	**79,035**	**79,289**	**85,112**
Long-term debt	1,003	1,713	2,227	0	0	0	0	0
Other non-current liabilities	2,456	2,680	3,104	2,978	2,935	2,935	2,935	2,935
Total liabilities	**62,280**	**66,938**	**51,577**	**60,939**	**77,691**	**81,970**	**82,225**	**88,047**
Share capital	5,107	5,129	5,129	5,129	5,155	5,155	5,155	5,155
Reserves/R.E./others	33,836	41,625	37,100	47,819	47,047	50,604	58,019	66,856
Shareholders' equity	**38,943**	**46,753**	**42,228**	**52,948**	**52,202**	**55,759**	**63,174**	**72,011**
Minority interests	10	10	10	10	10	10	10	10
Total equity & liabilities	**101,232**	**113,701**	**93,815**	**113,897**	**129,903**	**137,739**	**145,409**	**160,068**
EV	349,188	346,272	350,621	337,135	336,449	331,169	330,358	327,509
Net debt/(cash)	**(38,546)**	**(41,462)**	**(37,113)**	**(50,599)**	**(51,286)**	**(56,565)**	**(57,376)**	**(60,225)**
BVPS (TWD)	**76.256**	**91.242**	**82.339**	**103.240**	**101.263**	**108.722**	**123.180**	**140.409**

Key ratios (%)

Year to 31 Dec	2021	2022	2023	2024	2025	2026E	2027E	2028E
Sales (YoY)	35.7	6.0	(14.9)	19.1	8.2	22.0	17.7	19.5
EBITDA (YoY)	84.7	(5.6)	(47.8)	74.5	7.0	15.5	26.4	20.4
Operating profit (YoY)	100.5	(9.2)	(57.7)	103.5	6.0	13.4	28.7	20.8
Net profit (YoY)	91.7	(3.8)	(43.5)	67.5	(3.8)	11.0	24.2	18.7
Core EPS (fully-diluted) (YoY)	91.3	(5.9)	(42.3)	69.1	(5.6)	11.9	24.2	18.7
Gross-profit margin	50.4	48.9	42.8	50.4	50.0	47.9	48.5	48.8
EBITDA margin	18.6	16.6	10.2	14.9	14.7	14.0	15.0	15.1
Operating-profit margin	16.4	14.1	7.0	11.9	11.7	10.9	11.9	12.0
Net profit margin	16.0	14.5	9.6	13.5	12.0	10.9	11.5	11.5
ROAE	49.3	37.8	20.6	32.2	28.1	30.3	34.2	35.7
ROAA	18.8	15.1	8.8	14.8	12.1	12.2	14.4	15.8
ROCE	36.8	27.2	12.0	25.5	24.0	25.4	30.1	32.6
ROIC	n.a.	n.a	n.a	n.a	n.a	n.a	n.a	n.a
Net debt to equity	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.
Effective tax rate	4.1	4.2	4.1	6.4	14.5	13.4	14.5	14.5
Accounts receivable (days)	51.3	45.7	47.5	40.3	40.6	45.0	45.0	45.0
Current ratio (x)	1.5	1.5	1.5	1.5	1.3	1.3	1.4	1.4
Net interest cover (x)	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.
Net dividend payout	81.3	82.1	85.5	86.9	87.7	86.9	84.5	80.7
Free cash flow yield	4.1	4.3	4.1	5.6	5.4	5.2	4.5	5.8

Source: FactSet, Daiwa forecasts

Company profile

Realtek focuses on research, design, development and distribution of integrated circuits (ICs) for applications across networking & communication (NC), computer & peripheral (CP) and multimedia & consumer (MM). The majority of its revenue comes from NC products, including WiFi, Bluetooth, Ethernet and switch controllers. It also provides diversified CP products such as audio codec, IP cam, and solid-state drive (SSD) controllers as well as MM products like TV SoC and monitor controllers.

ESG analysis

ESG risks

Risks		Management	Analyst comments
G	Executive/board quality	2	Realtek's Board of Directors consists of nine members whose expertise spans industry, academia, finance, accounting, and management, providing the company with a broad and diverse range of professional perspectives. Three of these directors are independent, representing 33 percent of the board and exceeding the regulatory minimum requirement of 20 percent for independent directors. This higher proportion of independent directors enhances oversight, helps safeguard shareholder interests, and supports more objective decision-making. However, an important governance risk remains in the area of board diversity. The board currently includes only one female director out of nine members, which represents 11 percent of the total. This limited female representation may constrain the breadth of viewpoints and experiences reflected in board discussions and could be perceived as misaligned with evolving stakeholder expectations and best practices on gender diversity in corporate governance.
	Capital management	1	In the past 8 years, Realtek's dividend payout ratios were above 80%. As a fabless company, it does not need high capital expenditure for manufacturing sites. Realtek's business has shown stable earnings growth over its 30-year history. Thus, we see its dividend policy with a high payout ratio as appropriate.
	Related party & transaction	2	Realtek's related-party transactions are primarily with G.M.I. Technology Inc. and Greatek Electronics Inc. Realtek pays certain processing costs to related parties. These payments are made under standard commercial terms and conditions. Overall, we do not observe any significant impact on Realtek's business arising from these related-party transactions.
S	Supply chain management	2	Realtek has formulated a set of supplier management regulations in accordance with Realtek's Supplier Sustainability Management Policy. It requires suppliers to obtain ISO9001 quality management system certification to ensure that all of its suppliers possess a high level of environment awareness.
E	Water & wastewater management	1	As a fabless company without manufacturing plants, Realtek does not produce much wastewater compared to manufacturing companies, and thus has a relatively limited impact on the environment. Realtek has implemented a water conservation plan to increase water efficiency, such as the reuse of rainwater, re-circulating water in its cooling tower and installing water-saving devices. Its water saving rate (=reduced water consumption/total water withdrawn) increased gradually.
E	Waste & hazardous materials management	1	The company reports to the Executive Yuan's Environmental Protection Administration waste and reporting management system every month on the quantity of waste and its method of disposal. In 2024, it produced 26.10 tonnes of industrial waste, maintaining over a 90% recycling rate for hazardous industrial waste.
E	GHG emissions	1	Realtek has independently conducted GHG emission inventory and management at its Hsinchu Headquarters since 2019. In 2022, Realtek implemented a comprehensive ISO 14064-1:2018 GHG inventory and passed third-party verification. As of 2024, the company has completed GHG emission inventory and third-party verification for all sites within the Realtek Group.

Note: Management score represents a company's ability to manage/benefit from certain ESG topics. The scores range from 1 to 3, with 1 being the strongest.

Update Date: 29 Jan 2026

Source: Daiwa, Company

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Disclosure of investment ratings

Rating	Percentage of total
Buy*	73.96%
Hold**	19.58%
Sell***	6.46%

Source: Daiwa

Notes: data is for single-branded Daiwa research in Asia (ex Japan) and correct as of 30 September 2026.
** comprised of Daiwa's Buy and Outperform ratings.*
*** comprised of Daiwa's Hold ratings.*
**** comprised of Daiwa's Underperform and Sell ratings.*

Additional information may be available upon request.

Japan - Notification items pursuant to Article 37 of the Financial Instruments and Exchange Law

(This Notification is only applicable to where report is distributed by Daiwa Securities Co. Ltd.)

If you decide to enter into a business arrangement with our company based on the information described in this report, we ask you to pay close attention to the following items.

- In addition to the purchase price of a financial instrument, our company will collect a trading commission* for each transaction as agreed beforehand with you. Since commissions may be included in the purchase price or may not be charged for certain transactions, we recommend that you confirm the commission for each transaction. In some cases, our company also may charge a maximum of ¥2 million per year as a standing proxy fee for our deposit of your securities, if you are a non-resident.
- For derivative and margin transactions etc., our company may require collateral or margin requirements in accordance with an agreement made beforehand with you. Ordinarily in such cases, the amount of the transaction will be in excess of the required collateral or margin requirements**.
- There is a risk that you will incur losses on your transactions due to changes in the market price of financial instruments based on fluctuations in interest rates, exchange rates, stock prices, real estate prices, commodity prices, and others. In addition, depending on the content of the transaction, the loss could exceed the amount of the collateral or margin requirements.
- There may be a difference between bid price etc. and ask price etc. of OTC derivatives handled by our company.
- Before engaging in any trading, please thoroughly confirm accounting and tax treatments regarding your trading in financial instruments with such experts as certified public accountants.

* The amount of the trading commission cannot be stated here in advance because it will be determined between our company and you based on current market conditions and the content of each transaction etc.

** The ratio of margin requirements etc. to the amount of the transaction cannot be stated here in advance because it will be determined between our company and you based on current market conditions and the content of each transaction etc.

When making an actual transaction, please be sure to carefully read the materials presented to you prior to the execution of agreement, and to take responsibility for your own decisions regarding the signing of the agreement with our company.

Corporate Name:	Daiwa Securities Co. Ltd.
Registered:	Financial Instruments Business Operator, Chief of Kanto Local Finance Bureau (Kin-sho) No.108
Memberships:	Japan Securities Dealers Association, The Financial Futures Association of Japan, Investment Management Association of Japan, Type II Financial Instruments Firms Association, Japan Security Token Offering Association

Sunonwealth Electric Machine Industry (2421 TT)

Target price: **TWD265.00** (from TWD236.00)

Share price (3 Nov): **TWD138.00** | Up/downside: **+92.0%**

5 4 3 2 **1**

Buy (unchanged)

3Q26 results preview: ongoing gross margin expansion

- Rising liquid cooling and EC fans revenue mix in 2027E vs. 2026
- Likely upward revision in EPS forecasts in the near term
- Reaffirming our Buy (1) call; raising 12M TP to TWD265

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What's new: We provide a 3Q26 results preview on Sunon, which plans to release its 3Q26 results on 6 November. We reaffirm our Buy (1) call as we expect the 4Q26 and 2027 outlook for its telecom, servers, industrial and auto segments to remain intact with both gross and operating margin set to expand. We now forecast a net profit CAGR of 28.2% over 2026-28E from 21.2% previously (see our *flash*, 28 August).

What's the impact: 3Q26 results preview. Sunon's 3Q26 revenue of TWD6,143m (+13.4% QoQ and +24.5% YoY), a record-high level, accounted for 97.2% and 102.2%, respectively, of our previous (TWD6,319m, +16.6% QoQ and +28.1% YoY) and the Bloomberg consensus estimates for 3Q26 revenue. We forecast its 3Q26 gross margin to be 32.8% (vs. 31.3% in 2Q26 and 31.3% in 3Q25), slightly higher than the Bloomberg consensus estimate of 31.9%. We forecast an operating profit of TWD1,115m (+33.3% QoQ and +45.0% YoY), 3.0% higher than the Bloomberg consensus estimate of TWD1,082m and an operating margin of 18.1% (vs. 15.4% in 2Q26 and 15.6% in 3Q25). Overall, we forecast a net profit of TWD901m (+30.5% QoQ, +29.7% YoY), 1.9% higher than the consensus estimate of TWD884m. We forecast 4Q26 revenue to grow 7.5% QoQ, and 1Q27 revenue to grow 1.4% QoQ considering its ASIC and GPU projects.

Rising liquid cooling revenue and EC fan exposure in 2027E underpin its gross margin expansion. We expect Sunon's cold plate products (ie, enterprise and GPU clients), pump and CDU to be the key revenue drivers with certification also underway for CSP clients. We expect revenue from EC fans to reach 10% in 2027E for the industrial segment. We revise up our 2026-28E EPS by 1-13%, mainly on higher revenue, gross margin and operating margin assumptions.

What we recommend: We reaffirm our Buy (1) call and raise our 12M TP to TWD265 (from TWD236), still based on a target PER of 18x vs. its past-5-year PER range of 6-25x, on the 2027E EPS, given solid earnings visibility from intact demand in the server, telecom, industrial and auto segments. We believe its dividend yield of 5.6-9.2% over 2026-28E will offer downside support for its share price. Downside risks: worse-than-expected gross-margin expansion and AI server development progress.

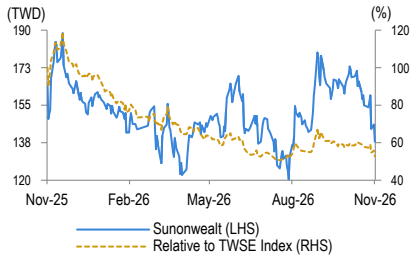
How we differ: We are one of only two overseas brokers covering the stock. Our 2026-28E EPS are 4-12% above the Bloomberg consensus, likely due to our more aggressive revenue, gross margin and operating margin estimates.

Forecast revisions (%)

Year to 31 Dec	26E	27E	28E
Revenue change	-	-	3.3
Net profit change	1.0	5.3	12.9
Core EPS (FD) change	1.0	5.4	12.9

Source: Daiwa forecasts

Share price performance



12-month range	120.50-188.48
Market cap (USDbn)	1.16
3m avg daily turnover (USDm)	16.96
Shares outstanding (m)	273
Major shareholder	Hung family (33.0%)

Financial summary (TWD)

Year to 31 Dec	26E	27E	28E
Revenue (m)	23,186	27,364	32,295
Operating profit (m)	3,872	5,117	6,427
Net profit (m)	3,166	4,187	5,200
Core EPS (fully-diluted)	11.153	14.628	18.170
EPS change (%)	40.7	31.2	24.2
Daiwa vs Cons. EPS (%)	4.0	9.9	12.4
PER (x)	12.4	9.4	7.6
Dividend yield (%)	5.6	7.4	9.2
DPS	7.7	10.2	12.7
PBR (x)	3.7	3.1	2.6
EV/EBITDA (x)	8.1	6.0	4.7
ROE (%)	32.7	36.5	38.2

Source: FactSet, Daiwa forecasts

Sunon: revenue and earnings forecast revisions

	2026E			2027E			2028E		
(TWDm)	New	Previous	Change	New	Previous	Change	New	Previous	Change
Sales	**23,186**	**23,186**	0.0%	**27,364**	**27,364**	0.0%	**32,295**	**31,278**	3.3%
Gross profit	**7,489**	**7,420**	0.9%	**9,304**	**9,030**	3.0%	**11,303**	**10,384**	8.8%
Gross margin	*32.3%*	*32.0%*	0.3pp	*34.0%*	*33.0%*	1pp	*35.0%*	*33.2%*	1.8pp
Operating profit	**3,872**	**3,803**	1.8%	**5,117**	**4,843**	5.6%	**6,427**	**5,661**	13.5%
Operating margin	*16.7%*	*16.4%*	0.3pp	*18.7%*	*17.7%*	1pp	*19.9%*	*18.1%*	1.8pp
Net profit	**3,166**	**3,136**	1.0%	**4,187**	**3,975**	5.3%	**5,200**	**4,608**	12.9%
Net margin	*13.7%*	*13.5%*	0.1pp	*15.3%*	*14.5%*	0.8pp	*16.1%*	*14.7%*	1.4pp
Fully diluted EPS (TWD)	**11.15**	**11.04**	1.0%	**14.63**	**13.88**	5.4%	**18.17**	**16.09**	12.9%

Source: Daiwa forecasts

Sunon: 3Q26 results preview

(TWDm)	Daiwa's 3Q26 forecast	Our previous forecast	Differ	Bloomberg consensus	Differ
Revenue	6,143	6,319	-2.8%	6,357	-3.4%
Gross profit	2,015	2,041	-1.3%	2,028	-0.6%
Operating profit	1,115	1,141	-2.3%	1,082	3.0%
Profit before tax	1,162	1,218	-4.6%	1,133	2.6%
Net profit	901	950	-5.2%	884	1.9%
EPS	3.15	3.33	-5.5%	3.10	1.7%
Margin					
Gross margin	32.8%	32.3%	0.5pp	31.9%	0.9pp
Operating margin	18.1%	18.1%	0.1pp	17.0%	1.1pp
Pre-tax margin	18.9%	19.3%	-0.4pp	17.8%	1.1pp
Net margin	14.7%	15.0%	-0.4pp	13.9%	0.8pp

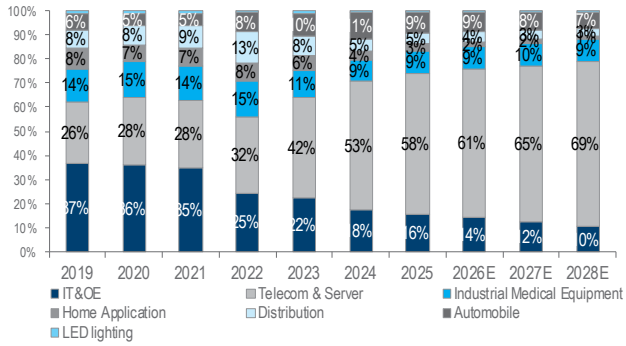
Source: Company, Bloomberg, Daiwa forecasts

Sunon: quarterly and annual P&L

	2026E				2027E				2026E	2027E	2028E
(TWDm)	1Q26	2Q26	3Q26E	4Q26E	1Q27E	2Q27E	3Q27E	4Q27E			
Revenue	5,019	5,419	6,143	6,606	6,700	6,800	6,900	6,964	23,186	27,364	32,295
Gross profit	1,589	1,693	2,015	2,192	2,191	2,230	2,277	2,606	7,489	9,304	11,303
Operating profit	788	836	1115	1133	1191	1190	1257	1479	3,872	5,117	6,427
Pre-tax profit	805	912	1162	1210	1263	1263	1329	1551	4,089	5,407	6,716
Net profit	649	690	901	927	1023	960	1037	1167	3,166	4,187	5,200
Basic EPS (TWD)	2.36	2.41	3.15	3.24	3.58	3.36	3.63	4.08	11.16	14.64	18.18
Margin											
Gross margin	31.7%	31.3%	32.8%	33.2%	32.7%	32.8%	33.0%	37.4%	32.3%	34.0%	35.0%
Operating margin	15.7%	15.4%	18.1%	17.2%	17.8%	17.5%	18.2%	21.2%	16.7%	18.7%	19.9%
Pre-tax margin	16.0%	16.8%	18.9%	18.3%	18.9%	18.6%	19.3%	22.3%	17.6%	19.8%	20.8%
Net margin	12.9%	12.7%	14.7%	14.0%	15.3%	14.1%	15.0%	16.8%	13.7%	15.3%	16.1%
YoY											
Revenue	20.6%	16.2%	24.5%	34.3%	33.5%	25.5%	12.3%	5.4%	24.1%	18.0%	18.0%
Gross profit	30.5%	18.9%	30.3%	35.8%	37.9%	31.7%	13.0%	18.9%	29.1%	24.2%	21.5%
Operating profit	52.9%	16.9%	45.0%	39.9%	51.1%	42.4%	12.8%	30.5%	37.8%	32.2%	25.6%
Pre-tax profit	38.7%	76.5%	29.4%	51.0%	57.0%	38.4%	14.4%	28.2%	46.2%	32.2%	24.2%
Net profit	37.5%	84.5%	29.7%	48.3%	57.7%	39.1%	15.2%	25.9%	46.2%	32.2%	24.2%
QoQ											
Revenue	2.1%	8.0%	13.4%	7.5%	1.4%	1.5%	1.5%	0.9%			
Gross profit	-1.5%	6.5%	19.0%	8.8%	0.0%	1.8%	2.1%	14.4%			
Operating profit	-2.7%	6.1%	33.3%	1.6%	5.1%	0.0%	5.6%	17.6%			
Pre-tax profit	0.4%	13.4%	27.3%	4.2%	4.4%	0.0%	5.3%	16.7%			
Net profit	3.8%	6.3%	30.5%	2.9%	10.4%	-6.2%	8.0%	12.5%			

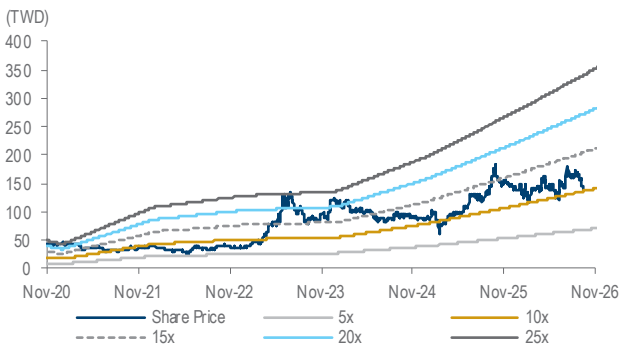
Source: Company, Daiwa forecasts

Sunon: product mix



Source: Company, Daiwa forecasts

Sunon: 1-year forward PER



Source: Bloomberg, Daiwa forecasts

Financial summary

Key assumptions

Year to 31 Dec	2021	2022	2023	2024	2025	2026E	2027E	2028E
Automotive revenue YoY growth (%)	6.1	59.5	9.1	31.1	2.8	20.0	10.0	5.0
IT&OE revenue YoY growth (%)	2.3	(26.8)	(16.8)	(10.7)	13.8	15.0	0.0	0.0
Telecom & server revenue YoY growth (%)	6.5	16.2	21.4	43.5	40.4	30.0	25.0	25.0

Profit and loss (TWDm)

Year to 31 Dec	2021	2022	2023	2024	2025	2026E	2027E	2028E
Telecom & Server revenue	3,838	4,458	5,411	7,765	10,901	14,172	17,714	22,143
Industrial & Medical equipment & Automobile revenue	2,645	3,178	2,686	2,910	3,400	4,167	4,802	5,304
Other Revenue	7,079	6,427	4,817	3,948	4,377	4,848	4,848	4,848
Total Revenue	**13,562**	**14,063**	**12,915**	**14,624**	**18,678**	**23,186**	**27,364**	**32,295**
Other income	0	0	0	0	0	0	0	0
COGS	(11,026)	(10,892)	(9,313)	(10,467)	(12,876)	(15,697)	(18,060)	(20,992)
SG&A	(1,258)	(1,268)	(1,272)	(1,587)	(1,910)	(2,272)	(2,627)	(3,068)
Other op.expenses	(814)	(781)	(799)	(893)	(1,082)	(1,345)	(1,560)	(1,809)
Operating profit	**464**	**1,122**	**1,530**	**1,677**	**2,809**	**3,872**	**5,117**	**6,427**
Net-interest inc./(exp.)	(14)	(30)	49	95	71	97	90	90
Assoc/forex/extraord./others	136	334	172	210	(83)	120	200	200
Pre-tax profit	**585**	**1,426**	**1,752**	**1,982**	**2,797**	**4,089**	**5,407**	**6,716**
Tax	(156)	(337)	(418)	(490)	(631)	(923)	(1,220)	(1,516)
Min. int./pref. div./others	0	0	0	0	0	0	0	0
Net profit (reported)	**429**	**1,089**	**1,334**	**1,492**	**2,165**	**3,166**	**4,187**	**5,200**
Net profit (adjusted)	**429**	**1,089**	**1,334**	**1,492**	**2,165**	**3,166**	**4,187**	**5,200**
EPS (reported)(TWD)	**1.711**	**4.340**	**5.163**	**5.457**	**7.937**	**11.163**	**14.637**	**18.181**
EPS (adjusted)(TWD)	**1.711**	**4.340**	**5.163**	**5.457**	**7.937**	**11.163**	**14.637**	**18.181**
EPS (adjusted fully-diluted)(TWD)	**1.711**	**4.327**	**5.074**	**5.448**	**7.924**	**11.153**	**14.628**	**18.170**
DPS (TWD)	**1.200**	**2.600**	**3.500**	**3.687**	**5.442**	**7.735**	**10.228**	**12.705**
EBIT	**464**	**1,122**	**1,530**	**1,677**	**2,809**	**3,872**	**5,117**	**6,427**
EBITDA	**981**	**1,635**	**2,065**	**2,171**	**3,359**	**4,213**	**5,534**	**6,905**

Cash flow (TWDm)

Year to 31 Dec	2021	2022	2023	2024	2025	2026E	2027E	2028E
Profit before tax	585	1,426	1,752	1,982	2,797	4,089	5,407	6,716
Depreciation and amortisation	517	513	534	495	550	341	417	478
Tax paid	(156)	(337)	(418)	(490)	(631)	(923)	(1,220)	(1,516)
Change in working capital	(874)	292	387	(465)	(254)	(955)	(620)	(1,044)
Other operational CF items	118	264	(81)	160	836	(92)	(90)	(90)
Cash flow from operations	**191**	**2,158**	**2,175**	**1,682**	**3,297**	**2,460**	**3,894**	**4,546**
Capex	(444)	(394)	(298)	(513)	(953)	(1,500)	(1,000)	(1,000)
Net (acquisitions)/disposals	178	0	(14)	(2)	(29)	(29)	(29)	(29)
Other investing CF items	(215)	(44)	(43)	(229)	(132)	0	0	0
Cash flow from investing	**(480)**	**(438)**	**(354)**	**(745)**	**(1,114)**	**(1,529)**	**(1,029)**	**(1,029)**
Change in debt	1,279	(662)	(830)	470	(458)	117	0	0
Net share issues/(repurchases)	0	0	0	0	0	0	0	0
Dividends paid	(602)	(301)	(652)	(957)	(1,012)	(1,499)	(2,194)	(2,901)
Other financing CF items	(91)	(226)	1,274	77	(49)	0	0	0
Cash flow from financing	**585**	**(1,189)**	**(208)**	**(410)**	**(1,519)**	**(1,382)**	**(2,194)**	**(2,901)**
Forex effect/others	0	0	0	0	0	0	0	0
Change in cash	**296**	**531**	**1,612**	**527**	**664**	**(452)**	**670**	**615**
Free cash flow	(253)	1,764	1,877	1,169	2,344	960	2,894	3,546

Source: FactSet, Daiwa forecasts

Financial summary continued …

Balance sheet (TWDm)

Year to 31 Dec	2021	2022	2023	2024	2025	2026E	2027E	2028E
Cash & short-term investment	1,912	2,457	4,031	4,678	5,256	4,854	5,648	6,386
Inventory	2,763	2,863	2,052	2,181	2,424	3,113	3,491	4,110
Accounts receivable	3,546	3,555	3,180	4,247	5,413	6,491	7,652	9,036
Other current assets	169	150	313	332	100	100	100	100
Total current assets	**8,391**	**9,026**	**9,576**	**11,438**	**13,193**	**14,559**	**16,891**	**19,632**
Fixed assets	2,059	2,273	2,171	2,461	3,054	4,213	4,796	5,318
Goodwill & intangibles	24	27	24	53	63	63	63	63
Other non-current assets	1,043	866	843	1,046	1,117	1,117	1,117	1,117
Total assets	**11,517**	**12,192**	**12,615**	**14,998**	**17,427**	**19,951**	**22,867**	**26,129**
Short-term debt	1,985	1,408	640	1,050	586	703	703	703
Accounts payable	3,986	4,530	3,846	4,759	6,174	6,986	7,905	8,865
Other current liabilities	268	385	235	273	429	429	429	429
Total current liabilities	**6,239**	**6,323**	**4,721**	**6,082**	**7,189**	**8,118**	**9,037**	**9,996**
Long-term debt	524	287	213	478	613	613	613	613
Other non-current liabilities	387	380	462	517	738	738	738	738
Total liabilities	**7,151**	**6,989**	**5,396**	**7,078**	**8,539**	**9,468**	**10,387**	**11,347**
Share capital	2,509	2,509	2,734	2,734	2,734	2,837	2,837	2,837
Reserves/R.E./others	1,857	2,693	4,484	5,186	6,153	7,647	9,643	11,946
Shareholders' equity	**4,367**	**5,202**	**7,219**	**7,920**	**8,887**	**10,483**	**12,480**	**14,783**
Minority interests	0	0	0	0	0	0	0	0
Total equity & liabilities	**11,517**	**12,192**	**12,615**	**14,998**	**17,427**	**19,951**	**22,867**	**26,129**
EV	38,332	36,972	34,558	34,585	33,677	34,196	33,403	32,665
Net debt/(cash)	**597**	**(763)**	**(3,178)**	**(3,150)**	**(4,058)**	**(3,539)**	**(4,333)**	**(5,071)**
BVPS (TWD)	**17.402**	**20.733**	**26.399**	**28.859**	**32.265**	**36.958**	**43.996**	**52.116**

Key ratios (%)

Year to 31 Dec	2021	2022	2023	2024	2025	2026E	2027E	2028E
Sales (YoY)	6.1	3.7	(8.2)	13.2	27.7	24.1	18.0	18.0
EBITDA (YoY)	(37.3)	66.6	26.3	5.2	54.7	25.4	31.4	24.8
Operating profit (YoY)	(58.4)	142.0	36.4	9.6	67.5	37.8	32.2	25.6
Net profit (YoY)	(49.6)	153.7	22.5	11.9	45.1	46.2	32.2	24.2
Core EPS (fully-diluted) (YoY)	(49.6)	153.0	17.3	7.4	45.5	40.7	31.2	24.2
Gross-profit margin	18.7	22.5	27.9	28.4	31.1	32.3	34.0	35.0
EBITDA margin	7.2	11.6	16.0	14.8	18.0	18.2	20.2	21.4
Operating-profit margin	3.4	8.0	11.8	11.5	15.0	16.7	18.7	19.9
Net profit margin	3.2	7.7	10.3	10.2	11.6	13.7	15.3	16.1
ROAE	9.6	22.8	21.5	19.7	25.8	32.7	36.5	38.2
ROAA	3.9	9.2	10.8	10.8	13.4	16.9	19.6	21.2
ROCE	7.3	16.3	20.4	19.1	28.8	35.4	40.0	43.0
ROIC	7.4	18.2	27.5	28.7	45.3	50.9	52.5	55.7
Net debt to equity	13.7	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.
Effective tax rate	26.7	23.6	23.8	24.7	22.6	22.6	22.6	22.6
Accounts receivable (days)	92.9	92.1	95.2	92.7	94.4	93.7	94.3	94.3
Current ratio (x)	1.3	1.4	2.0	1.9	1.8	1.8	1.9	2.0
Net interest cover (x)	32.6	37.6	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.
Net dividend payout	70.1	59.9	67.8	67.6	68.6	69.3	69.9	69.9
Free cash flow yield	n.a.	4.7	5.0	3.1	6.2	2.5	7.7	9.4

Source: FactSet, Daiwa forecasts

Company profile

Founded in 1980 and listed on Taiwan's main board in 2000, Sunonwealth Electric Machine Industry (Sunon) is one of the top-4 fan and motor providers in the world, along with Delta Electronics, Nidec and ebm-papst. Its major clients are Apple, Dell, Lenovo, Bosch, Siemens and Tesla. Its applications include IT & OE, telecoms & servers, industrial & medical equipment, home applications, distribution, autos and LED lighting.

ESG analysis

ESG risks

Risks		Management	Analyst comments
G	Executive/board quality	2	The CEO and chairperson of Sunonwealth are the same individual; Sunonwealth's board is led by the Hung family. We see no issues with the company's board. We view the chairman leading the R&D team as a sign of the company's continuing focus on developing new products to achieve a long-term competitive advantage.
	Capital management	2	Sunonwealth's dividend payout ratio was 83-88% in 2015-18, but it decreased to 60-69% during 2022-25 due to its capacity expansion plans.
	Related party & transaction	2	Revenue generated from related-party transactions was less than 1% of total revenue during 2023-25.
E	Materials sourcing & efficiency	1	Sunonwealth's sourcing of raw materials has been relatively stable (including IC, copper, plastic, aluminium and steel), and we also note that Sunonwealth abides by RoHS regulations and relevant international standards (ISO14001, IECQ QC080000, ISO9001) for its material sourcing activities. With the ongoing ESG trend, its clients may move towards a more energy-efficient production cycle, which will likely benefit Sunonwealth's energy-efficient products.
E	Product design & lifecycle management	2	Sunonwealth has improved its product designs to stronger but lighter form factors. Besides, we have observed more green projects utilising Sunonwealth's capabilities. Thus, we believe Sunonwealth has strong product design and lifecycle management capabilities to address the ongoing changing business environment.
S	Product quality & safety	2	Sunonwealth has its own Quality Strategy Centre to evaluate quality issues. With international standards in place, we believe Sunonwealth has taken relevant measures to address product quality and safety issues.

Note: Management score represents a company's ability to manage/benefit from certain ESG topics. The scores range from 1 to 3, with 1 being the strongest.

Update Date: 8 May 2026

Source: Daiwa, Company

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Buy*	73.96%
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Sell***	6.46%

Source: Daiwa

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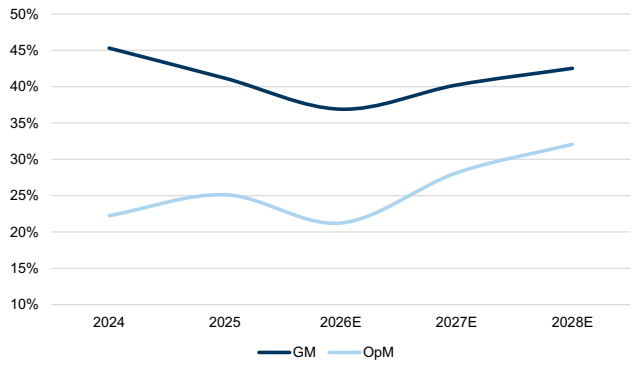
Grand Process Technology Corp. (3131.TWO): SoIC / PLP to support future GM enhancement; 3Q26 GM miss

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GPTC reported its 3Q26 preliminary results. Revenues was pre-announced, while GM came in at 36.6% (down 2.3ppt QoQ; down 4.2ppt YoY), below GSe/cons. of 39.7%/40.6%, which we attribute to an unfavorable product mix. Opex ratio further improved to 14.6% (vs. 17.7% in 2Q26), better than our / Bloomberg consensus estimates of 15.1% / 16.3%, leading OP income to +34% QoQ, or +54% YoY. Overall, the miss on GM leads EPS miss our / Bloomberg consensus by 9% / 14%. Despite 3Q26 GM miss, we believe GPTC's multi-year growth outlook remains intact, with continuous capacity increase to better capture the demand from CoWoS capacity expansion, along with product mix upgrade toward SoIC and PLP, carrying higher content value. Maintain Buy.

Exhibit 1: GPTC's margin trend



Source: Company data, Goldman Sachs Global Investment Research

Earnings revision: We factor in 3Q26 results and cut EPS by 4% / 2% / 0% in 2026-28E, mainly on lower GM, as we slowdown the pace of product mix upgrade toward SoIC and PLP. Despite the cut, we continue to expect GM sequential enhancement, with 4Q26 GM up to 37.7% (vs. 36.6% in 3Q26) and up to 40.2% / 42.5% in 2027-28E, driven by rising SoIC and PLP contribution.

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Exhibit 2: Earnings revisions

	2026E			2027E			2028E		
(NT$mn)	Old	New	Diff (%)	Old	New	Diff (%)	Old	New	Diff (%)
Revenue	7,992	8,236	3.0%	12,031	13,013	8.2%	16,187	17,768	9.8%
Gross profit	3,102	3,039	-2.0%	5,280	5,234	-0.9%	7,513	7,555	0.6%
Op. income	1,816	1,749	-3.7%	3,723	3,661	-1.7%	5,679	5,698	0.3%
Net income	1,803	1,720	-4.6%	2,977	2,922	-1.8%	4,507	4,517	0.2%
EPS (NT$)	62.06	59.32	-4.4%	101.89	99.87	-2.0%	154.28	154.37	0.1%
GM	38.8%	36.9%	-1.9%	43.9%	40.2%	-3.7%	46.4%	42.5%	-3.9%
OpM	22.7%	21.2%	-1.5%	30.9%	28.1%	-2.8%	35.1%	32.1%	-3.0%
NM	22.6%	20.9%	-1.7%	24.7%	22.5%	-2.3%	27.8%	25.4%	-2.4%

Source: Goldman Sachs Global Investment Research

Exhibit 3: 3Q26 results summary

	3Q26	2Q26	3Q25	%QoQ	%YoY	GS prev.	%Diff	Consensus	%Diff
(NT$mn)									
Revenue	2,221	1,727	1,494	28.7%	48.7%	2,132	4.2%	2,256	-1.5%
Gross profit	813	671	608	21.1%	33.6%	847	-4.0%	915	-11.2%
Op. income	488	365	317	33.6%	53.7%	524	-6.9%	547	-10.9%
Net income	387	324	304	19.5%	27.3%	431	-10.1%	458	-15.5%
EPS (NT$)	13.36	11.18	10.40	19.5%	28.5%	14.74	-9.4%	15.49	-13.8%
GM	36.6%	38.9%	40.7%	-2.3%	-4.2%	39.7%	-3.1%	40.6%	-4.0%
OpM	22.0%	21.1%	21.2%	0.8%	0.7%	24.6%	-2.6%	24.3%	-2.3%
NM	17.4%	18.8%	20.3%	-1.3%	-2.9%	20.2%	-2.8%	20.3%	-2.9%

Source: Company data, Goldman Sachs Global Investment Research, Bloomberg

Exhibit 4: GPTC's P&L overview

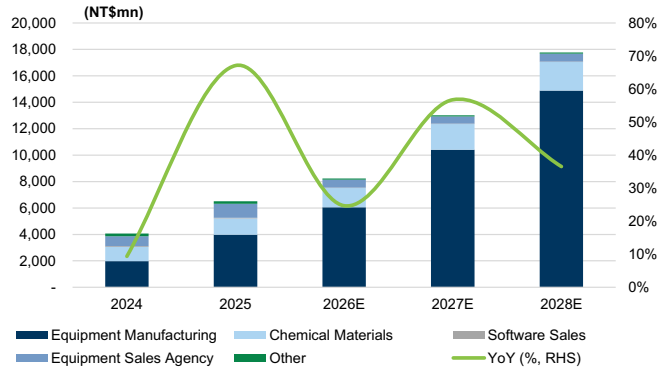
	1Q26	2Q26	3Q26	4Q26E	1Q27E	2Q27E	3Q27E	4Q27E	2026E	2027E	2028E
P&L											
Revenue	1,596	1,727	2,221	2,692	2,857	3,161	3,459	3,536	8,236	13,013	17,768
Gross profit	539	671	813	1,016	1,102	1,234	1,413	1,485	3,039	5,234	7,555
Operating profit	210	365	488	686	732	839	1,003	1,088	1,749	3,661	5,698
Net income	463	324	387	546	584	667	800	871	1,720	2,922	4,517
EPS (NT$)	16.11	11.18	13.36	18.67	19.95	22.80	27.33	29.78	59.32	99.87	154.37
Margins (%)											
GM	33.8%	38.9%	36.6%	37.7%	38.6%	39.0%	40.9%	42.0%	36.9%	40.2%	42.5%
OpM	13.2%	21.1%	22.0%	25.5%	25.6%	26.5%	29.0%	30.8%	21.2%	28.1%	32.1%
NM	29.0%	18.8%	17.4%	20.3%	20.4%	21.1%	23.1%	24.6%	20.9%	22.5%	25.4%
YoY (%)											
Revenue	28.7%	5.9%	48.7%	25.2%	79.0%	83.1%	55.7%	31.4%	26.4%	58.0%	36.5%
Gross profit	6.5%	1.4%	33.6%	12.2%	104.3%	83.9%	73.9%	46.2%	13.3%	72.2%	44.4%
Operating profit	-24.2%	-10.3%	53.7%	7.9%	248.8%	129.8%	105.6%	58.6%	6.8%	109.4%	55.6%
Net income	81.3%	57.2%	27.3%	-2.8%	26.1%	106.1%	106.6%	59.5%	29.6%	69.9%	54.6%
EPS	84.3%	58.6%	28.5%	-3.1%	23.8%	103.9%	104.6%	59.5%	30.5%	68.3%	54.6%
QoQ (%)											
Revenue	-25.7%	8.2%	28.7%	21.2%	6.1%	10.7%	9.4%	2.2%			
Gross profit	-40.4%	24.4%	21.1%	25.0%	8.4%	12.0%	14.6%	5.1%			
Operating profit	-67.0%	73.8%	33.6%	40.6%	6.8%	14.5%	19.6%	8.5%			
Net income	-17.7%	-30.0%	19.5%	41.2%	6.9%	14.3%	19.9%	9.0%			
EPS	-16.4%	-30.6%	19.5%	39.8%	6.9%	14.3%	19.9%	9.0%			

Source: Company data, Goldman Sachs Global Investment Research

Valuation: Alongside our downward earnings revisions, our new 12-month TP is at NT$4,163 (from NT$4,200 previously). Our 12-month TP is based on an unchanged target P/E multiple of 35x applied to our FY2H27E-1H28E EPS. Our 35x target P/E continues to be based on avg. fwd P/E during the CoWoS ramp-up in mid-2024 to 2025. Our new TP implies 41.7x 2027E PE on the back of +62% NI YoY in 2027-28E on avg. The implied 2027E PE multiple of 41.7x is close to its high-end PE of 45x, reflecting our

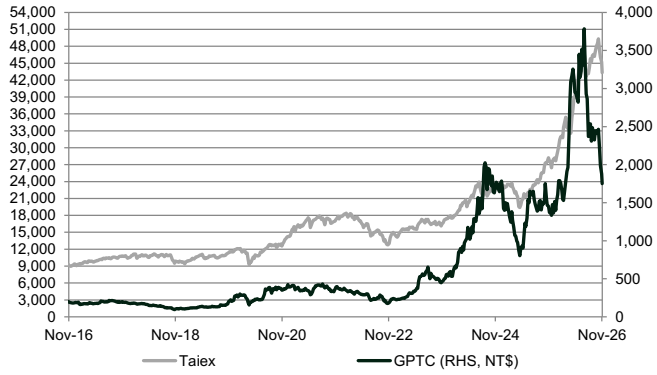
positive view on GPTC's growth ahead on CoWoS capacity expansion and product mix upgrade. Maintain Buy.

Exhibit 5: GPTC's revenue growth outlook



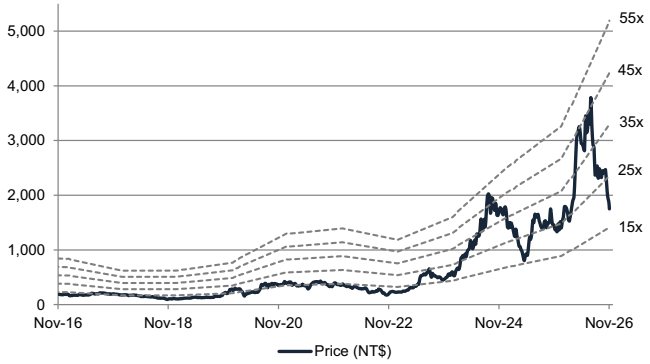
Source: Company data, Goldman Sachs Global Investment Research

Exhibit 6: Taiex vs. GPTC



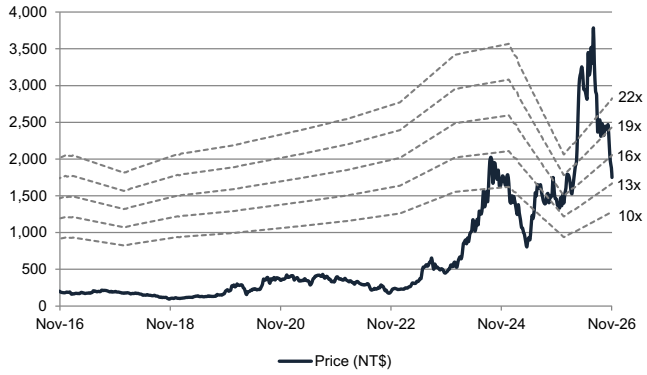
Source: Bloomberg

Exhibit 7: Forward P/E



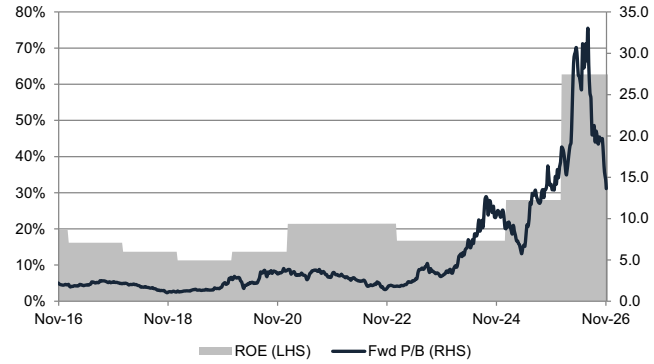
Source: Bloomberg

Exhibit 8: Forward P/B



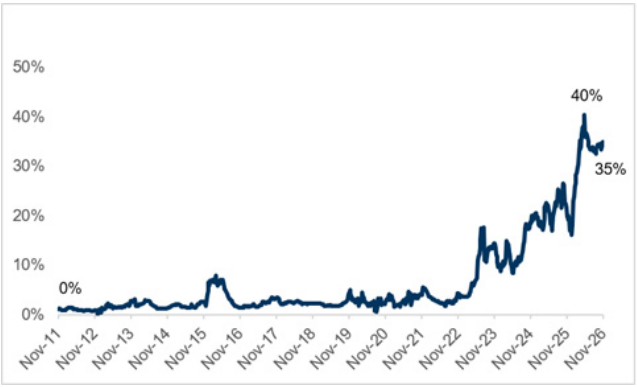
Source: Bloomberg

Exhibit 9: P/B vs. ROE



Source: Bloomberg

Exhibit 10:
GPTC QFII holdings



Price Target Risks and Methodology - GPTC (3131.TWO)

Valuation: We are Buy rated on GPTC. Our 12m TP of NT$4,163 is based on a target P/E multiple of 35x (based on avg. fwd P/E during the CoWoS ramp-up in mid-2024 to 2025)

applied to our FY2H27E-1H28E EPS.

Key risks to our views: 1) softer AI/HPC demand, 2) slower adoption of new advanced packaging technologies, and 3) intensifying competition.

3131.TWO	12m Price Target: **NT$4,163.00**	Price: **NT$1,750.00**	Upside: **137.9%**

Buy

Market cap: NT$50.9bn / $1.6bn
Enterprise value: NT$52.9bn / $1.6bn
3m ADTV: NT$1.1bn / $35.3mn
Taiwan
Greater China Technology
M&A Rank: 3
Leases incl. in net debt & EV?: Yes

GS Forecast

	12/25	12/26E	12/27E	12/28E
Revenue (NT$ mn) New	**6,514.5**	**8,236.1**	**13,012.7**	**17,768.5**
Revenue (NT$ mn) Old	6,514.5	7,992.4	12,031.2	16,187.2
EBITDA (NT$ mn)	1,766.2	1,950.9	3,930.3	5,974.0
EPS (NT$) New	**45.45**	**59.31**	**99.87**	**154.37**
EPS (NT$) Old	45.45	62.06	101.89	154.28
P/E (X)	29.7	29.5	17.5	11.3
P/B (X)	8.3	18.5	13.0	9.3
Dividend yield (%)	3.4	3.4	5.8	9.0
CROCI (%)	49.1	10.7	52.1	74.5

	9/26	12/26E	3/27E	6/27E
EPS (NT$)	13.35	18.67	19.95	22.80

Source: Company data, Goldman Sachs Research estimates, FactSet. Price as of 3 Nov 2026 close.

Disclosure Appendix

Reg AC

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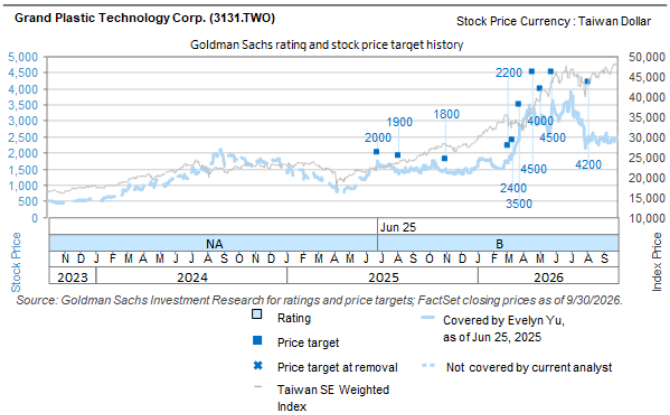
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Target price history table(s)

Grand Plastic Technology Corp. (3131.TWO)

Date of report	Target price (NT$)	Closing price (NT$)
04-Aug-26	4,200.00	2,540.00
26-May-26	4,500.00	3,115.00
04-May-26	4,000.00	3,065.00
20-Apr-26	4,500.00	3,210.00
24-Mar-26	3,500.00	2,420.00
12-Mar-26	2,400.00	1,940.00
03-Mar-26	2,200.00	1,690.00
04-Nov-25	1,800.00	1,480.00
05-Aug-25	1,900.00	1,390.00
25-Jun-25	2,000.00	1,750.00

Price targets shown in table(s) are unadjusted for corporate actions.

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Morgan Stanley | RESEARCH

UPDATE

November 3, 2026 03:30 PM GMT

AirTAC International | Asia Pacific

October Sales -6% MoM/+32% YoY

Here we focus on AirTAC's monthly sales, which we believe could be a catalyst for its share price.

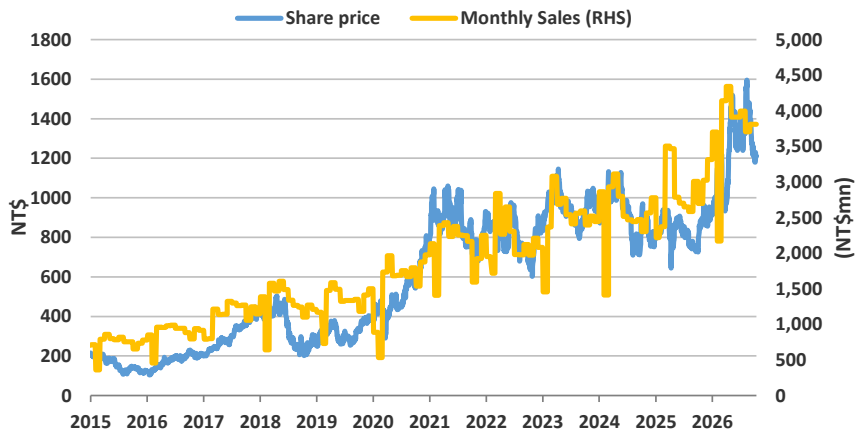
What's new:

- October sales came in at NT$3,565mn (-6% MoM/+32% YoY), mainly on 15% fewer working days, as daily shipments were up 7% MoM.
- By segment, shipments of machine tools (+31% YoY), electronics (+30% YoY), batteries (+27% YoY), machinery (+25% YoY) and textiles (+25% YoY) outperformed during the month.
- QTD revenue reached 33% of our estimate at NT$10,918mn (-5% QoQ/+21% YoY) and 32% of consensus at NT$11,228mn (-2% QoQ/+24% YoY).

Outlook:

- We think 4Q26 revenue is tracking in line with management guidance of roughly flat QoQ – better than the typical seasonal decline.
- Management remains positive on the growth outlook, driven by share gains alongside cyclical upturn tailwinds and government policy support.
- We remain OW, as the current valuation of 15x 2027e P/E is undemanding vs. its mid-cycle average of 25x.

Exhibit 1: AirTAC monthly sales vs. share price since 2015



Source: Company data, TEJ, Morgan Stanley Research. Note: Past performance is no guarantee of future results. Results shown do not include transaction costs.

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Morgan Stanley appreciates your support in the 2027 Extel Asia Research Survey. Voting opens 10 November 2026.

AirTAC International (1590.TW, 1590 TT)

Greater China Technology Hardware | Taiwan

Stock Rating	**Overweight**
Industry View	**In-Line**
Price target	NT$2,000.00
Up/downside to price target (%)	90
Shr price, close (Nov 3, 2026)	NT$1,050.00
52-Week Range	NT$1,615.00-866.00
Sh out, dil, curr (mn)	200
Mkt cap, curr (mn)	US$6,446
EV, curr (mn)	US$6,299
Avg daily trading value (mn)	US$35

Fiscal Year Ending	12/25	12/26e	12/27e	12/28e
EPS (NT$)**	41.97	60.77	68.77	77.77
EPS (NT$)§	41.43	58.30	68.04	74.61
Revenue, net (NT$ mn)	34,330	45,007	50,917	57,428
EBITDA (NT$ mn)	12,866	17,543	19,669	22,130
ModelWare net inc (NT $ mn)	8,400	12,165	13,765	15,567
P/E	22.2	17.3	15.3	13.5
P/BV	3.5	3.6	3.2	2.8
RNOA (%)	17.7	25.1	25.9	27.3
ROE (%)	17.5	23.1	23.4	23.4
EV/EBITDA	14.1	11.6	10.2	8.9
Div yld (%)	2.2	2.7	2.9	3.3
FCF yld ratio (%)	3.4	3.5	4.6	5.1
Leverage (EOP) (%)	(9.1)	(11.0)	(15.2)	(18.7)

Unless otherwise noted, all metrics are based on Morgan Stanley ModelWare framework
** = Based on consensus methodology
§ = Consensus data is provided by Refinitiv Estimates
e = Morgan Stanley Research estimates

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AlphaSignals Catalyst Event Reaction

Company / Catalyst	Date	Impact to thesis	Catalyst versus expectation
AirTAC International 1590.TW			
October 2026 sales	03 Nov 2026	Unchanged	In-line

Source: Company data, Morgan Stanley Research

Valuation Methodology and Risks

AirTAC International (1590.TW)

Base case, 29x 2027e P/E. We believe this methodology better captures earnings growth momentum for industrial automation component plays (market sentiment moves along with business cycles). As the industry enters an up-cycle, we think applying a near-peak cycle valuation of 29x P/E is reasonable given the stronger business outlook.

Risks to Upside

- Stronger macroeconomic climate in China
- Stronger-than-expected demand from industrial automation

Risks to Downside

- Sharper economic downturn in China
- Miniature linear guideway business development taking more time
- Larger-than-expected investment in new products but weaker-than-expected demand

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(as of October 31, 2026)
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Stock Rating Category	Count	% of Total	Count	% of Total IBC	% of Rating Category	Count	% of Total Other MISC
Overweight/Buy	1575	43%	460	49%	29%	742	44%
Equal-weight/Hold	1537	42%	393	42%	26%	720	43%
Not-Rated/Hold	2	0%	1	0%	50%	1	0%
Underweight/Sell	570	15%	92	10%	16%	218	13%
Total	3,684		946			1681	

Data include common stock and ADRs currently assigned ratings. Investment Banking Clients are companies from whom Morgan Stanley received investment banking compensation in the last 12 months. Due to rounding off of decimals, the percentages provided in the "% of total" column may not add up to exactly 100 percent.

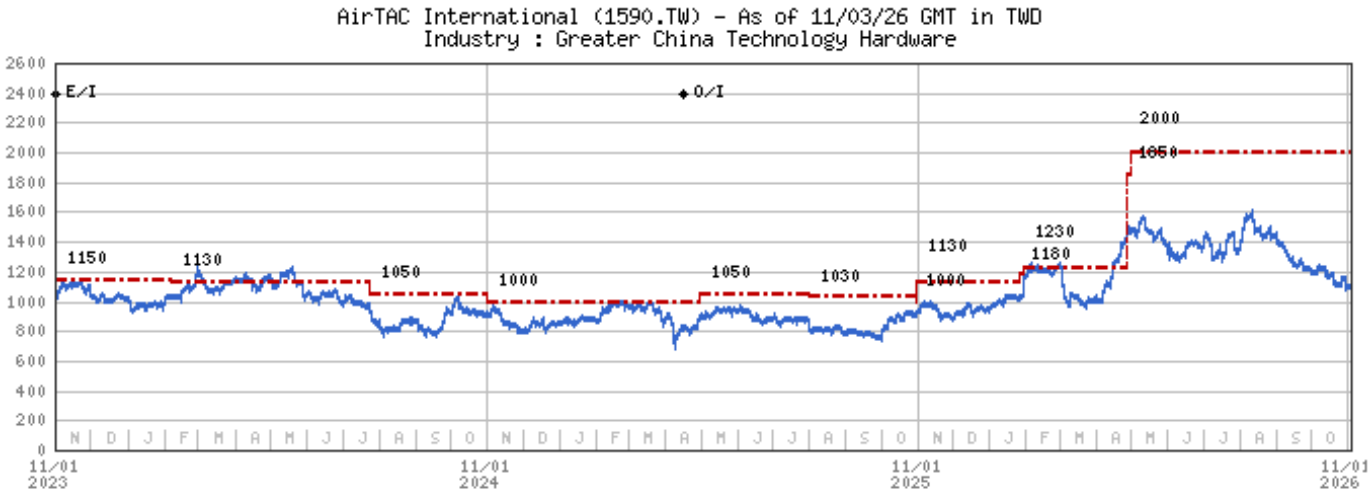
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Stock Price, Price Target and Rating History (See Rating Definitions)



Stock Rating History: 11/1/21 : O/I; 11/8/21 : E/I; 1/11/22 : O/I; 8/4/22 : E/I; 4/16/25 : O/I

Price Target History: 10/4/21 : 1300; 11/8/21 : 870; 1/11/22 : 1250; 3/24/22 : 1150; 8/4/22 : 850; 10/27/22 : 600; 1/16/23 : 1050; 2/8/23 : 1100; 4/26/23 : 1150; 7/28/23 : 1050; 10/26/23 : 1150; 2/7/24 : 1130; 7/25/24 : 1050; 11/1/24 : 1000; 4/30/25 : 1050; 8/1/25 : 1030; 10/30/25 : 1000; 10/31/25 : 1130; 1/27/26 : 1180; 1/30/26 : 1230; 4/28/26 : 1850; 4/30/26 : 2000

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INDUSTRY COVERAGE: Greater China Technology Hardware

COMPANY (TICKER)	RATING (AS OF)	PRICE* (11/03/2026)
Andy Meng, CFA		
AAC Technologies Holdings (2018.HK)	O (01/29/2024)	HK$35.32
Accelink Technologies Co. Ltd. (002281.SZ)	U (05/12/2022)	Rmb92.20
BYD Electronics (0285.HK)	O (04/28/2023)	HK$20.54
China TransInfo Technology Co Ltd (002373.SZ)	E (07/18/2023)	Rmb7.88
Dahua Technology Co. Ltd. (002236.SZ)	E (12/12/2024)	Rmb14.49
Eoptolink Technology Inc Ltd (300502.SZ)	O (02/27/2026)	Rmb173.36
Genius Electronic Optical Co. Ltd. (3406.TW)	E (10/13/2026)	NT$936.00
GoerTek Inc (002241.SZ)	E (08/14/2026)	Rmb22.53
Gosuncn Technology Group Co Ltd (300098.SZ)	U (11/07/2022)	Rmb3.97
HIKVision Digital Technology (002415.SZ)	E (12/12/2024)	Rmb35.30
Largan Precision (3008.TW)	O (10/13/2026)	NT$4,945.00
LianChuang Electronic Technology Co Ltd (002036.SZ)	U (06/12/2024)	Rmb5.04
Lingyi Itech Guangdong Co (002600.SZ)	U (04/23/2025)	Rmb11.28
Lingyi Itech Guangdong Co (1688.HK)	O (08/14/2026)	HK$5.29
Luxshare Precision Industry Co., Ltd. (2475.HK)	O (08/14/2026)	HK$46.50
Luxshare Precision Industry Co., Ltd. (002475.SZ)	O (10/24/2016)	Rmb45.45
OFILM Group Co Ltd (002456.SZ)	U (06/12/2024)	Rmb5.46
Q Technology (Group) Company Ltd (1478.HK)	U (03/23/2026)	HK$4.26
Quectel Wireless Solutions Co Ltd (603236.SS)	E (10/09/2024)	Rmb67.70
Shanghai Conant Optical Co Ltd (2276.HK)	O (04/10/2026)	HK$32.80
Shenzhen Transsion Holdings Co Ltd (688036.SS)	E (03/23/2026)	Rmb59.79
Sunny Optical (2382.HK)	E (03/23/2026)	HK$62.05
Suzhou TFC Optical Communication Co Ltd. (300394.SZ)	E (11/06/2025)	Rmb123.61
Wingtech Technology Co Ltd (600745.SS)	U (05/18/2026)	Rmb12.51

Xiaomi Corp (1810.HK)	O (04/14/2021)	HK$28.60
Yangtze Optical Fibre and Cable JSC Ltd (601869.SS)	U (10/13/2021)	Rmb252.37
Yangtze Optical Fibre and Cable JSC Ltd (6869.HK)	O (07/15/2026)	HK$100.50
Yongxin Optics Co Ltd (603297.SS)	E (11/15/2022)	Rmb90.80
Zhejiang Crystal-Optech Co Ltd (002273.SZ)	O (11/15/2022)	Rmb21.75
Zhongji Innolight Co Ltd (300308.SZ)	O (09/07/2026)	Rmb480.20
Zhongji Innolight Co Ltd (3308.HK)	O (09/07/2026)	HK$620.00
ZTE Corporation (0763.HK)	O (06/04/2026)	HK$19.41
ZTE Corporation (000063.SZ)	E (06/04/2026)	Rmb27.65
Derrick Yang		
Accton Technology Corporation (2345.TW)	O (06/06/2024)	NT$1,495.00
Advantech (2395.TW)	O (01/20/2021)	NT$620.00
AirTAC International (1590.TW)	O (04/16/2025)	NT$1,050.00
Asia Vital Components Co. Ltd. (3017.TW)	O (07/30/2024)	NT$2,935.00
AU Optronics (2409.TW)	E (02/10/2026)	NT$28.80
Auras Technology Co Ltd (3324.TWO)	E (05/04/2023)	NT$1,320.00
Bizlink (3665.TW)	O (03/10/2025)	NT$1,575.00
BOE Technology (000725.SZ)	O (09/06/2019)	Rmb4.40
Chenbro (8210.TW)	O (07/23/2025)	NT$647.00
Chroma Ate Inc. (2360.TW)	O (10/05/2021)	NT$1,545.00
Delta Electronics Inc. (2308.TW)	O (07/13/2017)	NT$1,270.00
E Ink Holdings Inc. (8069.TWO)	E (08/10/2026)	NT$143.50
Ennostar Inc (3714.TW)	U (09/23/2022)	NT$57.30
Fositek Corp (6805.TW)	O (06/25/2025)	NT$2,160.00
Hiwin Technologies Corp. (2049.TW)	O (03/30/2026)	NT$297.50
Innolux (3481.TW)	E (04/07/2025)	NT$41.20
King Slide Works Co. Ltd. (2059.TW)	O (11/08/2023)	NT$9,240.00
Lens Technology (300433.SZ)	E (07/22/2020)	Rmb25.30
Lite-On Technology (2301.TW)	E (01/15/2025)	NT$228.00
TCL Corp. (000100.SZ)	E (04/07/2025)	Rmb4.55
Tianma Microelectronics (000050.SZ)	U (01/24/2018)	Rmb5.60
Howard Kao		
Acer Inc. (2353.TW)	U (04/23/2025)	NT$29.70
Asustek Computer Inc. (2357.TW)	U (11/16/2025)	NT$889.00
Catcher Technology (2474.TW)	U (11/17/2025)	NT$187.50
Compal Electronics (2324.TW)	U (04/23/2025)	NT$33.55
Elite Material Co. (2383.TW)	O (09/14/2026)	NT$4,395.00
FIT Hon Teng Ltd (6088.HK)	O (11/03/2025)	HK$3.15
Foxconn Industrial Internet Co. Ltd. (601138.SS)	O (07/10/2019)	Rmb41.95
Giga-Byte Technology Co. Ltd. (2376.TW)	E (11/16/2025)	NT$327.00
Gold Circuit Electronics Ltd. (2368.TW)	O (10/06/2022)	NT$970.00
Hon Hai Precision (2317.TW)	O (03/15/2024)	NT$245.50
Inspur Electronic Information (000977.SZ)	E (08/28/2023)	Rmb51.95
Kingboard Laminates Holdings Ltd. (1888.HK)	O (09/14/2026)	HK$32.58
LandMark Optoelectronics Corporation (3081.TWO)	E (03/26/2026)	NT$2,175.00
Lenovo (0992.HK)	O (07/10/2026)	HK$19.66
Lotes Co. Ltd. (3533.TW)	O (10/27/2026)	NT$1,735.00
Nan Ya PCB (8046.TW)	O (02/23/2026)	NT$1,070.00
Pegatron Corporation (4938.TW)	E (03/25/2026)	NT$101.50
Quanta Computer Inc. (2382.TW)	O (05/01/2023)	NT$311.50
Shengyi Technology Co Ltd. (600183.SS)	E (05/26/2022)	Rmb73.87
Shennan Circuits Co Ltd (002916.SZ)	E (08/24/2023)	Rmb205.09
Unimicron (3037.TW)	O (02/23/2026)	NT$902.00
Visual Photonics Epitaxy Co Ltd (2455.TW)	E (09/11/2023)	NT$405.00
Wistron Corporation (3231.TW)	O (07/12/2023)	NT$176.50

Wiwynn Corp (6669.TW)	O (11/10/2025)	NT$1,770.00
Yageo Corp. (2327.TW)	O (10/28/2025)	NT$453.00
Zhen Ding (4958.TW)	++	NT$443.00
Irene Yen		
Co-Tech Development Corp. (8358.TWO)	O (09/14/2026)	NT$376.00
Taiwan Union Technology Corporation (6274.TWO)	O (09/14/2026)	NT$1,090.00

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* Historical prices are not split adjusted.

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November 3, 2026 05:11 PM GMT

GlobalWafers Co Ltd | Asia Pacific

Some Customers Push Back on 2027 Price Hikes; Stay EW

WHAT'S CHANGED

	From	To
GlobalWafers Co Ltd (6488.TWO)		
Price Target	NT$900.00	**NT$770.00**

AlphaSignals Earnings Reaction

Unchanged
Impact to our thesis

Modest shortfall
Financial results versus consensus

Modest revision lower
Direction of next 12-month consensus EPS

Source: Company data, Morgan Stanley Research

We believe 2027 price increases could be more modest than the bull camp expects. Stay EW.

Key Takeaways

- 3Q26 results missed both MSe and consensus given the July fire at the Novara, Italy facility, which disrupted 8-inch wafer production and related SOI output.
- GWC announced a proposed US$500mn, 10-year convertible bond investment from Micron, supporting long-term wafer supply and strategic US capacity development.
- Pricing should improve from 2027 as new contracts and spot business replace older LTAs, although negotiations will vary by customer.

2027 price hike should be case by case amid push back from some customers: Management said 2027 pricing negotiations could be mixed across customers even though capacity is nearly fully loaded. Some need more capacity in 4Q26 and are willing to pay the new post-hike wafer price. However, the company still faces push back from some customers, likely tied to their inventories. Our recent checks suggest Tier 1 foundry LTA wafer pricing into 2027 could be less than 10%, below the buyside bogey of a 25-30% blended hike. However, for some tier 2 customers, the price hike could indeed be around 25-30%. We believe the average like-to-like LTA wafer price could only increase by 15-20% in 2027. Stay EW.

SOI demand exceeds expectation: The company said 12-inch SOI demand already exceeds its current expansion plan. The priority is to debottleneck and ramp existing Missouri capacity. More than half of the newly installed tools have qualified for volume production, and RF SOI and silicon-photonics products have entered volume production.

4Q26 could be relatively muted: We expect 4Q26 to be relatively muted since wafer pricing remains tied to older agreements, existing capacity is fully loaded, and new capacity depreciation would continue to weigh on margin.

With this report, Lucas Wang assumes coverage of GlobalWafers.

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GlobalWafers Co Ltd (6488.TWO, 6488 TT)

Greater China Technology Semiconductors | Taiwan

Stock Rating	**Equal-weight**
Industry View	**Attractive**
Price target	NT$770.00
Up/downside to price target (%)	12
Shr price, close (Nov 3, 2026)	NT$685.00
52-Week Range	NT$1,600.00-333.00
Sh out, dil, curr (mn)	437
Mkt cap, curr (mn)	NT$299,516
EV, curr (mn)	NT$339,472
Avg daily trading value (mn)	NT$5,201

Fiscal Year Ending	12/25	12/26e	12/27e	12/28e
EPS (NT$)**	15.28	20.44	30.33	43.79
Prior EPS (NT$)**	-	23.68	35.56	51.09
EPS (NT$)§	14.68	20.70	32.27	51.32
Revenue, net (NT$ mn)	60,598	59,993	81,469	106,104
EBITDA (NT$ mn)	17,585	16,217	28,280	39,991
ModelWare net inc (NT $ mn)	7,312	9,775	14,507	20,946
P/E	26.6	33.5	22.6	15.6
P/BV	2.1	3.4	3.1	2.8
RNOA (%)	6.2	3.6	9.0	13.0
ROE (%)	8.0	10.5	15.0	19.9

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EV/EBITDA	13.3	20.8	11.8	8.1
Div yld (%)	2.7	1.6	1.8	2.7
FCF yld ratio (%)**	(11.1)	0.9	2.9	5.3
Leverage (EOP) (%)	42.8	38.5	31.9	21.1

Unless otherwise noted, all metrics are based on Morgan Stanley ModelWare framework
§ = Consensus data is provided by Refinitiv Estimates
** = Based on consensus methodology
e = Morgan Stanley Research estimates

Still Better Supply/Demand Dynamics into 2027-28e

3Q26 earnings and 4Q26 outlook review: 3Q26 results missed both our and Visible Alpha (VA) consensus estimates given the July fire at the Novara, Italy facility, which disrupted 8-inch wafer production and related SOI output. We expect 4Q26 to be relatively muted since wafer pricing remains tied to older agreements, existing capacity is fully loaded and new capacity depreciation would continue to weigh on margin. We had expected 4Q26 gross margin to be around 25-26%, but we have now reduced that to 22-23%.

Exhibit 1: GWC: 3Q26 earnings review

(NT$ mn)	3Q26				
	Actual	Q/Q	Y/Y	MS Est.	Consensus
Financials					
Revenue	14,871	-2.3%	2.6%	16,172	15,957
Opex	(1,516)	-11.7%	5.8%	(1,415)	(1,573)
EPS (NT$)	3.13	-60.4%	-24.0%	5.33	4.50
Ratios					
GM (%)	20.0%	-67bps	160bps	23.2%	21.5%
Opex (%)	10.2%	-110bps	31bps	8.8%	9.9%
OPM (%)	9.8%	43bps	129bps	14.5%	11.7%

Source: Company Data, Visible Alpha, Morgan Stanley Research estimates

Exhibit 2: GWC: 4Q26 outlook review

(NT$ mn)	4Q26				
	Guidance	MS Est.	Q/Q	Y/Y	Consensus
Financials					
Revenue	Should see sequential growth	17,399	17.0%	20.0%	17,179
Opex		(1,453)	-4.1%	7.9%	(1,570)
EPS (NT$)		6.49	107.3%	40.7%	5.45
Ratios					
GM (%)		25.7%	574bps	2bps	22.9%
Opex (%)		8.4%	-184bps	-94bps	9.1%
OPM (%)		17.4%	758bps	96bps	13.7%

Source: Company Data, Visible Alpha, Morgan Stanley Research estimates

Micron/GWC deal marks a new milestone for GWC

Micron Technology and GlobalWafers announced a deeper strategic partnership on July 9, 2026, centered on a 10-year supply agreement and US$500mn of strategic financing from Micron to support GlobalWafers' new 12-inch silicon wafer facility in Sherman, Texas. On its latest earnings call, GWC board proposed executing that financing as up to US$500 million of 10-year privately placed convertible bonds, with Micron as the sole subscriber, carrying a 0.5% coupon. The agreement secures significant raw silicon wafer capacity for Micron's long-term manufacturing plans, with the financing linked to the buildout of GlobalWafers America's (GWA) Sherman facility.

GlobalWafers Chairwoman Doris Hsu described the agreement as the largest and longest contract in the company's history. The two companies will also collaborate on next-generation wafer technologies and process innovation. The Sherman plant is notable as the only US-based source of advanced 12-inch wafers.

The agreement forms part of Micron's broader US$3bn commitment to strengthen the US semiconductor supply chain and accompanies its target of manufacturing 40% of its DRAM output domestically by the mid-2030s. We believe GWC is well positioned to

support ongoing foundry and memory capacity expansion in the US, not only for Micron but also for TSMC and Samsung, which are already GWC's two largest customers. We currently assume Micron/GWC LTA pricing could be US$70-80 on average for the polished wafer (10-20% above current LTA pricing after discounts), reflecting the higher US cost base. This would be broadly in line with, or slightly above, LTAs signed in 2021-22.

Current inventory levels remain higher than during the 2021-22 upcycle when existing LTAs were signed

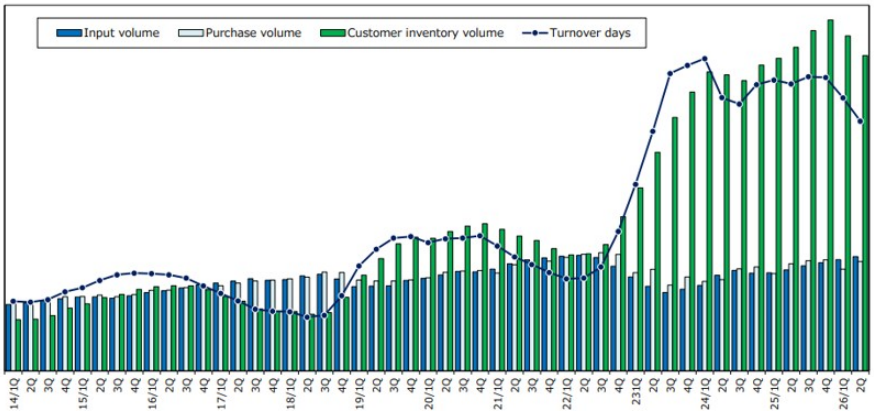
Notably, customer inventories of 12-inch wafers remain well above levels seen during the previous industry upcycle. According to SUMCO's inventory trend data (see Exhibit 3), inventory volumes and turnover days were near the lowest levels of the 2014-26 period during 2021-22, reflecting a lean and highly utilized supply chain. By contrast, the current cycle presents the opposite picture: shipment volumes are approaching record highs, but customer inventories are also near record levels, with inventory days and absolute inventory exceeding those seen even at the peak of the 2021-22 upcycle.

This backdrop differs meaningfully from the 2021-22 environment and, in our view, supports a more moderate and delayed pricing recovery in 2027 rather than a repeat of the broad-based increases seen during the prior cycle. In 2021-22, wafer makers held significant pricing leverage as customer inventories sat near cycle lows despite record shipment volumes. Fabs consumed nearly all purchased wafers with minimal inventory buffers, creating a tight supply environment that enabled wafer manufacturers to implement meaningful price increases across 12-inch wafers.

While shipment volumes currently remain elevated, customers also hold substantial inventory. This provides a buffer against demand growth and moderate supply disruptions, reducing the urgency to secure incremental wafer supply. Historically, this dynamic weakens suppliers' pricing power. Until inventories normalize meaningfully, wafer makers are likely to have less pricing leverage than they did entering the 2021-22 upcycle. Our view is that 2027 LTA negotiations will focus primarily on removing current discounts rather than driving nominal price increases. We broadly expect 2027 industry LTA pricing increases of 15-20% in average, with Tier 2 customers' wafer price to be raised 25-30% but Tier 1 customers would only see 5-15%.

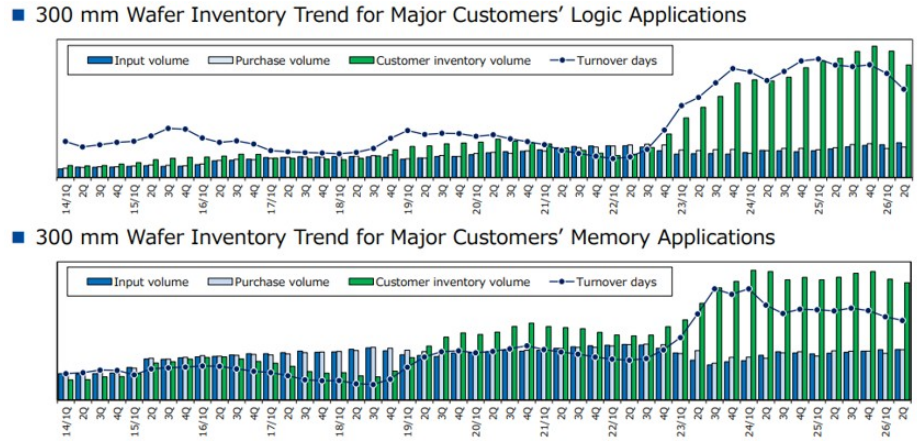
Exhibit 3: Customer 12-inch wafer inventory trend (August 6, 2026)

■ 300 mm Wafer Inventory Trend for Major Customers



Source: Sumco

Exhibit 4: Customer 12-inch wafer inventory trend (Logic vs. memory; August 6, 2026)



Source: Sumco

Estimate Revisions

We cut our EPS estimates by 14%, 15% and 14% for 2026-28, respectively. The reductions in our forecasts primarily reflect lower wafer price hike to Tier 1 customers and the margin pressure from overseas capacity ramp. However, we also lower our tax rate assumption from 25% to 20% to reflect the subsidy from the US government.

Exhibit 5: GlobalWafers: Earnings estimate revisions

(NT$ mn)	New 2026e	Old 2026e	Diff.%	New 2027e	Old 2027e	Diff.%	New 2028e	Old 2028e	Diff.%
Net sales	59,993	62,770	-4%	81,469	90,337	-10%	106,104	113,424	-6%
Gross profit	12,574	14,282	-12%	22,235	26,102	-15%	31,331	36,821	-15%
Operating profit	6,351	8,258	-23%	15,978	19,486	-18%	24,037	29,394	-18%
Pretax income	11,866	14,466	-18%	18,134	22,683	-20%	26,182	32,582	-20%
Net income	9,775	11,326	-14%	14,507	17,012	-15%	20,946	24,437	-14%
EPS for Consensus	**20.44**	**23.68**	**-14%**	**30.33**	**35.56**	**-15%**	**43.79**	**51.09**	**-14%**
Margins									
Gross margin	21.0%	22.8%		27.3%	28.9%		29.5%	32.5%	
Operating margin	10.6%	13.2%		19.6%	21.6%		22.7%	25.9%	
Pretax margin	19.8%	23.0%		22.3%	25.1%		24.7%	28.7%	
Net margin	16.3%	18.0%		17.8%	18.8%		19.7%	21.5%	

Source: Company data, Morgan Stanley Research (e) estimates

Valuation Methodology

We lower our price target from NT$900 to NT$770: The price target change mostly reflects our earnings forecast change over 2026-28. All of of key assumptions in our DCF model are unchanged, including a cost of equity of 11% (beta of 1.5, risk premium of 6% and risk-free rate of 2%), an intermediate growth rate of 13% and a terminal growth rate of 4%.

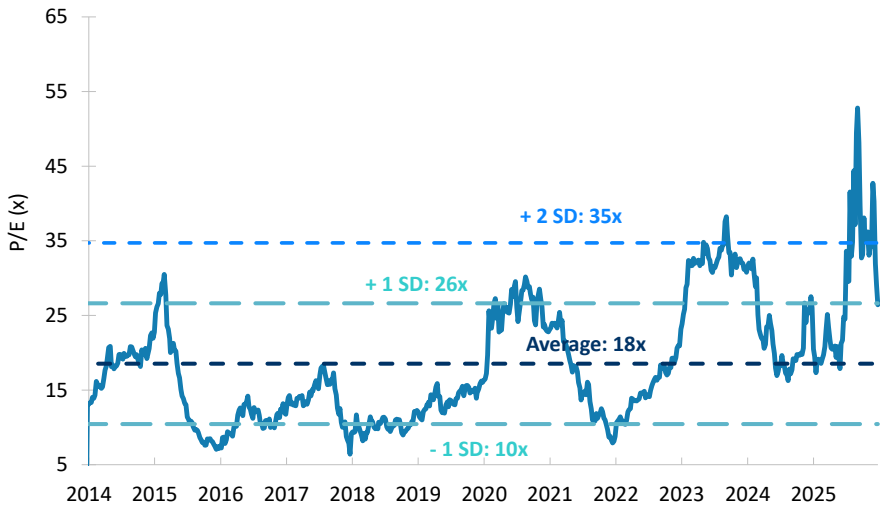
Our bull- and bear-case values are also lowered, from NT$1,140.00 to NT$975.00 and NT $450.00 to NT$385.00, respectively, implying P/Es of 32x and 13x 2027e.

Exhibit 6: GWC: Residual income model

(NT$ mn)	2026e	2027e	2028e	2029e	2030e	2031e	2032e	2033e	2034e	2035e	2036e	2037e
Total Equity	**96,433**	**105,076**	**117,317**	**123,369**	**130,208**	**137,936**	**146,668**	**156,536**	**167,686**	**180,286**	**194,524**	**210,613**
Net Profit	**9,775**	**14,507**	**20,946**	**23,668**	**26,745**	**30,222**	**34,151**	**38,591**	**43,608**	**49,277**	**55,683**	**62,921**
ROAE	**10.3%**	**14.4%**	**18.8%**	**19.7%**	**21.1%**	**22.5%**	**24.0%**	**25.5%**	**26.9%**	**28.3%**	**29.7%**	**31.1%**
Residual Income	(649)	3,278	8,234	10,168	12,453	15,028	17,930	21,201	24,889	29,047	33,736	39,025
Spread	**-0.7%**	**3.4%**	**7.8%**	**8.7%**	**10.1%**	**11.5%**	**13.0%**	**14.5%**	**15.9%**	**17.3%**	**18.7%**	**20.1%**
Ending Equity Capital	96,433											
PV of Forecast Period	88,028											
PV of Continuing Value	183,960											
Equity Value	**368,421**											
No. of Shares	478											
Projected Price (NT$)	**770**											

Source: Company data, Morgan Stanley Research (e) estimates

Exhibit 7: GlobalWafers: One-year forward P/E chart



Source: Company data, Morgan Stanley Research estimates

Quarterly Financials

Exhibit 8: GlobalWafers: Quarterly financials

(NT$ mn)	1Q26	2Q26	3Q26e	4Q26e	1Q27e	2Q27e	3Q27e	4Q27e	2024	2025	2026e	2027e	2028e
Total Revenues	**13,985**	**15,214**	**14,871**	**15,923**	**18,122**	**20,368**	**21,061**	**21,918**	**62,626**	**60,598**	**59,993**	**81,469**	**106,104**
Sequential Change	*-3.6%*	*8.8%*	*-2.3%*	*7.1%*	*13.8%*	*12.4%*	*3.4%*	*4.1%*					
Change vs Year Ago	*-10.3%*	*-5.0%*	*2.6%*	*9.8%*	*29.6%*	*33.9%*	*41.6%*	*37.6%*	*-11.4%*	*-3.2%*	*-1.0%*	*35.8%*	*30.2%*
Cost of Sales	**(11,071)**	**(12,074)**	**(11,901)**	**(12,373)**	**(13,500)**	**(14,773)**	**(15,175)**	**(15,786)**	**(42,823)**	**(45,974)**	**(47,419)**	**(59,234)**	**(74,773)**
Gross Profit	**2,914**	**3,140**	**2,970**	**3,550**	**4,622**	**5,595**	**5,886**	**6,132**	**19,804**	**14,624**	**12,574**	**22,235**	**31,331**
Gross Margin	20.8%	20.6%	20.0%	22.3%	25.5%	27.5%	27.9%	28.0%	31.6%	24.1%	21.0%	27.3%	29.5%
Total Opex	(1,438)	(1,718)	(1,516)	(1,551)	(1,506)	(1,562)	(1,584)	(1,605)	(5,685)	(5,987)	(6,223)	(6,256)	(7,295)
Percent of Revenues	*10.3%*	*11.3%*	*10.2%*	*9.7%*	*8.3%*	*7.7%*	*7.5%*	*7.3%*	*9.1%*	*9.9%*	*10.4%*	*7.7%*	*6.9%*
R&D	(471)	(526)	(531)	(536)	(550)	(560)	(565)	(570)	(2,363)	(2,218)	(2,065)	(2,245)	(2,740)
Percent of Revenues	*3.4%*	*3.5%*	*3.6%*	*3.4%*	*3.0%*	*2.7%*	*2.7%*	*2.6%*	*3.8%*	*3.7%*	*3.4%*	*2.8%*	*2.6%*
Sales and Marketing	(375)	(438)	(428)	(458)	(326)	(367)	(379)	(395)	(1,352)	(1,600)	(1,700)	(1,466)	(1,910)
Percent of Revenues	*2.7%*	*2.9%*	*2.9%*	*2.9%*	*1.8%*	*1.8%*	*1.8%*	*1.8%*	*2.2%*	*2.6%*	*2.8%*	*1.8%*	*1.8%*
General and Admin	(592)	(753)	(557)	(557)	(630)	(635)	(640)	(640)	(1,970)	(2,169)	(2,458)	(2,545)	(2,645)
Percent of Revenues	*4.2%*	*5.0%*	*3.7%*	*3.5%*	*3.5%*	*3.1%*	*3.0%*	*2.9%*	*3.1%*	*3.6%*	*4.1%*	*3.1%*	*2.5%*
Operating Income	**1,475**	**1,423**	**1,454**	**1,999**	**3,116**	**4,033**	**4,302**	**4,528**	**14,118**	**8,636**	**6,351**	**15,978**	**24,037**
Percent of Revenues	*10.5%*	*9.4%*	*9.8%*	*12.6%*	*17.2%*	*19.8%*	*20.4%*	*20.7%*	*22.5%*	*14.3%*	*10.6%*	*19.6%*	*22.7%*
Total Non-operating Income(Loss)	**871**	**3,162**	**236**	**1,245**	**559**	**528**	**528**	**540**	**(1,690)**	**880**	**5,514**	**2,156**	**2,145**
Profit Before Taxes	**2,347**	**4,585**	**1,690**	**3,244**	**3,675**	**4,561**	**4,830**	**5,068**	**12,429**	**9,516**	**11,866**	**18,134**	**26,182**
Percent of Revenues	*16.8%*	*30.1%*	*11.4%*	*20.4%*	*20.3%*	*22.4%*	*22.9%*	*23.1%*	*19.8%*	*15.7%*	*19.8%*	*22.3%*	*24.7%*
Change vs Year Ago	*10.0%*	*100.3%*	*-22.7%*	*11.6%*	*56.6%*	*-0.5%*	*185.8%*	*56.2%*					
Taxes	(451)	(806)	(185)	(649)	(735)	(912)	(966)	(1,014)	(2,590)	(2,205)	(2,090)	(3,627)	(5,236)
Tax Rate	*19.2%*	*17.6%*	*10.9%*	*20.0%*	*20.0%*	*20.0%*	*20.0%*	*20.0%*	*20.8%*	*23.2%*	*17.6%*	*20.0%*	*20.0%*
Net Income, Cont Ops	1,896	3,779	1,505	2,595	2,940	3,649	3,864	4,054	9,839	7,312	9,775	14,507	20,946
Percent of Revenues	*13.6%*	*24.8%*	*10.1%*	*16.3%*	*16.2%*	*17.9%*	*18.3%*	*18.5%*	*15.7%*	*12.1%*	*16.3%*	*17.8%*	*19.7%*
Minority Interest	(0)	(0)	(0)	(0)	(0)	(0)	(0)	(0)	7	0	(0)	(0)	(0)
Reported Income (TW GAAP)	**1,896**	**3,779**	**1,505**	**2,595**	**2,940**	**3,649**	**3,864**	**4,054**	**9,846**	**7,312**	**9,775**	**14,507**	**20,946**
Percent of Revenues	*13.6%*	*24.8%*	*10.1%*	*16.3%*	*16.2%*	*17.9%*	*18.3%*	*18.5%*	*15.7%*	*12.1%*	*16.3%*	*17.8%*	*19.7%*
Change vs Year Ago	*30.2%*	*124.7%*	*-23.6%*	*17.7%*	*55.1%*	*-3.4%*	*156.7%*	*56.2%*	*-50.2%*	*-25.7%*	*33.7%*	*48.4%*	*44.4%*
Reported Diluted EPS (NT$, TW GAAP)	**3.96**	**7.90**	**3.15**	**5.43**	**6.15**	**7.63**	**8.08**	**8.48**	**21.14**	**15.28**	**20.44**	**30.33**	**43.79**
Reported Basic EPS (NT$, GAAP)	**3.97**	**7.90**	**3.15**	**5.43**	**6.15**	**7.63**	**8.08**	**8.48**	**21.06**	**15.29**	**20.45**	**30.34**	**43.81**

Source: Company data, Morgan Stanley Research (e) estimates

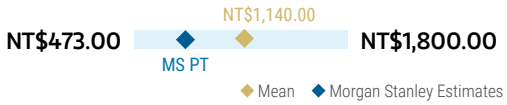
Risk Reward – GlobalWafers Co Ltd (6488.TWO)

2027 price hike a bit mixed; stay EW

PRICE TARGET NT$770.00

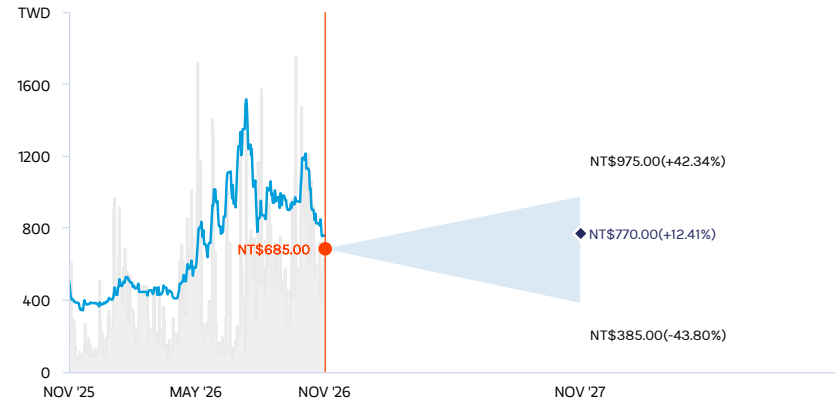
Base-case, residual income model. We assume a cost of equity of 11.0% (risk-free rate of 2.0%, beta of 1.5 and equity risk premium of 6.0%), intermediate-term growth rate of 13% and terminal growth rate of 4.0%.

Consensus Price Target Distribution



Source: Refinitiv, Morgan Stanley Research

RISK REWARD CHART



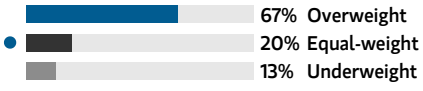
Key: Historical Stock Performance Current Stock Price Price Target

Source: Refinitiv, Morgan Stanley Research

EQUAL-WEIGHT THESIS

- The 2H26 pricing recovery, improving LTA fulfillment and compound semiconductor progress are constructive.
- However, we believe much of this is increasingly reflected in expectations.
- At the same time, higher production costs and new capacity ramp up could limit the pace of margin recovery.
- With pricing upside back-end-loaded and cost pressure still visible, we see a more balanced set-up from here.

Consensus Rating Distribution



Source: Refinitiv, Morgan Stanley Research

Risk Reward Themes

Secular Growth: *Positive*

View descriptions of Risk Rewards Themes here

BULL CASE NT$975.00

32x 2027e EPS

Semiconductor industry recovers faster than expected. Pure foundry players' utilization rates rebound to 100%, and memory players start to pull in more raw wafers. GWC's total revenue CAGR picks up to >30% in 2025-28 vs. 8% in 2021-23. Gross margin recovers to over 40% vs. 37.4% in 2023.

BASE CASE NT$770.00

25x 2027e EPS

Semiconductor industry recovers from a down-cycle. Pure foundry and memory players start to see recovery in utilization rate, while both spot price and LTA amount also increase gradually. GWC's total revenue CAGR rises to >15% in 2025-28 vs. 8% in 2021-23. Gross margin stays above 25%.

BEAR CASE NT$385.00

13x 2027e EPS

Semiconductor industry recovers more slowly than expected during this down-cycle. Pure foundry players start to breach LTAs and memory players start to cut more raw wafer orders. GWC's total revenue CAGR slows to 0% in 2025-28 vs. 8% in 2021-23. Gross margin declines to <20% vs. 37.4% in 2023.

Risk Reward – GlobalWafers Co Ltd (6488.TWO)

KEY EARNINGS INPUTS

Drivers	Dec 2025	Dec 2026e	Dec 2027e	Dec 2028e
Total Wafer Shipment (NT$, 000s)	32,501	32,005	34,741	32,035
GWC Utilization Rate (%)	60.1	56.8	59.5	60.4
Blended ASP Per Wafer (NT$)	60	60	76	61

INVESTMENT DRIVERS

- Monthly sales inflection
- Stronger outlooks from key customers
- Extension of LTA pricing or shipments by GWC or peers

GLOBAL REVENUE EXPOSURE



Source: Morgan Stanley Research Estimate
View explanation of regional hierarchies here

MS ALPHA MODELS

5/5 **MOST** 3 Month Horizon

Source: Refinitiv, FactSet, Morgan Stanley Research; 1 is the highest favored Quintile and 5 is the least favored Quintile

RISKS TO PT/RATING

RISKS TO UPSIDE

- Margins improve as loosening competition boosts overall wafer ASP.
- Wafer supply remains stable or even goes into shortage amid stronger-than-expected wafer demand.

RISKS TO DOWNSIDE

- Global semiconductor growth slows again, triggering less wafer demand.
- Margins erode as rising competition lowers overall wafer ASP.
- Global wafer supply rises unexpectedly from new projects.

OWNERSHIP POSITIONING

Inst. Owners, % Active 80.9%

Source: Refinitiv, Morgan Stanley Research

MS ESTIMATES VS. CONSENSUS

FY Dec 2026e

Sales / Revenue (NT$, mn)	59,993	62,537	64,544
EBITDA (NT$, mn)	13,676	20,058	35,700
Net income (NT$, mn)	7,982	10,041	12,485
EPS (NT$)	16.69	20.70	26.11

◆ Mean ◆ Morgan Stanley Estimates

Source: Refinitiv, Morgan Stanley Research

Financial Summary

Income Statement, 2024-2028e, Year End Dec

(NT$ mn)	2024	2025	2026e	2027e	2028e
Turnover	**62,626**	**60,598**	**59,993**	**81,469**	**106,104**
YoY Growth	*-11.4%*	*-3.2%*	*-1.0%*	*35.8%*	*30.2%*
Less: COGS	**(42,823)**	**(45,974)**	**(47,419)**	**(59,234)**	**(74,773)**
Variable costs	(35,056)	(37,362)	(37,929)	(47,395)	(59,418)
Depreciation & amort	(7,766)	(8,612)	(9,490)	(11,839)	(15,354)
Gross profit	**19,804**	**14,624**	**12,574**	**22,235**	**31,331**
YoY Growth	*-25.1%*	*-26.2%*	*-14.0%*	*76.8%*	*40.9%*
% margin	*31.6%*	*24.1%*	*21.0%*	*27.3%*	*29.5%*
Operating Expenses:	**(5,685)**	**(5,987)**	**(6,223)**	**(6,256)**	**(7,295)**
R&D	(2,363)	(2,218)	(2,065)	(2,245)	(2,740)
Sales and Marketing	(1,352)	(1,600)	(1,700)	(1,466)	(1,910)
General and Admin	(1,970)	(2,169)	(2,458)	(2,545)	(2,645)
Operating Profit	**14,118**	**8,636**	**6,351**	**15,978**	**24,037**
YoY Growth	*-29.6%*	*-38.8%*	*-26.5%*	*151.6%*	*50.4%*
% margin	*22.5%*	*14.3%*	*10.6%*	*19.6%*	*22.7%*
Total Non-op	**(1,690)**	**880**	**5,514**	**2,156**	**2,145**
Pretax Profit	12,429	9,516	11,866	18,134	26,182
YoY Growth	*-53.1%*	*-23.4%*	*24.7%*	*52.8%*	*44.4%*
% margin	*19.8%*	*15.7%*	*19.8%*	*22.3%*	*24.7%*
Tax	(2,590)	(2,205)	(2,090)	(3,627)	(5,236)
Reported Net Income	9,846	7,312	9,775	14,507	20,946
EPS (NT$)	**21.14**	**15.28**	**20.44**	**30.33**	**43.79**

Key Ratios

	2024	2025	2026e	2027e	2028e
Return (%)					
ROAA	*4.5%*	*2.8%*	*3.6%*	*5.0%*	*6.6%*
ROAE	*11.3%*	*7.3%*	*9.5%*	*13.7%*	*18.8%*
OP. ATO	*51.1%*	*38.6%*	*38.1%*	*50.2%*	*64.0%*
Gearing (x)					
Net Debt/ Equity	(0.0x)	0.3x	0.2x	0.1x	0.1x
Current Ratio	1.3x	1.6x	1.5x	2.2x	3.0x
Quick Ratio	0.8x	0.5x	0.7x	1.4x	2.2x
Operating Cycle					
AR/NR Turnover (days)	60	79	85	68	60
Inventory Turnover (days)	91	110	112	98	87
AP Turnover (days)	40	42	41	35	31
Cash Conversion (days)	111	147	156	131	116

e = Morgan Stanley Research Estimates
Source: Company Data, Morgan Stanley Research

Balance sheet

(NT$ mn)	2024	2025	2026e	2027e	2028e
Assets					
Cash & Equivalents	38,929	19,484	34,094	77,648	126,457
Marketable Security	29	1	2	2	2
A/R & N/R	10,265	10,113	11,039	15,196	20,139
Inventories	11,238	10,399	12,313	15,709	20,437
Other Current Asset	20,030	46,632	36,046	36,046	36,046
Total current assets	**81,349**	**87,237**	**94,134**	**145,241**	**203,721**
LT Investment	14,280	14,811	20,284	20,284	20,284
Total Fixed Assets	119,074	107,241	116,046	114,559	109,773
Total Other Assets	9,877	9,054	8,161	8,393	8,625
Total Assets	**224,581**	**218,343**	**238,624**	**288,477**	**342,403**
A/P & N/P	5,371	4,161	4,388	5,598	7,283
Accrued Expenses	0	0	0	0	0
Other Payable	4,650	3,613	6,055	6,055	6,055
Total Current Liab.	**65,065**	**54,109**	**63,984**	**65,194**	**66,879**
L-T Liabilities	37,678	43,244	53,188	93,188	133,188
Total Other L-T Liab	30,810	27,695	25,019	25,019	25,019
Total Liabilities	**133,553**	**125,048**	**142,191**	**183,401**	**225,086**
Common Stock	4,781	4,781	4,781	4,781	4,781
Preferred Stock					
Capital Reserve	45,720	44,764	44,764	44,764	44,764
Retained earnings	40,530	43,753	46,892	55,534	67,775
Treasury Stock	0	0	0	0	0
Total Equity	**91,028**	**93,295**	**96,433**	**105,076**	**117,317**

Cash Flow Statement

(NT$ mn)	2024	2025	2026e	2027e	2028e
Net Income	9,846	7,312	9,775	14,507	20,946
Depreciation	8,069	8,949	9,866	12,301	15,954
Net Investment Losses (Gains)	(49)	48	17	52	52
Others	(2,825)	(3,564)	(8,570)	(6,342)	(7,987)
Cash Flow-Operating	**15,041**	**12,745**	**11,088**	**20,519**	**28,965**
(Purchase) of FA	(48,319)	(33,497)	(19,117)	(10,867)	(11,220)
Sale of Fix Asset	380	86	37	0	0
(Purchase)L-T Inv.	0	0	0	0	0
Sale of L-T Inv.	0	0	0	0	0
Sale(Pur.)S-T Inv.	(6,846)	(106)	(7)	0	0
Cash Flow-Investing	**(29,620)**	**(34,049)**	**(8,049)**	**(11,099)**	**(11,452)**
Inc(Dec)-S-T Debt	8,222	(3,977)	651	0	0
Dividend Paid	(8,748)	(5,259)	(5,343)	(5,865)	(8,704)
Dir.&Emp.Bonus	0	0	0	0	0
Proceed from New Issue	21,891	0	0	0	0
Dec/Inc-TreasureSt	0	0	0	0	0
Others	4,375	10,540	16,093	40,000	40,000
Cash Flow-Financing	**25,740**	**1,303**	**11,401**	**34,135**	**31,296**
Change in Cash	**12,765**	**(19,445)**	**14,610**	**43,555**	**48,809**
Net cash/(debt), b/f	26,165	38,929	19,484	34,094	77,648
Net cash/(debt), c/f	**38,929**	**19,484**	**34,094**	**77,648**	**126,457**

Valuation Methodology and Risks

Micron Technology Inc. (MU.O)

30x through-cycle earnings of US $40.00, a premium to history reflecting new opportunities in AI, in-line with broader semis.

Risks to Upside

- Customers continue to demonstrate an appetite to take on inventory around macroeconomic uncertainty
- Additional wafer intensity of HBM further improves overall supply and demand
- MIcron's HBM share surpasses expectations

Risks to Downside

- Pricing can turn quickly; a falter in end demand with inventories elevated could lead to a swift price reduction
- HBM demand falters and competition intensifies, pressuring pricing

Risk Reward Reference links

1. View explanation of Options Probabilities methodology - Options_Probabilities_Exhibit_Link.pdf

2. View descriptions of Risk Rewards Themes - RR_Themes_Exhibit_Link.pdf

3. View explanation of regional hierarchies - GEG_Exhibit_Link.pdf

4. View explanation of Theme/Exposure methodology - ESG_Sustainable_Solutions_External_Link.pdf

5. View explanation of HERS methodology - ESG_HERS_External_Link.pdf

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Stock Rating Category	Count	% of Total	Count	% of Total IBC	% of Rating Category	Count	% of Total Other MISC
Overweight/Buy	1575	43%	460	49%	29%	742	44%
Equal-weight/Hold	1537	42%	393	42%	26%	720	43%
Not-Rated/Hold	2	0%	1	0%	50%	1	0%
Underweight/Sell	570	15%	92	10%	16%	218	13%
Total	3,684		946			1681	

Data include common stock and ADRs currently assigned ratings. Investment Banking Clients are companies from whom Morgan Stanley received investment banking compensation in the last 12 months. Due to rounding off of decimals, the percentages provided in the "% of total" column may not add up to exactly 100 percent.

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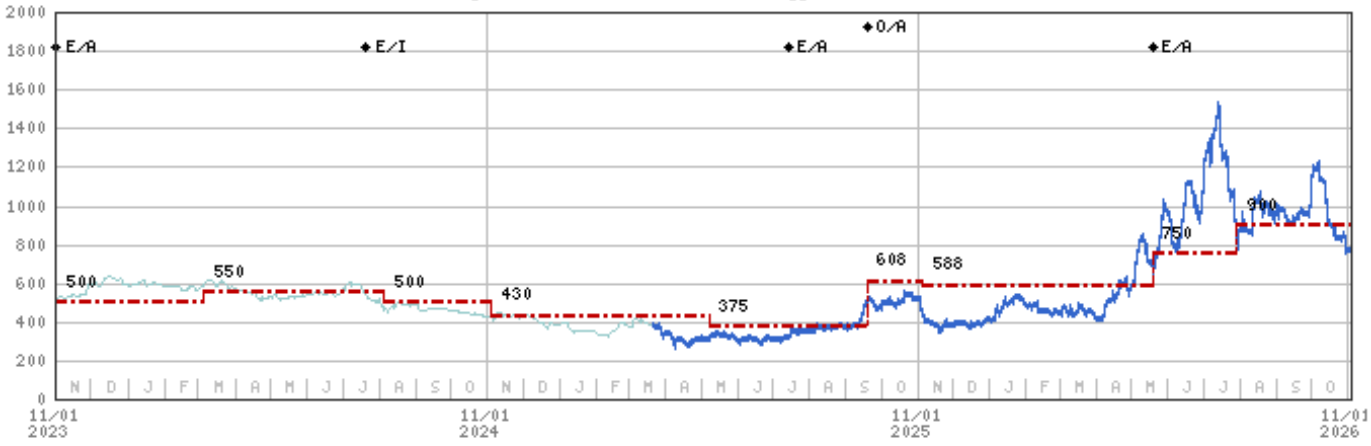
Overweight (O). The stock's total return is expected to exceed the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.
Equal-weight (E). The stock's total return is expected to be in line with the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.
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Stock Price, Price Target and Rating History (See Rating Definitions)

GlobalWafers Co Ltd (6488.TWO) - As of 11/03/26 GMT in TWD
Industry : Greater China Technology Semiconductors



Stock Rating History: 11/1/21 : O/C; 10/4/22 : O/A; 2/22/23 : E/I; 7/7/23 : E/A; 7/21/24 : E/I; 7/14/25 : E/A; 9/19/25 : O/A; 5/19/26 : E/A

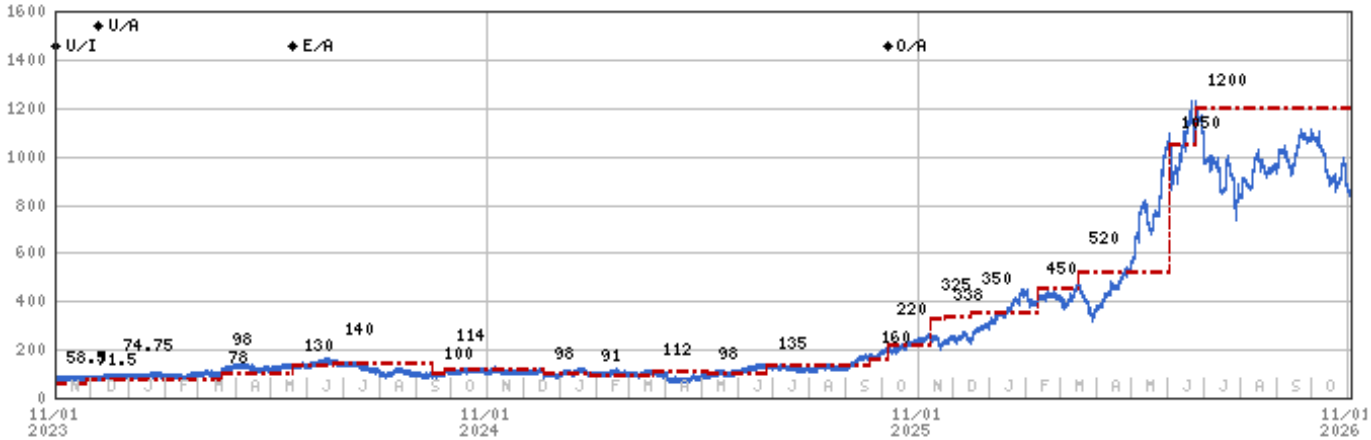
Price Target History: 6/29/21 : 1020; 2/7/22 : 920; 3/15/22 : 800; 7/12/22 : 580; 11/1/22 : 500; 3/6/24 : 550; 8/6/24 : 500; 11/5/24 : 430; 5/8/25 : 375; 9/19/25 : 608; 11/5/25 : 588; 5/19/26 : 750; 7/29/26 : 900

Source: Morgan Stanley Research Date Format : MM/DD/YY Price Target No Price Target Assigned (NA)
Stock Price (Not Covered by Current Analyst) Stock Price (Covered by Current Analyst)
Stock and Industry Ratings (abbreviations below) appear as ◆ Stock Rating/Industry View
Stock Ratings: Overweight (O) Equal-weight (E) Underweight (U) Not-Rated (NR) No Rating Available (NA)
Industry View: Attractive (A) In-line (I) Cautious (C) No Rating (NR)

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Micron Technology Inc. (MU.O) - As of 11/03/26 GMT in USD
Industry : Semiconductors



Stock Rating History: 11/1/21 : E/I; 7/21/22 : U/I; 12/7/23 : U/A; 5/20/24 : E/A; 10/6/25 : O/A

Price Target History: 8/12/21 : 75; 12/20/21 : 77; 3/29/22 : 83; 6/21/22 : 56; 9/30/22 : 49; 12/21/22 : 46; 9/24/23 : 58.5; 11/27/23 : 71.5; 12/20/23 : 74.75; 3/18/24 : 78; 3/21/24 : 98; 5/20/24 : 130; 6/23/24 : 140; 9/15/24 : 100; 9/26/24 : 114; 12/19/24 : 98; 1/27/25 : 91; 3/21/25 : 112; 5/7/25 : 98; 6/26/25 : 135; 9/22/25 : 160; 10/6/25 : 220; 11/12/25 : 325; 11/23/25 : 338; 12/17/25 : 350; 2/10/26 : 450; 3/18/26 : 520; 6/2/26 : 1050; 6/25/26 : 1200

Source: Morgan Stanley Research Date Format : MM/DD/YY Price Target No Price Target Assigned (NA)
Stock Price (Not Covered by Current Analyst) Stock Price (Covered by Current Analyst)
Stock and Industry Ratings (abbreviations below) appear as ◆ Stock Rating/Industry View
Stock Ratings: Overweight (O) Equal-weight (E) Underweight (U) Not-Rated (NR) No Rating Available (NA)
Industry View: Attractive (A) In-line (I) Cautious (C) No Rating (NR)

Effective January 13, 2014, the stocks covered by Morgan Stanley Asia Pacific will be rated relative to the analyst's industry (or industry team's) coverage.

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INDUSTRY COVERAGE: Greater China Technology Semiconductors

COMPANY (TICKER)	RATING (AS OF)	PRICE* (11/03/2026)
Charlie Chan		
Advanced Wireless Semiconductor Co (8086.TWO)	U (07/14/2025)	NT$105.50
Alchip Technologies Ltd (3661.TW)	O (05/14/2021)	NT$3,140.00
ASE Technology Holding Co. Ltd. (3711.TW)	O (09/15/2024)	NT$616.00
Cambricon Technology Corporation (688256.SS)	O (04/27/2026)	Rmb767.93
CXMT Corp (688825.SS)	O (08/26/2026)	Rmb38.80
Global Unichip Corp (3443.TW)	O (06/24/2026)	NT$6,795.00
GlobalWafers Co Ltd (6488.TWO)	E (05/19/2026)	NT$685.00
Gudeng Precision (3680.TWO)	O (11/25/2025)	NT$440.50
Hua Hong Semiconductor Ltd (1347.HK)	E (03/12/2026)	HK$59.35
Iluvatar CoreX Semiconductor Co., Ltd. (9903.HK)	O (04/27/2026)	HK$56.35
MediaTek (2454.TW)	O (11/28/2025)	NT$3,675.00
MetaX Integrated Circuits (688802.SS)	U (11/02/2026)	Rmb415.15
Nanya Technology Corp. (2408.TW)	O (05/28/2026)	NT$411.00
Phison Electronics Corp (8299.TWO)	E (02/25/2026)	NT$1,690.00
SG Micro Corp. (300661.SZ)	E (11/03/2025)	Rmb75.00
Silergy Corp. (6415.TW)	U (05/19/2026)	NT$472.50
SMIC (0981.HK)	O (10/21/2025)	HK$42.62
TSMC (2330.TW)	O (02/07/2022)	NT$2,295.00
UMC (2303.TW)	O (05/19/2026)	NT$103.00
Vanguard International Semiconductor (5347.TWO)	U (10/30/2026)	NT$134.00
WIN Semiconductors Corp (3105.TWO)	O (10/29/2026)	NT$530.00
Daisy Dai, CFA		
ASMPT Ltd (0522.HK)	O (07/24/2025)	HK$101.70
China Resources Microelectronics Limited (688396.SS)	U (03/02/2026)	Rmb46.71
Empyrean Technology Co Ltd (301269.SZ)	O (11/02/2026)	Rmb88.66
Hangzhou Silan Microelectronics Co. Ltd. (600460.SS)	U (08/25/2025)	Rmb22.39
Hygon Information Technology Co., Ltd. (688041.SS)	O (07/03/2026)	Rmb170.00
Innoscience (2577.HK)	E (10/13/2025)	HK$25.30
JCET Group Co Ltd (600584.SS)	O (09/16/2026)	Rmb47.04
Shanghai Fudan Microelectronics (1385.HK)	O (03/07/2025)	HK$21.10
SICC Co Ltd (688234.SS)	O (03/20/2026)	Rmb66.52
SJ Semiconductor Corp (688820.SS)	E (09/16/2026)	Rmb72.70
StarPower Semiconductor Ltd (603290.SS)	U (10/31/2026)	Rmb66.30
Unigroup Guoxin Microelectronics Co Ltd (002049.SZ)	U (01/10/2023)	Rmb48.57
Universal Scientific Ind. (Shanghai) (601231.SS)	O (11/05/2025)	Rmb17.10
Yangjie Technology (300373.SZ)	O (06/10/2022)	Rmb71.88
Daniel Yen, CFA		
AP Memory Technology Corp (6531.TW)	O (07/11/2025)	NT$712.00
ASMedia Technology Inc (5269.TW)	U (10/03/2025)	NT$1,320.00
Aspeed Technology (5274.TWO)	O (06/09/2025)	NT$14,730.00
Egis Technology Inc (6462.TWO)	E (01/28/2026)	NT$88.90
Elan Microelectronics Corp (2458.TW)	O (10/03/2025)	NT$121.00
eMemory Technology Inc (3529.TWO)	O (08/18/2026)	NT$2,160.00
Espressif Systems (688018.SS)	O (05/15/2023)	Rmb136.70
GigaDevice Semiconductor Beijing Inc (603986.SS)	O (05/15/2025)	Rmb250.16
Himax Technologies Inc (HIMX.O)	E (02/04/2026)	US$10.45
Macronix International Co Ltd (2337.TW)	O (09/18/2025)	NT$88.30
Montage Technology Co Ltd (6809.HK)	O (03/18/2026)	HK$198.30
Montage Technology Co Ltd (688008.SS)	O (03/18/2026)	Rmb150.01
Novatek (3034.TW)	U (02/04/2026)	NT$555.00
Nuvoton Technology Corporation (4919.TW)	U (11/10/2025)	NT$107.50
Parade Technologies Ltd (4966.TWO)	U (10/29/2026)	NT$450.50

Powerchip Semiconductor Manufacturing Co (6770.TW)	O (10/27/2025)	NT$60.20
Realtek Semiconductor (2379.TW)	E (01/30/2026)	NT$756.00
Shenzhen Goodix Technology Co Ltd (603160.SS)	U (07/14/2025)	Rmb58.81
Silicon Motion (SIMO.O)	O (05/06/2024)	US$187.90
Winbond Electronics Corp (2344.TW)	O (05/28/2026)	NT$146.00
WPG Holdings (3702.TW)	O (03/16/2026)	NT$101.00
WT Microelectronics Co. Ltd. (3036.TW)	O (01/27/2026)	NT$201.50
Henry Zhao		
ACM Research Inc (ACMR.O)	O (03/07/2023)	US$44.15
Advanced Micro-Fabrication Equipment Inc (688012.SS)	O (11/06/2023)	Rmb205.80
Maxscend Microelectronics Co Ltd (300782.SZ)	U (01/11/2021)	Rmb49.90
NAURA Technology Group Co Ltd (002371.SZ)	O (11/06/2023)	Rmb486.82
OmniVision Integrated Circuits Group Inc (603501.SS)	E (10/29/2026)	Rmb84.06
Lucas Wang		
AllRing Tech Co. (6187.TWO)	O (09/23/2025)	NT$1,080.00
FOCI Fiber Optic Communications Inc (3363.TWO)	E (10/09/2026)	NT$415.50
Hon Precision (7769.TW)	O (04/17/2026)	NT$4,470.00
King Yuan Electronics Co Ltd (2449.TW)	O (03/03/2023)	NT$253.50
MPI Corporation (6223.TWO)	O (04/17/2026)	NT$4,190.00

Stock Ratings are subject to change. Please see latest research for each company.
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IDEA

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Greater China Semiconductors | Asia Pacific

PC Semis: More divergent outlooks

Business diversification, KGD (known good die) pricing power and supply chain management create a divergent revenue outlook for PC semis into 4Q and likely also 1Q27. Downgrade Elan to EW.

Key Takeaways

- The FOMP (fear of missing procurement for PC semis in 1Q-3Q26) has caused a deeper correction for some PC semis into 4Q.
- It's easier for large-scale PC semis to navigate through the downturn, while small design houses are more concentrated on PC.
- We stay conservative on PC semis, with no OW and await the cycle bottom sometime in 2027.

A much tougher 4Q… We mentioned in the prior PC semis note that the FOMP (fear of missing procurement) could lead to stable PC semis shipments in 3Q; now, the inventory accumulation in 1Q-3Q26 could cause a deeper correction in 4Q. PC semis customers currently still aim for only a 5-10% Q/Q procurement decline in 4Q. That said, the downside surprise in Parade's 4Q outlook (link), which calls for a 20-25% Q/Q revenue decline, could suggest a worse component correction. The still-elevated Windows activation period of 200+ days and much smaller price hikes from PC semis customers in 2H vs. 1H could suggest ongoing weakness into 1Q27.

But why are some companies resilient? Many investors are asking why Realtek's revenue could be up Q/Q in 4Q amid the PC correction (link). We cite three factors: 1) Consumer demand (other than PC/smartphones) is not necessarily all bad, especially for IoT devices (low memory content). Espressif is guiding for Q/Q revenue growth in 4Q, following sequential growth in 3Q. 2) Price hikes reflect increases at both foundries/OSATs and in KGD. For example, TV SoC pricing is several times higher than in past years due to KGD price hikes (mainly DDR4). 3) Large-scale IC design houses usually have better supply chain management and lower exposure to PC.

No new growth driver into 2027: With the recent debate on cloud AI, we think it's still a matter of time before edge AI takes off. However, we haven't seen a clear growth driver for PC semis. Preliminary outlooks from PC semis customers range from flattish to down 20% Y/Y in 2027. Thus, it's difficult to turn positive now.

Reduce earnings: We revise down Elan's PT and earnings and cut the stock to EW. We appreciate the company's growth from smart Edge AI devices, but its exposure to NB is still too significant to overlook. Our PT implies 16x our downward-revised 2027 EPS. Stay EW Realtek and UW Novatek, ASMedia, Parade, and Nuvoton.

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GREATER CHINA TECHNOLOGY SEMICONDUCTORS

Asia Pacific
Industry View **Attractive**

WHAT'S CHANGED

Elan Microelectronics Corp (2458.TW)	**From**	**To**
Rating	Overweight	**Equal-weight**
Price Target	NT$250.00	**NT$160.00**

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Elan Micro: Earnings estimate revisions

We revise our EPS estimates by +1%/-20%/-16% for 2026/27/28: For 2026, we incorporate actual 2Q26 results, which benefited from investment gains. For 2027-28, we reduce our revenue and GM forecasts due to continued weak PC demand, which we believe cannot be fully offset by the non PC business (mainly the drone market).

Exhibit 1: Elan: Estimate revisions

(NT$ mn)	New '26e	Old '26e	Diff.	New '27e	Old '27e	Diff.	New '28e	Old '28e	Diff.
Net sales	13,257	13,886	-5%	13,943	15,901	-12%	14,686	16,713	-12%
COGS	6,972	7,051		7,444	7,999		7,856	8,696	
Gross profit	6,285	6,836	-8%	6,499	7,902	-18%	6,830	8,017	-15%
Operating expenses	3,288	3,300		3,446	3,572		3,639	3,622	
Operating profit	2,997	3,535	-15%	3,053	4,330	-29%	3,191	4,395	-27%
Non-op. income (exp.)	443	254		82	187		173	176	
Pretax income	3,440	3,789	-9%	3,135	4,517	-31%	3,363	4,571	-26%
Taxes	546	901		460	1,129		494	1,143	
Net income	3,023	3,004	1%	2,815	3,528	-20%	3,010	3,568	-16%
Reported EPS	**10.56**	**10.49**	**1%**	**9.83**	**12.32**	**-20%**	**10.51**	**12.46**	**-16%**
Margins									
Gross margin	47.4%	49.2%	-1.8%	46.6%	49.7%	-3.1%	46.5%	48.0%	-1.5%
Operating margin	22.6%	25.5%	-2.9%	21.9%	27.2%	-5.3%	21.7%	26.3%	-4.6%
Pretax margin	25.9%	27.3%	-1.3%	22.5%	28.4%	-5.9%	22.9%	27.3%	-4.4%
Net margin	22.8%	21.6%	1.2%	20.2%	22.2%	-2.0%	20.5%	21.3%	-0.9%
Opex %	24.8%	23.8%	1.0%	24.7%	22.5%	2.3%	24.8%	21.7%	3.1%

Source: Company data, Morgan Stanley Research (e) estimates.

Exhibit 2: Elan: Quarterly financial statement

(NT$ mn)	1Q25	2Q25	3Q25	4Q25	1Q26	2Q26	3Q26e	4Q26e	1Q27e	2Q27e	3Q27e	4Q27e	1Q28e	2Q28e	3Q28e	4Q28e	2025	2026e	2027e	2028e
Total Revenues	**3,119**	**3,032**	**3,316**	**2,860**	**3,225**	**3,205**	**3,365**	**3,463**	**3,355**	**3,472**	**3,568**	**3,549**	**3,409**	**3,585**	**3,775**	**3,918**	**12,326**	**13,257**	**13,943**	**14,686**
Sequential Change	*2.7%*	*-2.8%*	*9.4%*	*-13.8%*	*12.8%*	*-0.6%*	*5.0%*	*2.9%*	*-3.1%*	*3.5%*	*2.8%*	*-0.5%*	*-3.9%*	*5.2%*	*5.3%*	*3.8%*				
Change vs Year Ago	*0.4%*	*-3.8%*	*-2.5%*	*-5.8%*	*3.4%*	*5.7%*	*1.5%*	*21.1%*	*4.0%*	*8.3%*	*6.0%*	*2.5%*	*1.6%*	*3.2%*	*5.8%*	*10.4%*	*-2.9%*	*7.6%*	*5.2%*	*5.3%*
Cost of Sales	1,555	1,575	1,750	1,450	1,688	1,686	1,766	1,832	1,780	1,849	1,908	1,906	1,825	1,918	2,019	2,095	6,330	6,972	7,444	7,856
Percent of Revenues	*50%*	*52%*	*53%*	*51%*	*52%*	*53%*	*52%*	*53%*	*53%*	*53%*	*53%*	*54%*	*54%*	*54%*	*53%*	*53%*	*51%*	*53%*	*53%*	*53%*
Gross Profit	**1,564**	**1,457**	**1,566**	**1,410**	**1,537**	**1,519**	**1,599**	**1,630**	**1,575**	**1,623**	**1,660**	**1,642**	**1,584**	**1,667**	**1,756**	**1,823**	**5,996**	**6,285**	**6,499**	**6,830**
Percent of Revenues	*50.1%*	*48.0%*	*47.2%*	*49.3%*	*47.6%*	*47.4%*	*47.5%*	*47.1%*	*46.9%*	*46.7%*	*46.5%*	*46.3%*	*46.5%*	*46.5%*	*46.5%*	*46.5%*	*48.6%*	*47.4%*	*46.6%*	*46.5%*
Incremental Margin	*67%*	*NM*	*38%*	*NM*	*35%*	*NM*	*50%*	*32%*	*NM*	*41%*	*39%*	*NM*	*NM*	*47%*	*47%*	*47%*	*NM*	*31%*	*31%*	*45%*
Total Opex	778	712	774	748	758	822	853	855	790	843	910	903	830	887	959	963	3,014	3,288	3,446	3,639
Percent of Revenues	*25.0%*	*23.5%*	*23.3%*	*26.2%*	*23.5%*	*25.7%*	*25.4%*	*24.7%*	*23.6%*	*24.3%*	*25.5%*	*25.5%*	*24.4%*	*24.7%*	*25.4%*	*24.6%*	*24.4%*	*24.8%*	*24.7%*	*24.8%*
Operating Income	**785**	**744**	**792**	**661**	**779**	**697**	**745**	**776**	**785**	**780**	**750**	**739**	**753**	**780**	**797**	**860**	**2,982**	**2,997**	**3,053**	**3,191**
Percent of Revenues	*25.2%*	*24.5%*	*23.9%*	*23.1%*	*24.1%*	*21.7%*	*22.1%*	*22.4%*	*23.4%*	*22.5%*	*21.0%*	*20.8%*	*22.1%*	*21.8%*	*21.1%*	*22.0%*	*24.2%*	*22.6%*	*21.9%*	*21.7%*
Total Non-operating Income (Loss)	(66)	(324)	151	106	61	294	44	44	21	21	21	21	43	43	43	43	(132)	443	82	173
Profit Before Taxes	719	420	943	768	840	991	789	820	805	800	770	760	797	823	840	903	2,850	3,440	3,135	3,363
Percent of Revenues	*23%*	*14%*	*28%*	*27%*	*26%*	*31%*	*23%*	*24%*	*24%*	*23%*	*22%*	*21%*	*23%*	*23%*	*22%*	*23%*	*23%*	*26%*	*22%*	*23%*
Taxes	204	110	173	55	164	146	116	120	118	117	113	112	117	121	123	133	543	546	460	494
Tax Rate	*28.4%*	*26.2%*	*18.3%*	*7.2%*	*19.5%*	*14.7%*	*14.7%*	*14.7%*	*14.7%*	*14.7%*	*14.7%*	*14.7%*	*14.7%*	*14.7%*	*14.7%*	*14.7%*	*19.0%*	*15.9%*	*14.7%*	*14.7%*
Reported Income (TW GAAP)	**548**	**354**	**804**	**736**	**705**	**879**	**707**	**733**	**722**	**718**	**692**	**683**	**715**	**737**	**752**	**806**	**2,442**	**3,023**	**2,815**	**3,010**
Percent of Revenues	*17.6%*	*11.7%*	*24.3%*	*25.7%*	*21.9%*	*27.4%*	*21.0%*	*21.2%*	*21.5%*	*20.7%*	*19.4%*	*19.2%*	*21.0%*	*20.6%*	*19.9%*	*20.6%*	*19.8%*	*22.8%*	*20.2%*	*20.5%*
Change vs Year Ago	*-20%*	*-52%*	*13%*	*22%*	*29%*	*148%*	*-12%*	*0%*	*2%*	*-18%*	*-2%*	*-7%*	*-1%*	*3%*	*9%*	*18%*	*-11%*	*24%*	*-7%*	*7%*
Reported EPS (NT$, TW GAAP)	**1.92**	**1.24**	**2.81**	**2.57**	**2.46**	**3.07**	**2.47**	**2.56**	**2.52**	**2.51**	**2.42**	**2.39**	**2.50**	**2.58**	**2.63**	**2.81**	**8.53**	**10.56**	**9.83**	**10.51**
Change vs Year Ago	*-20%*	*-52%*	*13%*	*22%*	*29%*	*148%*	*-12%*	*0%*	*2%*	*-18%*	*-2%*	*-7%*	*-1%*	*3%*	*9%*	*18%*	*-11%*	*24%*	*-7%*	*7%*

Source: Company data, Morgan Stanley Research (e) estimates

Valuation Methodology

We cut our price target to NT$160: This reflects our earnings estimate revisions for 2026-28. Our price target is our base-case scenario value, which we continue to derive from our residual income model. We reduce our intermediate growth rate estimate from 10.0% to 8.0% to reflect a weak PC business outlook. We reduce our terminal growth rate estimate from 4.5% to 3.0% to better align it with broader economic growth. We continue to assume a cost of equity of 9.6% and a payout ratio of 80%.

Our bull case value is cut to NT$234 from NT$366, and our bear case value is cut to NT $84 from NT$131.

Exhibit 3: Elan: Residual income

(NT$ mn)	2026e	2027e	2028e	2029e	2030e	2031e	2032e	2033e	2034e	2035e	2036e	2037e
Total Equity	**11,841**	**12,628**	**13,750**	**14,660**	**15,643**	**16,705**	**17,851**	**19,089**	**20,427**	**21,871**	**23,430**	**25,115**
Net Profit	**3,023**	**2,815**	**3,010**	**3,250**	**3,510**	**3,791**	**4,094**	**4,422**	**4,776**	**5,158**	**5,570**	**6,016**
ROAE	**27.1%**	**23.0%**	**22.8%**	**22.9%**	**23.2%**	**23.4%**	**23.7%**	**23.9%**	**24.2%**	**24.4%**	**24.6%**	**24.8%**
Residual Income	1,832	1,588	1,669	1,826	1,989	2,165	2,355	2,560	2,782	3,021	3,279	3,558
Spread	**17.5%**	**13.4%**	**13.2%**	**13.3%**	**13.6%**	**13.8%**	**14.1%**	**14.3%**	**14.6%**	**14.8%**	**15.0%**	**15.2%**
Ending Equity Capital	11,841											
PV of Forecast Period	13,650											
PV of Continuing Value	20,257											
Equity Value	**45,748**											
No. of Shares	286											
Projected Price	**160**											

Source: Company data, Morgan Stanley Research (e) estimates

Exhibit 4: Elan Microelectronics: P/E band



Source: Company data, TEJ, Morgan Stanley Research estimates

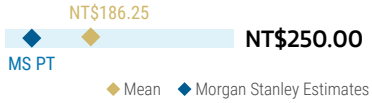
Risk Reward – Elan Microelectronics Corp (2458.TW)

Non-PC business starting to bear fruit, but PC demand remains weak

PRICE TARGET NT$160.00

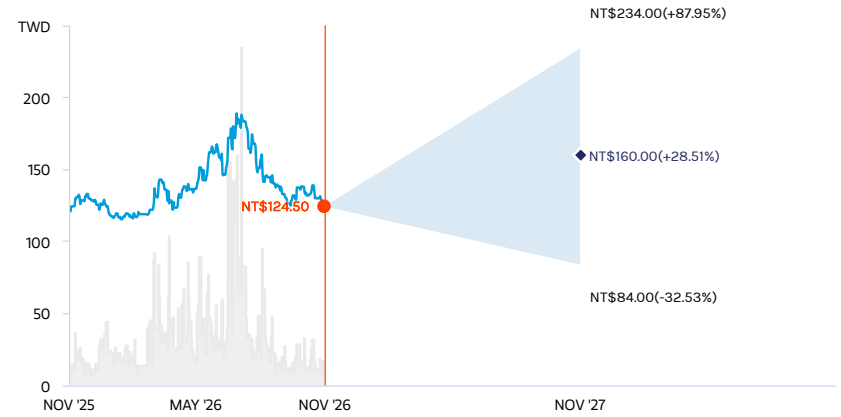
Residual income. We assume a cost of equity of 9.6%, an intermediate growth rate of 8.0%, payout ratio of 80% and terminal growth rate of 3.0%.

Consensus Price Target Distribution



Source: Refinitiv, Morgan Stanley Research

RISK REWARD CHART



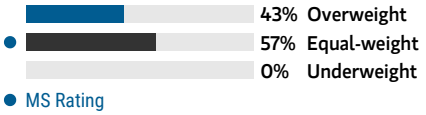
Key: Historical Stock Performance ● Current Stock Price ◆ Price Target

Source: Refinitiv, Morgan Stanley Research

EQUAL-WEIGHT THESIS

- Elan Microelectronics is a global leader in notebook-related ICs, capturing a 50%+ share of touchpads, point-sticks and other peripheral ICs.
- We expect haptic touchpad penetration to increase as the Windows 11 operating system allows users to customize the feel of their touchpads.
- Shipments have begun in non-PC segments such as drones, ADAS and AI glasses, and growth is expected to be robust over the next three years.
- However, exposure to NB is still significant, and PC demand remains weak.

Consensus Rating Distribution



Source: Refinitiv, Morgan Stanley Research

Risk Reward Themes

New Data Era:	*Positive*
Self-help:	*Positive*

View descriptions of Risk Rewards Themes here

BULL CASE NT$234.00

24x 2027e EPS

We expect AI PC to bring more content upgrades: 1) Elan Micro revenue CAGR of 15% (2025-28e); 2) non-PC contribution rises to 25% in 2027; 3) gross margin goes to 52% on average in 2026-28 vs. 49% in 2025.

BASE CASE NT$160.00

16x 2027e EPS

We expect the haptics touchpad and non-PC business to add growth: 1) Elan Micro revenue CAGR of 6% (2025-28); 2) non-PC contribution rises to 15% in 2027; 3) gross margin to be around 46-47% in 2026-28e.

BEAR CASE NT$84.00

9x 2027e EPS

We expect the notebook replacement cycle to stay at around four years over the next three years: 1) Elan Micro revenue CAGR (2025-28e) to be zero; 2) non-PC contribution stays at 10% in 2027; 3) gross margin falls to 40% on average in 2026-28e vs. 49% in 2025.

Risk Reward – Elan Microelectronics Corp (2458.TW)

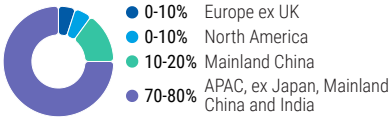
KEY EARNINGS INPUTS

Drivers	Dec 2025	Dec 2026e	Dec 2027e	Dec 2028e
Touchpad shipment growth (%)	(2)	(12)	(3)	(5)
Touchpad ASP growth (%)	1	7	8	4
Gross margin (%)	48.6	47.4	46.6	46.5

INVESTMENT DRIVERS

- Global notebook shipment growth
- Touchpad, controller IC and fingerprint market share in notebooks
- Notebook peripheral IC content growth

GLOBAL REVENUE EXPOSURE



Source: Morgan Stanley Research Estimate
View explanation of regional hierarchies here

RISKS TO PT/RATING

RISKS TO UPSIDE

- Notebook shipments stronger than expected.
- AI PCs help content growth in notebook peripheral ICs.
- e-book controller IC ramps up faster then expected.

RISKS TO DOWNSIDE

- Notebook replacement cycle extents, shipments lower than expected.
- No spec upgrade in notebook peripheral ICs in AI PC era.
- No progress in e-book controller IC.

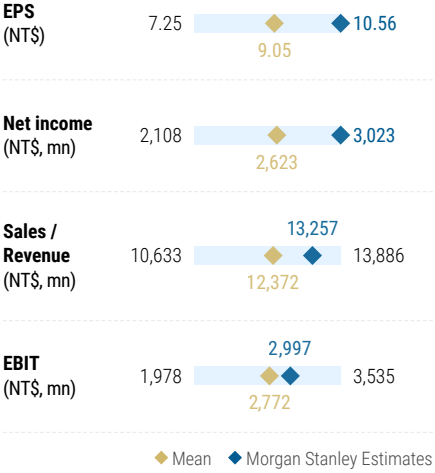
OWNERSHIP POSITIONING

Inst. Owners, % Active 68.9%

Source: Refinitiv, Morgan Stanley Research

MS ESTIMATES VS. CONSENSUS

FY Dec 2026e



Source: Refinitiv, Morgan Stanley Research

Elan: Financial Summary

Exhibit 5: Elan Micro: Financial Summary

Income Statement

NT$mn (Years End Dec)	2025	2026e	2027e	2028e
Net sales	12,326	13,257	13,943	14,686
COGS	(6,330)	(6,972)	(7,444)	(7,856)
Gross profit	5,996	6,285	6,499	6,830
Operating expenses	(3,014)	(3,288)	(3,446)	(3,639)
Operating income	**2,982**	**2,997**	**3,053**	**3,191**
Non-operating income	(132)	443	82	173
Pre-tax income	2,850	3,440	3,135	3,363
Income tax	543	546	460	494
Net Income, Cont Ops	2,307	2,894	2,675	2,870
Minority Interest	135	129	140	140
Reported net income	**2,442**	**3,023**	**2,815**	**3,010**
Adj. wtd. avg. shrs (million)	286	286	286	286
Reported EPS (NT$)	**8.53**	**10.56**	**9.83**	**10.51**
Modelware Diluted EPS (NT$)	**8.46**	**10.51**	**9.83**	**10.51**

Balance Sheet

NT$mn (Years End Dec)	2025	2026e	2027e	2028e
Cash	2,400	3,127	3,312	3,785
Mkt Securities	380	380	380	380
AR/NR	1,236	1,325	1,394	1,468
Inventory	1,583	1,833	1,957	2,066
Other	2,411	2,411	2,411	2,411
Current Assets	**8,010**	**9,077**	**9,455**	**10,110**
Long-term investments	1,901	1,901	1,901	1,901
Fixed assets	4,398	4,837	5,321	5,853
Deffered assets	53	53	53	53
Other assets	1,210	1,210	1,210	1,210
Total Assets	**15,572**	**17,079**	**17,941**	**19,128**
S/T borrowings	200	200	200	200
AP/NP	982	1,103	1,178	1,243
Other ST liabilities	1,976	1,976	1,976	1,976
LT debt	969	969	969	969
Other LT liabilities	990	990	990	990
Common shares	3,039	3,039	3,039	3,039
Total Liabilities	**5,116**	**5,238**	**5,312**	**5,377**
Additional capital	3,467	3,467	3,467	3,467
Retained earning	3,877	5,263	6,050	7,172
Other shareholders' equity	72	72	72	72
Total Equity	**10,456**	**11,841**	**12,628**	**13,750**
Total Liab. & Shrhldr's Equity	**15,572**	**17,079**	**17,941**	**19,128**

e = Morgan Stanley Research Estimates

Source: Morgan Stanley Research, Company Data

Cash Flow Statement

NT$mn (Years End Dec)	2025	2026e	2027e	2028e
Cashflow from Operations	**2,650**	**2,956**	**2,853**	**3,053**
Net profits	2,442	3,023	2,815	3,010
Depreciation	147	151	156	161
Working Capital Change	102	(219)	(118)	(117)
Other adjustments	(41)	0	0	0
Cashflow from Investing	**(2,253)**	**(591)**	**(640)**	**(693)**
Capex	(1,709)	(591)	(640)	(693)
Change of LT Investment	(35)	0	0	0
Change of ST Investment	(27)	0	0	0
Other adjustments	(481)	0	0	0
Cashflow from financing	**(1,269)**	**(1,638)**	**(2,027)**	**(1,888)**
Increase in L/T debt	500	0	0	0
Increase in S/T debt	70	0	0	0
Cash Dividend Paid	(1,835)	(1,638)	(2,027)	(1,888)
Dir& Emp Bonus Paid	0	0	0	0
Issuance of stock	16	0	0	0
Other adjustments	(20)	0	0	0
Exchange rate adjustment	(1)	0	0	0
Net change in cash	**-873**	**727**	**186**	**472**

Financial Ratios

	2025	2026e	2027e	2028e
Growth(%)				
Turnover	-2.9	7.6	5.2	5.3
Operating profits	-2.7	0.5	1.9	4.5
Pretax profits	-12.9	20.7	-8.9	7.3
Net profits	-10.7	23.8	-6.9	6.9
EPS	-10.9	24.3	-6.5	6.9
Margins (%)				
Gross Margin	48.6	47.4	46.6	46.5
Operating Margin	24.2	22.6	21.9	21.7
Pretax Margin	23.1	25.9	22.5	22.9
Net Profit	19.8	22.8	20.2	20.5
Return (%)				
ROAE	23.9	27.1	23.0	22.8
ROAA	16.0	18.5	16.1	16.2
Gearing (%)				
Net Debt/Equity	(21.0)	(24.7)	(24.6)	(26.1)
Liabilities/Equity	48.9	44.2	42.1	39.1
Ratios (X)				
Current ratio	2.5	2.8	2.8	3.0
Quick ratio	1.2	1.4	1.4	1.5
Others				
AR/NR Turnover (days)	36	36	36	36
Inventory Turnover (days)	96	96	96	96
AP Turnover (days)	58	58	58	58
Cash Conversion (days)	75	75	75	75

Source: Company data, Morgan Stanley Research (e) estimates

Risk Reward Reference links

1. View explanation of Options Probabilities methodology - Options_Probabilities_Exhibit_Link.pdf

2. View descriptions of Risk Rewards Themes - RR_Themes_Exhibit_Link.pdf

3. View explanation of regional hierarchies - GEG_Exhibit_Link.pdf

4. View explanation of Theme/Exposure methodology - ESG_Sustainable_Solutions_External_Link.pdf

5. View explanation of HERS methodology - ESG_HERS_External_Link.pdf

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	Coverage Universe		Investment Banking Clients (IBC)			Other Material Investment Services Clients (MISC)	
Stock Rating Category	Count	% of Total	Count	% of Total IBC	% of Rating Category	Count	% of Total Other MISC
Overweight/Buy	1575	43%	460	49%	29%	742	44%
Equal-weight/Hold	1537	42%	393	42%	26%	720	43%
Not-Rated/Hold	2	0%	1	0%	50%	1	0%
Underweight/Sell	570	15%	92	10%	16%	218	13%
Total	3,684		946			1681	

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INDUSTRY COVERAGE: Greater China Technology Semiconductors

COMPANY (TICKER)	RATING (AS OF)	PRICE* (11/02/2026)
Charlie Chan		
Advanced Wireless Semiconductor Co (8086.TWO)	U (07/14/2025)	NT$114.50
Alchip Technologies Ltd (3661.TW)	O (05/14/2021)	NT$3,395.00
ASE Technology Holding Co. Ltd. (3711.TW)	O (09/15/2024)	NT$674.00
Cambricon Technology Corporation (688256.SS)	O (04/27/2026)	Rmb861.00

CXMT Corp (688825.SS)	O (08/26/2026)	Rmb41.72
Global Unichip Corp (3443.TW)	O (06/24/2026)	NT$7,285.00
GlobalWafers Co Ltd (6488.TWO)	E (05/19/2026)	NT$760.00
Gudeng Precision (3680.TWO)	O (11/25/2025)	NT$489.00
Hua Hong Semiconductor Ltd (1347.HK)	E (03/12/2026)	HK$62.50
Iluvatar CoreX Semiconductor Co., Ltd. (9903.HK)	O (04/27/2026)	HK$61.55
MediaTek (2454.TW)	O (11/28/2025)	NT$3,970.00
MetaX Integrated Circuits (688802.SS)	U (11/02/2026)	Rmb466.50
Nanya Technology Corp. (2408.TW)	O (05/28/2026)	NT$456.50
Phison Electronics Corp (8299.TWO)	E (02/25/2026)	NT$1,875.00
SG Micro Corp. (300661.SZ)	E (11/03/2025)	Rmb79.51
Silergy Corp. (6415.TW)	U (05/19/2026)	NT$501.00
SMIC (0981.HK)	O (10/21/2025)	HK$43.62
TSMC (2330.TW)	O (02/07/2022)	NT$2,330.00
UMC (2303.TW)	O (05/19/2026)	NT$110.00
Vanguard International Semiconductor (5347.TWO)	U (10/30/2026)	NT$145.00
WIN Semiconductors Corp (3105.TWO)	O (10/29/2026)	NT$588.00
Daisy Dai, CFA		
ASMPT Ltd (0522.HK)	O (07/24/2025)	HK$107.70
China Resources Microelectronics Limited (688396.SS)	U (03/02/2026)	Rmb47.50
Empyrean Technology Co Ltd (301269.SZ)	O (11/02/2026)	Rmb91.38
Hangzhou Silan Microelectronics Co. Ltd. (600460.SS)	U (08/25/2025)	Rmb23.14
Hygon Information Technology Co., Ltd. (688041.SS)	O (07/03/2026)	Rmb177.00
Innoscience (2577.HK)	E (10/13/2025)	HK$26.70
JCET Group Co Ltd (600584.SS)	O (09/16/2026)	Rmb50.30
Shanghai Fudan Microelectronics (1385.HK)	O (03/07/2025)	HK$21.84
SICC Co Ltd (688234.SS)	O (03/20/2026)	Rmb71.41
SJ Semiconductor Corp (688820.SS)	E (09/16/2026)	Rmb76.65
StarPower Semiconductor Ltd (603290.SS)	U (10/31/2026)	Rmb67.03
Unigroup Guoxin Microelectronics Co Ltd (002049.SZ)	U (01/10/2023)	Rmb47.93
Universal Scientific Ind. (Shanghai) (601231.SS)	O (11/05/2025)	Rmb18.09
Yangjie Technology (300373.SZ)	O (06/10/2022)	Rmb72.51
Daniel Yen, CFA		
AP Memory Technology Corp (6531.TW)	O (07/11/2025)	NT$775.00
ASMedia Technology Inc (5269.TW)	U (10/03/2025)	NT$1,400.00
Aspeed Technology (5274.TWO)	O (06/09/2025)	NT$15,625.00
Egis Technology Inc (6462.TWO)	E (01/28/2026)	NT$93.70
Elan Microelectronics Corp (2458.TW)	E (11/03/2026)	NT$124.50
eMemory Technology Inc (3529.TWO)	O (08/18/2026)	NT$2,395.00
Espressif Systems (688018.SS)	O (05/15/2023)	Rmb135.64
GigaDevice Semiconductor Beijing Inc (603986.SS)	O (05/15/2025)	Rmb265.67
Himax Technologies Inc (HIMX.O)	E (02/04/2026)	US$10.45
Macronix International Co Ltd (2337.TW)	O (09/18/2025)	NT$96.20
Montage Technology Co Ltd (6809.HK)	O (03/18/2026)	HK$212.20
Montage Technology Co Ltd (688008.SS)	O (03/18/2026)	Rmb164.58
Novatek (3034.TW)	U (02/04/2026)	NT$571.00
Nuvoton Technology Corporation (4919.TW)	U (11/10/2025)	NT$119.00
Parade Technologies Ltd (4966.TWO)	U (10/29/2026)	NT$485.00
Powerchip Semiconductor Manufacturing Co (6770.TW)	O (10/27/2025)	NT$65.30
Realtek Semiconductor (2379.TW)	E (01/30/2026)	NT$785.00
Shenzhen Goodix Technology Co Ltd (603160.SS)	U (07/14/2025)	Rmb59.96
Silicon Motion (SIMO.O)	O (05/06/2024)	US$187.90
Winbond Electronics Corp (2344.TW)	O (05/28/2026)	NT$162.00
WPG Holdings (3702.TW)	O (03/16/2026)	NT$105.50
WT Microelectronics Co. Ltd. (3036.TW)	O (01/27/2026)	NT$204.50

Henry Zhao		
ACM Research Inc (ACMR.O)	O (03/07/2023)	US$44.15
Advanced Micro-Fabrication Equipment Inc (688012.SS)	O (11/06/2023)	Rmb216.59
Maxscend Microelectronics Co Ltd (300782.SZ)	U (01/11/2021)	Rmb50.60
NAURA Technology Group Co Ltd (002371.SZ)	O (11/06/2023)	Rmb504.00
OmniVision Integrated Circuits Group Inc (603501.SS)	E (10/29/2026)	Rmb83.15
Lucas Wang		
AllRing Tech Co. (6187.TWO)	O (09/23/2025)	NT$1,195.00
FOCI Fiber Optic Communications Inc (3363.TWO)	E (10/09/2026)	NT$458.00
Hon Precision (7769.TW)	O (04/17/2026)	NT$4,915.00
King Yuan Electronics Co Ltd (2449.TW)	O (03/03/2023)	NT$263.00
MPI Corporation (6223.TWO)	O (04/17/2026)	NT$4,655.00

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UPDATE

November 3, 2026 10:35 AM GMT

Winbond Electronics Corp | Asia Pacific

Strong 3Q margins; growth to moderate in 4Q

AlphaSignals Earnings Reaction

Unchanged	↑ **Modest upside**	↑ **Modest revision higher**
Impact to our thesis	Financial results versus consensus	Direction of next 12-month consensus EPS

Source: Company data, Morgan Stanley Research

3Q26 earnings beat: 3Q revenue was NT$82bn, +38% Q/Q, +278% Y/Y, 8% below MSe; GM was 70.6%, +4.3ppt Q/Q, +23.9ppt Y/Y, 12.5ppt above MSe; EPS was NT $7.49, +39% Q/Q, +1045% Y/Y, 3% above MSe. CMS revenue grew 50% Q/Q as ASP increased by ~60%, despite lower bit shipments, which was due to reserving supply for LTA customers. Flash revenue rose 34% Q/Q on pricing and mix with flat bit shipments. Memory GM reached 73.9%.

4Q growth to moderate; 16nm supports 2027: Management expects continued 4Q growth, but a slower pace as non-AI demand softens. DRAM contract prices should rise more moderately than in 3Q, while high density NOR remains tight. KH module A capacity should reach 24-25kwpm by end-2026. 16nm ramp from ~2kwpm to 16kwpm is expected to support 2H27 shipments.

AI opportunities broaden; module B capex approved: Management projects server NOR bit shipments to grow 67% Y/Y in 2027. CUBE customers are increasingly inference accelerator developers with several expected to begin small volume production in 2027. Silicon capacitor capacity is largely allocated, but current margins remain below conventional DRAM. The board newly approved NT$73bn capex for the previously announced Module B expansion.

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Winbond Electronics Corp (2344.TW, 2344 TT)

Greater China Technology Semiconductors | Taiwan

Stock Rating	**Overweight**
Industry View	**Attractive**
Price target	NT$288.00
Up/downside to price target (%)	78
Shr price, close (Nov 2, 2026)	NT$162.00
52-Week Range	NT$233.50-48.60
Sh out, dil, curr (mn)	4,180
Mkt cap, curr (mn)	NT$677,160
EV, curr (mn)	NT$700,485
Avg daily trading value (mn)	NT$23,217

Fiscal Year Ending	12/25	12/26e	12/27e	12/28e
EPS (NT$)**	0.88	24.89	49.83	59.96
EPS (NT$)§	0.86	25.60	53.77	69.94
Revenue, net (NT$ mn)	89,406	298,818	495,128	558,647
EBITDA (NT$ mn)	18,234	153,844	299,912	350,952
P/E	93.8	6.5	3.3	2.8
P/BV	3.4	3.3	1.6	1.0
ROE (%)	4.3	103.8	101.8	59.3
Div yld (%)	0.0	0.0	0.0	0.0

Unless otherwise noted, all metrics are based on Morgan Stanley ModelWare framework
** = Based on consensus methodology
§ = Consensus data is provided by Refinitiv Estimates
e = Morgan Stanley Research estimates

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Valuation Methodology and Risks

Winbond Electronics Corp (2344.TW)

Base case, 2.9x 2027e P/B. This method is in line with the approach we adopt for Greater China memory IDM peers, in view of the industry's high volatility. We believe the stock merits a multiple beyond the high end of its historical band of 0.5-1.5x since 2017, as we are seeing DRAM pricing upside, a sustainable NOR price hike, and opportunities in SLC NAND and SiCap foundry business.

Risks to Upside

- NOR Flash pricing increase, driven by stronger-than-expected demand
- Stronger-than-expected DRAM pricing given ongoing supply shortage
- Faster-than-expected SLC NAND development

Risks to Downside

- NOR Flash downcycle, driven by weaker demand
- Lower-than-expected DRAM pricing given ongoing oversupply
- Slower-than-expected SLC NAND development

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Global Stock Ratings Distribution

(as of October 31, 2026)
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For disclosure purposes only (in accordance with FINRA requirements), we include the category headings of Buy, Hold, and Sell alongside our ratings of Overweight, Equal-weight, Not-Rated and Underweight. Morgan Stanley does not assign ratings of Buy, Hold or Sell to the stocks we cover. Overweight, Equal-weight, Not-Rated and Underweight are not the equivalent of buy, hold, and sell but represent recommended relative weightings (see definitions below). To satisfy regulatory requirements, we correspond Overweight, our most positive stock rating, with a buy recommendation; we correspond Equal-weight and Not-Rated to hold and Underweight to sell recommendations, respectively.

	Coverage Universe		Investment Banking Clients (IBC)			Other Material Investment Services Clients (MISC)	
Stock Rating Category	Count	% of Total	Count	% of Total IBC	% of Rating Category	Count	% of Total Other MISC
Overweight/Buy	1575	43%	460	49%	29%	742	44%
Equal-weight/Hold	1537	42%	393	42%	26%	720	43%
Not-Rated/Hold	2	0%	1	0%	50%	1	0%
Underweight/Sell	570	15%	92	10%	16%	218	13%
Total	3,684		946			1681	

Data include common stock and ADRs currently assigned ratings. Investment Banking Clients are companies from whom Morgan Stanley received investment banking compensation in the last 12 months. Due to rounding off of decimals, the percentages provided in the "% of total" column may not add up to exactly 100 percent.

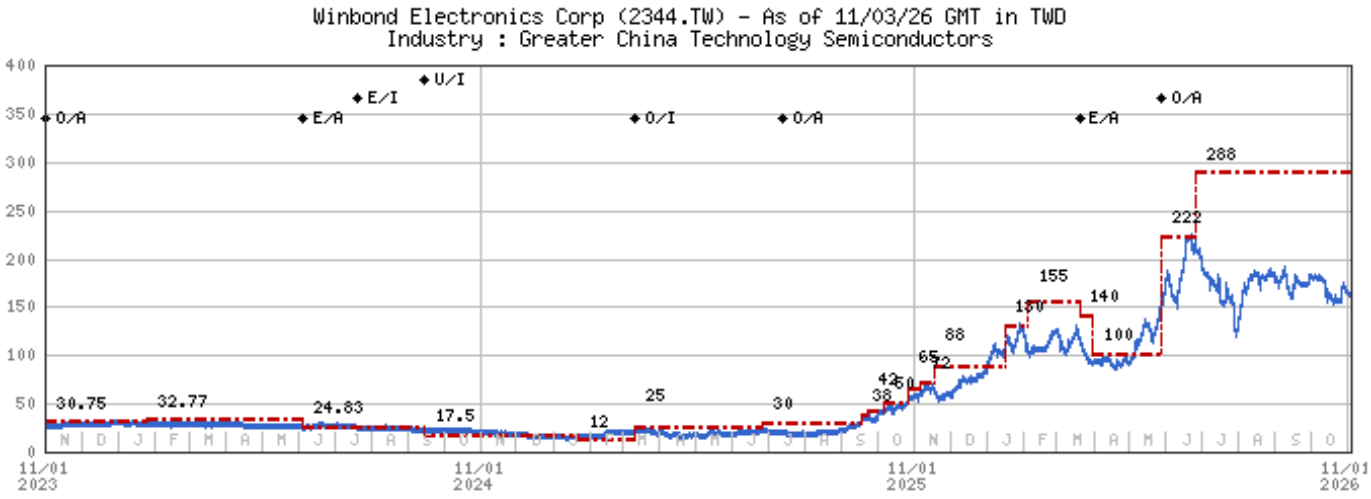
Analyst Stock Ratings

Overweight (O). The stock's total return is expected to exceed the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.
Equal-weight (E). The stock's total return is expected to be in line with the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.
Not-Rated (NR). Currently the analyst does not have adequate conviction about the stock's total return relative to the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.
Underweight (U). The stock's total return is expected to be below the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.
Unless otherwise specified, the time frame for price targets included in Morgan Stanley Research is 12 to 18 months.

Analyst Industry Views

Attractive (A): The analyst expects the performance of his or her industry coverage universe over the next 12-18 months to be attractive vs. the relevant broad market benchmark, as indicated below.
In-Line (I): The analyst expects the performance of his or her industry coverage universe over the next 12-18 months to be in line with the relevant broad market benchmark, as indicated below.
Cautious (C): The analyst views the performance of his or her industry coverage universe over the next 12-18 months with caution vs. the relevant broad market benchmark, as indicated below.
Benchmarks for each region are as follows: North America - S&P 500; Latin America - relevant MSCI country index or MSCI Latin America Index; Europe - MSCI Europe; Japan - TOPIX; Asia - relevant MSCI country index or MSCI sub-regional index or MSCI AC Asia Pacific ex Japan Index.

Stock Price, Price Target and Rating History (See Rating Definitions)



Stock Rating History: 11/1/21 : U/C; 10/4/22 : U/A; 2/22/23 : U/I; 3/2/23 : O/I; 7/7/23 : O/A; 6/4/24 : E/A; 7/21/24 : E/I; 9/15/24 : U/I; 3/11/25 : O/I; 7/14/25 : O/A; 3/20/26 : E/A; 5/28/26 : O/A

Price Target History: 10/19/21 : 20.63; 2/21/22 : 26.52; 5/31/22 : 24.07; 7/5/22 : 16.7; 3/2/23 : 27.02; 6/6/23 : 30.75; 1/25/24 : 32.77; 6/4/24 : 24.83; 9/15/24 : 17.5; 1/22/25 : 12; 3/11/25 : 25; 6/26/25 : 30; 9/18/25 : 38; 9/23/25 : 42; 10/7/25 : 50; 10/27/25 : 65; 11/6/25 : 72; 11/18/25 : 88; 1/16/26 : 130; 2/5/26 : 155; 3/20/26 : 140; 3/31/26 : 100; 5/28/26 : 222; 6/26/26 : 288

Source: Morgan Stanley Research Date Format : MM/DD/YY Price Target No Price Target Assigned (NA)
Stock Price (Not Covered by Current Analyst) Stock Price (Covered by Current Analyst)
Stock and Industry Ratings (abbreviations below) appear as ◆ Stock Rating/Industry View
Stock Ratings: Overweight (O) Equal-weight (E) Underweight (U) Not-Rated (NR) No Rating Available (NA)
Industry View: Attractive (A) In-line (I) Cautious (C) No Rating (NR)

Effective January 13, 2014, the stocks covered by Morgan Stanley Asia Pacific will be rated relative to the analyst's industry (or industry team's) coverage.

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COMPANY (TICKER)	RATING (AS OF)	PRICE* (11/03/2026)
Charlie Chan		
Advanced Wireless Semiconductor Co (8086.TWO)	U (07/14/2025)	NT$105.50
Alchip Technologies Ltd (3661.TW)	O (05/14/2021)	NT$3,140.00
ASE Technology Holding Co. Ltd. (3711.TW)	O (09/15/2024)	NT$616.00
Cambricon Technology Corporation (688256.SS)	O (04/27/2026)	Rmb767.93
CXMT Corp (688825.SS)	O (08/26/2026)	Rmb38.80
Global Unichip Corp (3443.TW)	O (06/24/2026)	NT$6,795.00
GlobalWafers Co Ltd (6488.TWO)	E (05/19/2026)	NT$685.00
Gudeng Precision (3680.TWO)	O (11/25/2025)	NT$440.50
Hua Hong Semiconductor Ltd (1347.HK)	E (03/12/2026)	HK$59.35
Iluvatar CoreX Semiconductor Co., Ltd. (9903.HK)	O (04/27/2026)	HK$56.35
MediaTek (2454.TW)	O (11/28/2025)	NT$3,675.00
MetaX Integrated Circuits (688802.SS)	U (11/02/2026)	Rmb415.15
Nanya Technology Corp. (2408.TW)	O (05/28/2026)	NT$411.00
Phison Electronics Corp (8299.TWO)	E (02/25/2026)	NT$1,690.00
SG Micro Corp. (300661.SZ)	E (11/03/2025)	Rmb75.00
Silergy Corp. (6415.TW)	U (05/19/2026)	NT$472.50
SMIC (0981.HK)	O (10/21/2025)	HK$42.62
TSMC (2330.TW)	O (02/07/2022)	NT$2,295.00
UMC (2303.TW)	O (05/19/2026)	NT$103.00
Vanguard International Semiconductor (5347.TWO)	U (10/30/2026)	NT$134.00
WIN Semiconductors Corp (3105.TWO)	O (10/29/2026)	NT$530.00
Daisy Dai, CFA		
ASMPT Ltd (0522.HK)	O (07/24/2025)	HK$101.70

China Resources Microelectronics Limited (688396.SS)	U (03/02/2026)	Rmb46.71
Empyrean Technology Co Ltd (301269.SZ)	O (11/02/2026)	Rmb88.66
Hangzhou Silan Microelectronics Co. Ltd. (600460.SS)	U (08/25/2025)	Rmb22.39
Hygon Information Technology Co., Ltd. (688041.SS)	O (07/03/2026)	Rmb170.00
Innoscience (2577.HK)	E (10/13/2025)	HK$25.30
JCET Group Co Ltd (600584.SS)	O (09/16/2026)	Rmb47.04
Shanghai Fudan Microelectronics (1385.HK)	O (03/07/2025)	HK$21.10
SICC Co Ltd (688234.SS)	O (03/20/2026)	Rmb66.52
SJ Semiconductor Corp (688820.SS)	E (09/16/2026)	Rmb72.70
StarPower Semiconductor Ltd (603290.SS)	U (10/31/2026)	Rmb66.30
Unigroup Guoxin Microelectronics Co Ltd (002049.SZ)	U (01/10/2023)	Rmb48.57
Universal Scientific Ind. (Shanghai) (601231.SS)	O (11/05/2025)	Rmb17.10
Yangjie Technology (300373.SZ)	O (06/10/2022)	Rmb71.88
Daniel Yen, CFA		
AP Memory Technology Corp (6531.TW)	O (07/11/2025)	NT$712.00
ASMedia Technology Inc (5269.TW)	U (10/03/2025)	NT$1,320.00
Aspeed Technology (5274.TWO)	O (06/09/2025)	NT$14,730.00
Egis Technology Inc (6462.TWO)	E (01/28/2026)	NT$88.90
Elan Microelectronics Corp (2458.TW)	O (10/03/2025)	NT$121.00
eMemory Technology Inc (3529.TWO)	O (08/18/2026)	NT$2,160.00
Espressif Systems (688018.SS)	O (05/15/2023)	Rmb136.70
GigaDevice Semiconductor Beijing Inc (603986.SS)	O (05/15/2025)	Rmb250.16
Himax Technologies Inc (HIMX.O)	E (02/04/2026)	US$10.45
Macronix International Co Ltd (2337.TW)	O (09/18/2025)	NT$88.30
Montage Technology Co Ltd (6809.HK)	O (03/18/2026)	HK$198.30
Montage Technology Co Ltd (688008.SS)	O (03/18/2026)	Rmb150.01
Novatek (3034.TW)	U (02/04/2026)	NT$555.00
Nuvoton Technology Corporation (4919.TW)	U (11/10/2025)	NT$107.50
Parade Technologies Ltd (4966.TWO)	U (10/29/2026)	NT$450.50
Powerchip Semiconductor Manufacturing Co (6770.TW)	O (10/27/2025)	NT$60.20
Realtek Semiconductor (2379.TW)	E (01/30/2026)	NT$756.00
Shenzhen Goodix Technology Co Ltd (603160.SS)	U (07/14/2025)	Rmb58.81
Silicon Motion (SIMO.O)	O (05/06/2024)	US$187.90
Winbond Electronics Corp (2344.TW)	O (05/28/2026)	NT$146.00
WPG Holdings (3702.TW)	O (03/16/2026)	NT$101.00
WT Microelectronics Co. Ltd. (3036.TW)	O (01/27/2026)	NT$201.50
Henry Zhao		
ACM Research Inc (ACMR.O)	O (03/07/2023)	US$44.15
Advanced Micro-Fabrication Equipment Inc (688012.SS)	O (11/06/2023)	Rmb205.80
Maxscend Microelectronics Co Ltd (300782.SZ)	U (01/11/2021)	Rmb49.90
NAURA Technology Group Co Ltd (002371.SZ)	O (11/06/2023)	Rmb486.82
OmniVision Integrated Circuits Group Inc (603501.SS)	E (10/29/2026)	Rmb84.06
Lucas Wang		
AllRing Tech Co. (6187.TWO)	O (09/23/2025)	NT$1,080.00
FOCI Fiber Optic Communications Inc (3363.TWO)	E (10/09/2026)	NT$415.50
Hon Precision (7769.TW)	O (04/17/2026)	NT$4,470.00
King Yuan Electronics Co Ltd (2449.TW)	O (03/03/2023)	NT$253.50
MPI Corporation (6223.TWO)	O (04/17/2026)	NT$4,190.00

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* Historical prices are not split adjusted.

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國泰期貨 國泰證券子公司

產業更新-IC 設計產業

機櫃密度攀升，帶外管理量價齊揚

What's New – AI 機櫃管理節點倍增，OOB 晶片量價齊升

AI 機櫃由多台獨立伺服器轉為整櫃系統，每個運算與交換托盤都需獨立管理，預估 NVL72 整櫃的 BMC 用量達 8 卡 GPU 伺服器機櫃的六倍以上，GPU、DPU、液冷 CDU 與漏液偵測也一併納入管理範圍。產品規格同步升級，新世代 BMC 支援 DDR5 以對應新一代 CPU 與 ASIC 平台的頻寬需求，開機安全晶片則整合 OCP 開源信任根 Caliptra 並導入後量子加密。控制 FPGA 與 BMC 韌體逐步整合為跨平台方案，管理網路也開始以光纖 PON 取代機櫃內的 1GbE 交換器，OOB 由單一晶片延伸至韌體與網路。

Trends/Outlook – 規格升級接棒，單櫃用量再倍增

BMC 成長動能由伺服器出貨轉向規格升級與單櫃用量，即使雲端資本支出增速趨緩，管理晶片仍具成長空間。規格方面，BMC 由 28nm AST2600、12nm AST2700 演進至 6nm AST2800，預估 AST2700 單價較 AST2600 高約 40～50%，AST2800 預計 2028 年中試產、2029 年開始供貨，支援更多 CPU 核心與更強的資安功能，單價可望再往上走。用量方面，NVIDIA 機櫃由 NVL72 走向 Rubin Ultra Kyber 架構，預估單櫃 BMC 用量倍增，Google TPU 與 AWS Trainium 等 ASIC 伺服器放量也同步帶動 BMC 搭載。供給面，BMC 交期一度拉長至 21～26 週，預期 4Q26 E-glass 載板完成認證、新增封測產能開出後，供給限制逐步解除。

Investment Summary

1. BMC 具備高客戶黏著度與寡占格局，加上占整機成本極低，供應商擁有定價能力，上游成本上漲得以順利轉嫁。AI 機櫃節點增加也同步推升 RoT、控制 FPGA 與管理網路晶片需求，預估全球 BMC 市場規模 2026～2030 年 CAGR 約 18%，OOB 由單一晶片擴展為涵蓋韌體與網路的完整供應鏈。

2. 台廠主要受惠廠商包含信驊(5274 TT)、新唐(4919 TT)及達發(6526 TT)，海外則為 Lattice 與 Microchip。信驊 BMC 全球市占估約 80%，AST2700 接棒推升 ASP，新唐 BMC 則成為 MCU 以外的第二成長來源，2027 年增幅預期高於 2026 年。達發以 PON 切入 AI 資料中心 OOB 網路，資料中心 PON 設備市場 2026～2030 年 CAGR 預估達 52%。海外方面，Lattice 2Q26 營收年增 62%，控制 FPGA 搭載率持續提升，Microchip PRoT 產品線完整，受惠伺服器開機安全規格升級。

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個股	代碼	預估每股盈餘 (以當地幣別計算)		每股盈餘成長率(%)		預估本益比		目標價	最新收盤價 (以當地幣別計算)	評等
		2026F	2027F	2026F	2027F	2026F	2027F			
信驊	5274 TT	210.77	320.83	126.4	52.2	74.1	48.7	20,200	15,625	買進
達發	6526 TT	20.95	28.36	21.0	35.4	36.9	27.2	995	772	買進
新唐	4919 TT	-0.24	2.02	93.7	n/a	n/a	58.9	n/a	119.0	未評等
Lattice	LSCC US	2.13	3.21	102.9	50.7	44.8	29.7	n/a	95.44	未評等
Microchip	MCHP US	3.66	4.60	215.5	25.7	20.8	16.5	n/a	76.11	未評等

帶外管理獨立運作，BMC 居管理核心

OOB 是獨立於資料網路之外的管理網路，在作業系統當機、甚至主機斷電時，仍能遠端開關機、讀取溫度風扇與電源狀態並更新韌體。核心為主機板上的 BMC，搭配負責開機驗證的 PRoT / SMC，以及負責上電時序與 IO 擴充的控制 FPGA，各節點再經機櫃內 1GbE 管理交換器上聯至管理平台，例如 Vera Rubin NVL72 即配置 2 台管理用 TOR 交換器，連接各托盤 BMC 與 BlueField-4 的 BMC。

OCP 推動 DC-SCM 架構，將 BMC 與 RoT 集中於可插拔的管理模組，除降低主機板設計複雜度，也讓管理晶片可隨平台世代獨立升級。韌體端以 AMI MegaRAC 與開源 OpenBMC 為主流，Redfish 則逐步取代 IPMI 成為管理介面標準。

表 1. OOB 管理平面分層與代表廠商

層級	功能	主要元件	代表廠商
管理控制	遠端開關機、溫度風扇與電源監控、遠端 KVM	BMC（AST2600 / AST2700、Arbel NPCM8xx）	信驊、新唐
開機安全	韌體驗證、SPI Flash 監控、裝置認證	PRoT / SMC（AST1060 / AST1040、CEC173x / TS1800、MachXO5）	信驊、Microchip、Lattice
系統控制	上電時序、IO 擴充、訊號橋接	控制 FPGA、I/O expander	Lattice、信驊
韌體	BIOS、BMC 韌體、Redfish 管理介面	MegaRAC、OpenBMC	AMI（已併入 Lattice）、開源社群
管理網路	連接各節點 BMC、交換器管理埠、PDU 與液冷 CDU	1GbE 管理交換器、PON（OLT / ONU）	網通設備品牌廠、達發

資料來源：各公司資料、國泰證期研究部整理

機櫃整合加速，BMC 用量倍增

8 卡 GPU 伺服器機櫃通常配置 4 台伺服器，每台以主機 BMC 搭配 GPU 板 HMC，預估加上網通設備合計約 10 顆。NVL72 則將運算與交換整合為整櫃系統，由 18 個運算托盤與 9 個交換托盤組成，每個托盤都需獨立管理，主機板、DPU 與 GPU 模組皆須配置管理晶片，預估每櫃搭載約 63 顆 BMC 與 18 顆 mini BMC。下一代 Rubin Ultra 改採 Kyber 架構，預期 2H27 小量出貨、2028 年放量。ASIC 伺服器在開發階段多以 FPGA 實現管理功能，進入量產後轉用 BMC，新唐即自 2H25 起於 CSP 的 ASIC 平台擴大導入。

代理式 AI 需要大量 CPU 處理任務調度與資料前後處理，預估 2026 年全球伺服器出貨年增約 17%。此外，管理節點也由伺服器延伸至整個機櫃，資料中心交換器、電源櫃與液冷分配單元逐步導入 BMC，高功率 AI 電源並改以 CAN 匯流排管理。

世代交替與調價，帶動 ASP 上移

AST2700 支援 DDR5，對應新世代 CPU 平台的頻寬與安全需求，預期 2027 年起各大新平台陸續導入，預估占 BMC 出貨比重由 2026 年約一成提升至 2027 年近三成、2028 年近五成。NVIDIA Vera Rubin 整櫃則預期延續採用 AST2600，交換器 BMC 亦於 2027 年全面導入。新唐規劃 4Q26 推出新一代 BMC 與 CMS，同樣支援 DDR5，惟新品須經客戶平台驗證，短期營收仍以既有 Arbel 系列為主，並以整合 BMC 子系統的 NPCM8mnx SiP 降低客戶設計門檻。

成本面，T-glass 載板、封測與成熟製程同步漲價，信驊 4 月調漲 BMC 價格雙位數百分比，預期 12 月全產品線再調漲雙位數。新唐除 4 月調漲自有 6 吋晶圓價格外，也因 DRAM 與 Good Die 漲價向客戶發出漲價通知。

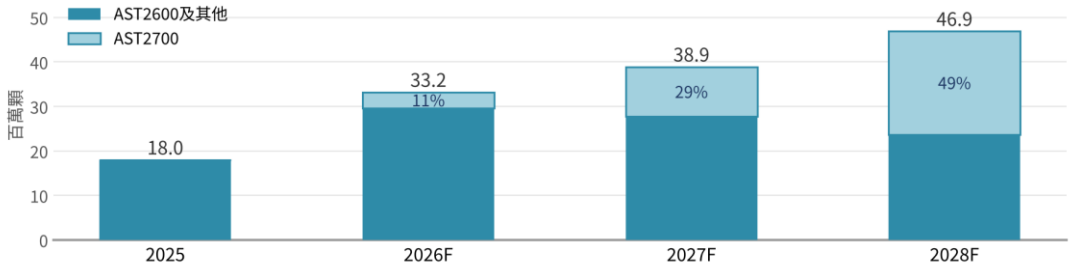
轉換成本高築，BMC 寡占格局穩固

BMC 是伺服器韌體與管理軟體的基礎，韌體須針對特定晶片開發，包括 Linux 核心驅動、I2C / eSPI 等周邊介面、KVM 影像引擎與加密引擎，不同廠商的 BMC 無法共用同一套韌體。雲端業者在 OpenBMC 上完成客製化後，韌體還須與 BIOS、PRoT 組成的安全開機驗證鏈，以及資料中心的監控告警、遠端更新流程深度整合，整個機群以同一套韌體統一管理。若導入第二家 BMC，除須重寫驅動並重新驗證外，還得同時維護兩套韌體版本與資安修補，維運成本與出錯風險同步增加，因此客戶多半整個平台採用同一家 BMC。新平台的 BMC 也須隨 CPU 平台同步設計，驗證週期長達兩到三年，一旦導入，通常延續整個產品世代並延伸至次世代平台。

產業結構方面，BMC 市場由信驊主導，其餘主要由新唐瓜分，新進者難以在短期內累積足夠的平台驗證實績。BMC 占整台伺服器成本不到 1%，相較於停機或重新驗證的代價，客戶對價格敏感度低，信驊 4 月調漲 BMC 價格後，2Q26 毛利率仍達 72.0%，上游成本漲幅可完整轉嫁。

出貨方面，預估信驊 BMC 出貨由 2025 年約 1,800 萬顆成長至 2028 年約 4,700 萬顆，年複合成長率約 38%，且高單價 AST2700 占比同步提升，出貨與單價雙引擎推升營收。

圖 1. 信驊 BMC 出貨量預估



資料來源：信驊，國泰證期研究部預估

管理網路光纖化，PON 切入資料中心

OOB 網路傳統做法為每櫃配置 1～2 台 1GbE 管理交換器，以銅線連接 BMC、交換器管理埠、PDU 與液冷 CDU，隨節點數增加，交換器數量、布線與機櫃空間同步膨脹。PON 以光纖搭配免供電的無源分光器取代機櫃內交換器，依客戶測試可節省約 99%管理機櫃空間，並減少耗電與維運節點。

達發將 10G PON 導入 AI 資料中心 OOB 架構，預期相關市場 2026～2028 年逐年翻倍，25G PON 也預期 2027 年量產，乙太網 10G PHY 則隨 BMC 出貨切入 OOB 應用。惟資料中心管理網路長期採用乙太網路，PON 導入速度仍取決於大型 CSP 能否形成產業規範。

表 2. 傳統機櫃與 AI 機櫃管理需求比較

項目	8 卡 GPU 伺服器機櫃	AI 機櫃（NVL72）
架構	約 4 台伺服器，各台獨立管理	18 個運算托盤＋9 個交換托盤，整櫃管理
管理對象	CPU、GPU、記憶體、風扇與電源	另含 NVLink 交換托盤、DPU、液冷 CDU 與漏液偵測
主要 BMC	AST2600 搭配 HMC	AST2600，預估每櫃約 63 顆 BMC＋18 顆 mini BMC
安全需求	PFR、TPM	PRoT / SMC、Caliptra、PQC
管理網路	單台 1GbE 管理交換器、銅線	管理交換器數量擴增，PON 以無源分光器取代交換器

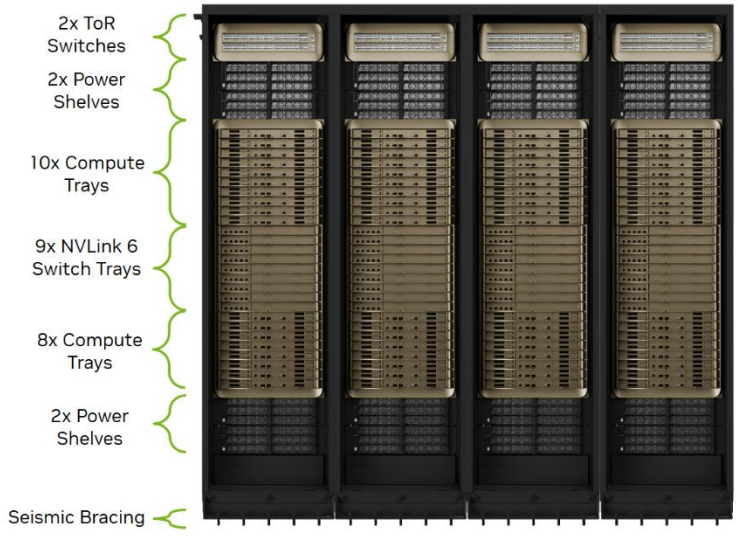
資料來源：NVIDIA、信驊、新唐、Microchip、達發、國泰證期研究部整理

龍頭地位穩固，新進者各取利基

BMC 方面，信驊 AST2700 世代領先，次世代產品規劃亦已展開。新唐為 CSP 導入第二供應源的主要受惠者，雖 BMC 占營收比重仍低，惟現有客戶合作已涵蓋次世代產品，並啟動新 CSP 客戶送樣，在 BMC 黏著度高的特性下，一旦導入即可長期貢獻，可望隨 CSP 擴大第二供應源持續提升市占。

安全與控制方面，Lattice 受惠每台伺服器的控制 FPGA 由 2024 年約 1.5 顆增至 2026 年逾 3 顆，完成 AMI 併購後，FPGA 也可搭配 MegaRAC 韌體跨 CPU、GPU 與 ASIC 平台整套銷售。Microchip 資料中心營收 FQ1'27 年增 97.8%，PRoT、系統管理與電源晶片同步受惠 AI 機櫃建置，預估 2026 年資料中心營收約 US$10 億。管理網路方面，達發 PON 屬架構變革，若 CSP 擴大採用，將成為台廠中少數由網路端受惠 OOB 的廠商。

圖 2. NVIDIA Vera Rubin NVL72 機櫃配置



資料來源：NVIDIA，國泰證期研究部整理

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